بنك أبوظبي الوطني
NBAD

NBAD at the Heart of the West-East Corridor



Annual Review 2014



The Late Sheikh Zayed Bin Sultan Al Nahyan
First President of the United Arab Emirates



His Highness Sheikh Khalifa
Bin Zayed Al Nahyan
President of the United Arab Emirates and Ruler of Abu Dhabi



His Highness Sheikh Mohamed
Bin Zayed Al Nahyan
Crown Prince of Abu Dhabi and Deputy Supreme Commander of the UAE Armed Forces

Contents

At a Glance	06
Financial Highlights	07
A Year in Review	08
Chairman's Letter	10
Group CEO's Letter	12
Board of Directors	14
Executive Management	16
Strategy	18
Financial Review	20
Business & Operational Review	22
Global Wholesale	22
Global Retail & Commercial	26
Global Wealth	28
Our People	30
Sustainability	32
Risk Management	34
Corporate Governance	36
Shareholders' Information	40



National Bank of Abu Dhabi (NBAD) is the leading bank in the Middle East and one of the safest banks in the world.
Our roots in Abu Dhabi give us a deep understanding of the dynamics of the Arab region and its connection to the world's markets. And we aim to become the number one bank for anyone who wants to do business along the West-East corridor.

Largest Bank in UAE

#1

Based on Total Assets, which grew to AED 376 billion as of 31 December 2014.

One of the Safest Banks

#25

Ranked 25th safest bank in the world and safest in the Middle East in 2014 by Global Finance.

Best in Middle East

AA–

NBAD's credit ratings, AA– (or equivalent) with all three major credit rating agencies, are the highest amongst the Middle East banks.

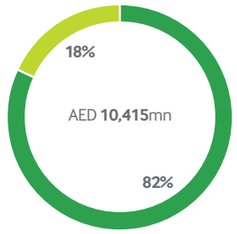
At a Glance

NBAD is the leading bank in the Middle East and one of the safest banks in the world. Our roots in Abu Dhabi give us a deep understanding of the dynamics of the Arab region and its connection to the world's markets.

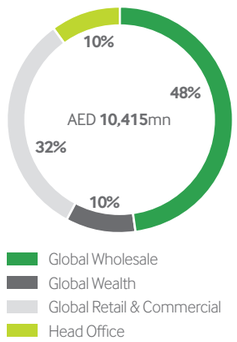
Key Facts

- Incorporated in 1968 to serve as Banker to the Emirate of Abu Dhabi.
- Owned 70% by Government of Abu Dhabi, via the Abu Dhabi Investment Council (ADIC).
- Listed on the Abu Dhabi Securities Exchange (ADX) since its inception in Nov 2000.
- 'Safest Bank in the Middle East & Emerging Markets' (Global Finance) – among the highest rated banks in the Middle East & Emerging Markets' (rated 'Aa3' by Moody's, 'AA–' by Fitch & 'AA–' by S&P).
- Global network spanning 18 countries and 54 offices outside the UAE.
- UAE network includes over 120 branches & cash offices, over 580 ATMs/CDMs.
- Employing over 7,200 people from nearly 80 nationalities.

Revenue by Geography



Revenue by Segment



Financial Highlights

Our growth in 2014 was driven primarily by an increase in revenues, up 11% from AED 9,398 million to AED 10,415 million and solid gains in the investment portfolio, while declines in impairment charges and cost of risk offset increases in expenses as we invested in the business, resulting in higher net profits for the year.

Total Assets (AED bn)

376.1 +16%

Up 16% for the full–year.
Loans at AED 194.3 billion, up 6% for the full-year.

Customers Deposits (AED bn)

243.2 +15%

Up 15% for the full-year.
CASA Deposits increased to 28% of Total Deposits.

Strong Capital Ratios

16.4% CAR

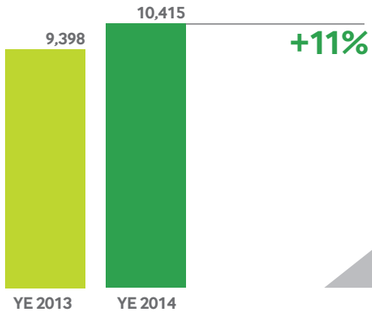
Tier 1 at 15.0%.

Strong Profit Growth

16.8%

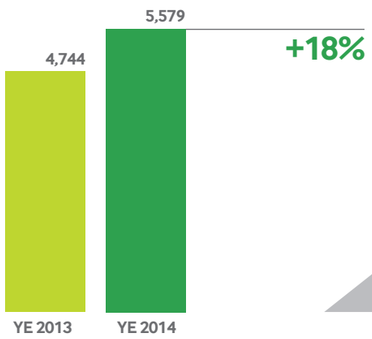
The bank's strong profit growth led to solid returns on shareholders' funds (RoSF) of 16.8% in FY'14, an increase from 15.6% in FY'13.

Revenues



Up 1,017 AED million

Net Profits



Up 835 AED million

A Year in Review

2014 was a transformational year for NBAD.

January

NBAD-Arranged Sukuk Named Deal Of Year

NBAD-led Sukuk that was issued by the Dubai Department of Finance, was named the UAE Deal of the Year at the Islamic Finance News Awards.



NBAD wins Best Sukuk Fund Award

NBAD Sukuk Income Fund was named Best Sukuk Fund by Islamic Business & Finance Awards CPI Financials. The Sukuk Income Fund (SIF) was voted the best by the readers of CPI financials.

March



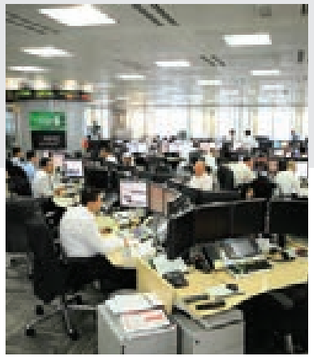
Global Financial Markets Forum

Global Financial Markets Forum (GFMF) organised by NBAD, highlights Abu Dhabi's rising influence in global financial affairs. GFMF is the region's unparalleled platform to debate global events and their impact. Former Chairman of the US Federal Reserve Dr. Ben S. Bernanke joined the line-up of other highly respected thinkers and influential policy-makers.

April

NBAD gets 1st Market-Making Licence in UAE

The Securities and Commodities Authority (SCA) issued the first licence for practising of Market-Making activity to NBAD following it's fulfillment of all regulatory requirements.



June

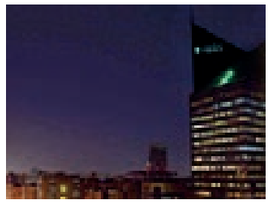


Euromoney names NBAD Best Bank in UAE

NBAD was named the Best Bank in the UAE by the prestigious international publication Euromoney, making it the fourth time in six years that NBAD has won this important award.

NBAD facilitates UK's debut sovereign Sukuk

NBAD successfully executed the UK government's debut Sukuk issue in its capacity as Joint Bookrunner.



NBAD among World's 50 Safest Banks 2014

Global Finance, the prestigious international financial magazine, ranked NBAD in its World's 50 Safest Banks for the sixth consecutive year. This year, NBAD ranked 25th in the world's 50 safest banks, up 10 positions from the #35 spot in the previous year & #1 in the Emerging Markets.

July



NBAD Dividend Leader named Newcomer Fund

NBAD MENA Dividend Leader Fund was voted Newcomer Fund of the Year 2013 by Zawya at the MENA Asset Management Conference and Awards 2014.

September

NBAD teams up with Real Madrid

NBAD became the exclusive banking partner of Real Madrid in the UAE. Real Madrid is the world's most valuable football club in terms of revenue and holds the most record titles in the world, including team of the century and winner of the 2014 Champions League.



November



NBAD renews sponsorship of Formula 1™ Etihad Airways Abu Dhabi Grand Prix

NBAD renewed a multi-year agreement to be the Official Bank of the Formula 1 Etihad Airways Abu Dhabi Grand Prix.

December



NBAD-CNBC Panel on Future of Energy concludes in Kuala Lumpur

NBAD, the Middle East's leading bank, and CNBC, the leading business and financial news network, hosted a panel of leading energy experts to discuss the future of energy for Asia, in Kuala Lumpur on 15 December.

Chairman's Letter

On behalf of the Board of Directors of NBAD, I would like to thank our senior management and staff for their tremendous efforts in 2014. In a year in which there were many significant global economic challenges, NBAD delivered record Net Profits and continued to execute against the Bank's ambitious five-year growth strategy.

Economic Review

In 2014, global economic growth was modest and grew around 2.3%. The most important factor impacting economic growth was the significant drop in oil prices in the fourth quarter of 2014.

The global economy in 2014, as in 2013, displayed divergent growth and inflation patterns. Advanced economies, particularly Eurozone and Japan, exhibited weak growth and struggled with low inflation. In 2014, the developed world grew approximately 1.5%, driven mainly by strength in the U.S. During the same time period, emerging markets on average grew around 3.8%.

Global growth trends in 2015 are currently expected to be similar to conditions experienced in 4Q 2014, with growth being driven primarily by oil importing economies such as China, India and the U.S. as oil exporting countries experience headwinds resulting from lower oil prices.

Year in Review

The Bank once again delivered strong revenue and earnings growth whilst maintaining a solid balance sheet and strong capital position. For the full-year 2014, here are some key financial highlights:

- Net Profits grew 18% to AED 5.579 billion.
- Revenues grew 11% to AED 10.415 billion.
- Total Assets grew to AED 376.1 billion, up 16%.
- Loans grew to AED 194.3 billion, up 6%.
- Customer Deposits were up 15% to AED 243.2 billion.
- Capital Ratios remained strong with Capital Adequacy Ratio of 16.4% and Tier-1 Ratio of 15.0%.

We are proud of our disciplined approach to balance sheet management and our strong capital position. In 2014, the Bank actually improved and now ranks 25th, up from 35th, among the "World's 50 Safest Banks" as ranked by Global Finance magazine. Furthermore, NBAD continued to be ranked very highly by all three major credit rating agencies, with long-term debt ratings of AA– by Standard & Poor's (S&P), Aa3 by Moody's and AA– by Fitch.

In 2014, NBAD continued to be a regional leader by introducing innovative initiatives. These included a significant rebranding effort, unique partnership with Real Madrid, ongoing efforts to bring customer service to world-class levels and continuing as the "Official Bank of the Formula 1 Etihad Airways Abu Dhabi Grand Prix", a sponsorship renewed in the fourth quarter which has been held since the inception of the race in 2009. Through these and many other initiatives, NBAD continues to demonstrate its firm commitment to Abu Dhabi and the UAE.

Overall, the strategic progress and record financial results in 2014 were very impressive, and I believe that NBAD is well positioned for even more success in 2015 and beyond.

H.E. Nasser Ahmed Alsowaidi
Chairman



Acknowledgements

Finally, I wish to extend our most sincere appreciation and gratitude to His Highness Sheikh Khalifa Bin Zayed Al Nahyan, President of the UAE and Ruler of Abu Dhabi; His Highness Sheikh Mohammed Bin Rashed Al Maktoum, Vice President and Prime Minister of the UAE and Ruler of Dubai; Their Highnesses members of Supreme Council, Rulers of the Emirates; His Highness General Sheikh Mohamed Bin Zayed Al Nahyan, Crown Prince of Abu Dhabi and Deputy Supreme Commander of the UAE Armed Forces and to His Highness Sheikh Mansour Bin Zayed Al Nahyan, Deputy Prime Minister and Minister of Presidential Affairs, for their continued support and interest in the Bank's activities.

"We're gaining more business from existing clients, winning important mandates from new ones, and working on more and more transactions with major multinationals"

18%
Strong profit growth

AED 376 billion
Largest bank by assets in UAE

Real Madrid
Established unique partnership with Real Madrid

Formula 1 Etihad Airways Abu Dhabi Grand Prix
Renewed sponsorship as official bank of Formula 1 Etihad Airways Abu Dhabi Grand Prix since 2009

Group CEO's Letter

2014 was a transformational year for NBAD in which we embraced change and faced many challenges, and I am proud of the significant progress we have made toward achieving our Vision to be recognised as the World's Best Arab Bank. In 2014, we continued to strengthen our position in the UAE and across the West-East corridor by enhancing our client service, our product offerings and our capabilities across all of our businesses.

During the year, our leaders and client teams continued to focus on deepening relationships with our chosen customers within our five chosen industry sectors, driving improvements in underlying revenues and net profits for the year.

Financial Overview

I am very pleased with the financial results we delivered for the full-year, which provide further evidence that our long-term strategy continues to gain traction. Several key metrics represented record levels for the Bank, including Revenues (AED 10.4 billion, up 11%), Net Profits (AED 5.6 billion, up 18%) and Total Assets (AED 376 billion, up 16%). We were able to generate record revenues and earnings whilst also maintaining our strong capital and liquidity positions, and I am very proud of this. Furthermore, our strong credit ratings of AA– or equivalent were reaffirmed with all three major ratings agencies.

During the year, we generated solid, underlying profitable growth across our businesses, and we are confident that this momentum will continue to accelerate as we look forward to 2015. At the same time, we continued to invest substantially in building a world-class team, enhancing the IT and infrastructure 'spine' of our business, building the NBAD brand.

Business Highlights

In 2014, our Global Wholesale Banking division took the lead in driving landmark transactions, including the Emaar Malls IPO, first-ever Sukuk for non-Islamic sovereigns from both the United Kingdom and Hong Kong and many others. As a result of this leadership, we have made significant moves in the league tables, ranking #3 for GCC bonds, MENA syndicated loans and International Sukuk, improving from #8, #11 and #6 respectively in 2013.

In Global Retail & Commercial, we made significant progress in transforming our model as we have invested to refurbish our branch network and improve e-banking and mobile banking platforms. These actions will lead to an enhanced customer experience, more cross sell opportunities and deeper penetration in the UAE market over time.

Global Wealth had another strong year in 2014, generating double digit AUM growth, year-over-year revenue growth of 61% and consistently winning numerous awards and accolades as the best in the region. During the year, we centralised our Asset Management functions, expanded our custody business into Sub-Saharan Africa and opened nine new markets, and increased market share for NBAD Securities.



Alex Thursby
Group Chief Executive Officer

"During the year, we generated solid, underlying profitable growth across our businesses, and we are confident that this momentum will continue to accelerate as we look forward to 2015"

Major Programmes & Initiatives

- Global Financial Markets Series – In partnership with CNBC, we extended the annual Global Financial Markets Forum (GFMF) to an ongoing discussion through the Global Financial Markets Series, with the first two events in December 2014 in Kuala Lumpur and February 2015 in London. The panel discussion focused on unlocking sustainable energy investment opportunities, was very successful and laid the foundation for the GFMF main event, which took place in March 2015.
- Small and Medium Enterprise (SME) Beyond Borders Summit – One of our most successful events in 2014, the Summit brought together some of the world's leading economists and experts to discuss the impact of the West-East corridor on SMEs in the GCC region.
- Bring Your Heart to Work – This initiative is aimed at promoting excellence and enhanced customer service in all that we do. In 2014, 4,800 UAE staff completed the training, the initiative was launched successfully in Oman and Egypt at the end of 2014, and it will be launched in London and Jordan in 2015.
- Real Madrid Partnership – As Real Madrid's exclusive banking partner in the UAE, NBAD is the only bank outside of Spain to issue Real Madrid co-branded cards and accounts. The cards offer customers exclusive privileges and premium benefits, and NBAD is working in full partnership with Real Madrid to develop further co-branded products, create joint merchandise and collaborate on future programmes and events.
- Formula 1 Sponsorship – Our successful sponsorship of the 2014 F1 Abu Dhabi Grand Prix prominently showcases our brand to clients and potential clients around the world, positioning us as the primary financial institution for trade and investment along the West-East corridor.
- Top 50 UAE Nationals – Emiratisation is a very important priority for us, and this talent pool includes UAE Nationals who have demonstrated the potential to take on leadership roles. They will receive training and development to ensure they have long, successful careers with NBAD.
- Falkom Tayeb – Another Emiratisation initiative, this programme to nurture the raw talent of young UAE nationals and help them develop as future leaders was launched in partnership with Abu Dhabi Tawteen Council and has trained and placed 118 UAE Nationals with Global Retail & Commercial. Emiratisation rates have increased by 2% across the Bank from this initiative alone.
- Professional Banker – Launched in October with 278 employees, this programme is set to produce the next generation of highly capable banking professionals, demonstrating proficiency across various areas of the financial industry.
- Living Our Values – Our newest value – "Empower our people and hold each other accountable for performance and behaviour" – was introduced in 2014 and confirms that we are all responsible for our actions and our performance.

These initiatives, along with many others, will help to drive our growth in the years to come.

Summary

We are just now entering the second year of a 5-year transformation. I believe we are well on our way to success; however, there is still a significant amount of work to be done. As we enter 2015, I am confident that we will continue to execute against our strategy to build deeper and more meaningful relationships with clients. We will also invest to modernise the bank to a world-class level, ultimately driving sustainable underlying revenue growth and generating higher returns for shareholders over time.

Board of Directors

NBAD has a Board of Directors with significant and diverse experiences and myriad areas of expertise, enabling them to provide strong guidance to the bank.



H. E. Nasser Ahmed Alsowaidi
Chairman



Dr. Al Taher Musabah Al Kindi Al Marar
Deputy Chairman



Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan
Member



Sheikh Ahmed Mohammed Sultan Al Dhaheri
Member



H.E. Dr. Mohammed Omar Abdulla
Member



H.E. Sultan Bin Rashed Al Dhaheri
Member



Mr. Hashim Fawwaz Al Kudsi
Member



Mr. Khalifa Sultan Al Suwaidi
Member



Mr. David Beau
Member



Mr. Matar Hamdan Al Ameri
Member



Mr. Michael H. Tomalin
Member

Executive Management

NBAD has a seasoned team of executives who work to ensure the Bank retains its status as the region's premier banking institution.



Alex Thursby
Group Chief Executive Officer



Abdulla M. S. AbdulRaheem
Deputy Group Chief Executive Officer



Samer Abdelhaq
Senior Managing Director &
Group General Counsel – Legal
& Compliance Division



Mahmood Al Aradi
Senior Managing Director
& Co-Head of Global
Wholesale Banking



Khalaf Al Dhaheri
Senior Managing Director & Group
Chief Operating Officer



Qamber Al Mulla
Senior Managing Director
& CEO of Gulf & International



Abdulla Al Otaiba
Senior Managing Director &
Group Head of Global Retail &
Commercial Banking



Saif Al Shehhi
Senior Managing Director –
Government of Abu Dhabi



James Burdett
Group Chief Financial Officer



Abhijit Choudhury
Senior Managing Director & Group
Chief Risk Officer



Ehab Hassan
Senior Managing Director & Group
Chief Human Resources Officer



Rudiger Von Wedel
Senior Managing Director
of Global Wealth



Malcolm Walker
Senior Managing Director
& Group Chief Audit Officer



Mark Yassin
Senior Managing Director
& Co-Head of Global
Wholesale Banking

Strategy

Our Mission & Values are the critical ingredients of a “one NBAD” customer value proposition.

Vision

- To be recognised as the World’s Best Arab Bank.

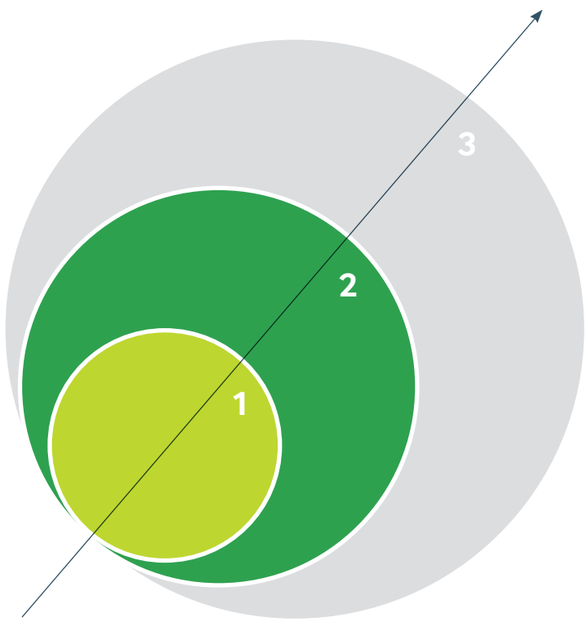
Mission

- Be core to our chosen customers, helping them grow by providing exceptional products and services across our West-East corridor and providing an environment to attract and develop exceptional and diverse talent.

Values

- Put our customers at the forefront and “do the right things the right way”.
- Value our people and foster great teamwork.
- Respect our heritage and be loyal to our stakeholders.
- Empower our people and hold each other accountable for performance and behaviour.

Our new mission to be core to our chosen customers will be built around three geographical pillars and will be achieved primarily through organic growth.



1

Home Market

- Build the largest, safest and best performing bank first in UAE, and over time in GCC and other countries throughout the West-East corridor.

2

Wholesale and Wealth Network Markets

- Deepen our Wholesale and Wealth network across the new West-East corridor & further integrate our existing European & North American platforms into this network.

3

New Franchise Markets

- Build five international bank franchises in the largest and fastest growing economies in the West-East corridor.

The West-East corridor is witnessing high growth and will have a higher concentration of megacities over the next 10-20 years.



(1) Cities with 10 million or more inhabitants

SOURCE: United Nations, World Urbanization Prospects 2007; McKinsey Global Institute China Model; McKinsey Global Institute analysis

Our primary drivers are trade and investment flows across the West-East corridor:

- We want to bank customers from within the corridor.
- We want to bank customers located outside of the corridor who trade and invest inside the corridor.
- We want to support our chosen UAE customers in London, Paris, Switzerland and Washington.

Financial Review

Total revenues for the full year were AED 10,415 million, up 11% from AED 9,398 million in 2013. The Bank's strong top and bottom line performance drove solid return on shareholders' funds (RoSF) of 16.8% in 2014, an increase from 15.6% in 2013.

"Our investments in our franchise, network and systems, products and people are in line with our vision to be recognised as the World's Best Arab Bank and our mission to be 'core to our chosen customers'"

Financial Overview

Net profits for the full-year were AED 5,579 million in 2014, up 18% from AED 4,744 million in 2013. This represents diluted EPS of AED 1.12 for 2014 versus AED 0.95 for 2013. Year on year growth was driven primarily by strong fee income growth across all lines of business, solid loan growth, increases in deposits and CASA as a percent of deposits, and solid gains in the investment portfolio.

Operating Income

Total operating income increased by 11% in 2014 to AED 10,415 million from AED 9,398 million in 2013. Net interest income and net income from Islamic financing grew at a steady pace throughout 2014, up 8% to AED 7,018 million. Net interest margin on an average total assets basis was 2.00% for the full year 2014, down from 2.08% for 2013, driven by increased competition resulting from abundant liquidity as well as re-pricing of risk as the economy recovers. Non-interest income grew by a total of 18% to AED 3,397 million in 2014, driven primarily by a significant increase in net fees and commissions, foreign exchange (FX) and investments income. Net fees and commissions continued to generate momentum, growing 25% to AED 2,311 million in 2014. FX and investment income grew by 37% in 2014, whilst other operating income of AED 126 million represented a decline of 63% in 2014, largely due to the hedging gains in 2013 that did not recur in 2014.

Expenses

Operating expenses in 2014 were up 14% to AED 3,696 million, reflecting continued investment in hiring world-class talent, expanding client service capabilities and enhancing the IT infrastructure of the business to facilitate the successful execution of the Bank's strategy. The cost to income ratio was 35.5% in 2014, marginally higher than the 34.4% recorded for the full year 2013.

The Bank further extended its network, investing in retail and commercial banking, making significant progress in transforming the business model through branch refurbishments and the launch of e-banking and mobile banking platforms. The Global Wealth network in Egypt, GCC, London and Paris expanded further in addition to opening in nine new markets in sub-Saharan Africa for custody business; thus improving client coverage capabilities.

The bank, which is already among the largest in the UAE, increased its branch network to over 120 branches and cash offices, over 580 ATMs and commercial banking centres. NBAD's global footprint spans 18 countries. Our investments in our franchise, network and systems, products and people are in line with our vision to be recognised as the World's Best Arab Bank and our mission to be 'core to our chosen customers'.

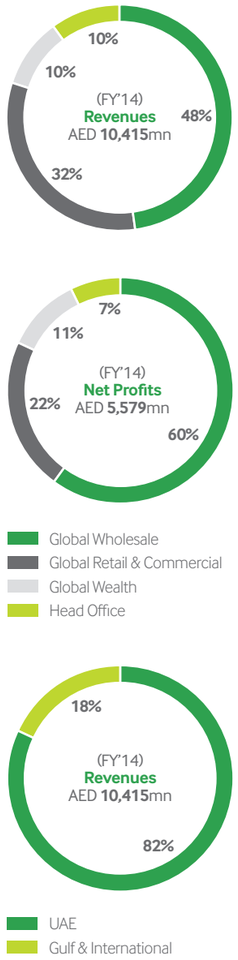
Provisions & Impairment Charges

Full-year impairments were AED 868 million in 2014, down from AED 1,206 million in 2013, reflecting a year on year decline of AED 338 million or 28%. Cost of risk was further reduced by 20bps year on year from 0.63% to 0.43%. Net impairment charges continue to reflect improved asset quality, recovery in collateral values and strong risk management processes.

In 2014, the Company continued to experience write-backs as specific provision charges were lower by AED 229 million. The bank recorded an increase in collective provision charges of AED 570 million on growth in credit risk-weighted assets. Since the end of 2011, the Bank has been fully compliant with the Central Bank of UAE's requirement of 1.5% for collective provisions, which became mandatory as of year-end 2014.

Non-performing loans (NPL) increased by AED 147 million to AED 6,160 million in 2014, up from AED 6,013 million in 2013. This represents a NPL ratio of 3.07%. This relatively low level has remained steady since reaching a peak of 3.55% in Q1 2013. Total provisions represented 108% of NPLs, up from 105.2% in 2013.

Business Segments Performance



Balance Sheet

Total Assets were AED 376 billion as of 31 December 2014, up 16% versus 31 December 2013. Loans and advances to customers were AED 194 billion as of 31 December 2014, representing growth of 6%. Customer deposits were AED 243 billion, up 15% as of 31 December 2014.

The Bank continues to make deliberate efforts to increase current and savings accounts (CASA) and saw encouraging results that reflect healthy loan and deposit growth, including strong continuation of growth in CASA.

Equity, consisting of shareholders' funds of AED 34 billion and Government of Abu Dhabi Tier-I capital notes of AED 4.0 billion, grew by 10% to AED 38 billion at the end of 2014. Basel-II ratios, in accordance with the UAE Central Bank's framework, remain strong and well above the minimum 12% and 8% (Tier-1). The bank had a capital adequacy ratio (CAR) of 16.4% and a Tier-1 ratio of 15% as of 31 December 2014.

Dividends

The Board of Directors has recommended a cash dividend of 40% (or 40 fils per share) and a stock dividend of 10% (1 bonus share for every 10 shares held) for the financial year ended 31 December 2014, subject to approval by the shareholders at the Annual General Meeting.

Comprehensive information on NBAD's financials & investor presentations are available on the NBAD website www.nbad.com.

Business & Operational Review

Global Wholesale



Mark Yassin
Senior Managing Director
& Co-Head of Global
Wholesale Banking

Global Wholesale Banking (comprised of Global Banking, Global Markets, and Client Relationships) delivered strong revenue and net profit growth in the fourth quarter and for full-year 2014. 4Q'14 revenues were up 6% sequentially and 18% year-over-year, and net profits were up 10% sequentially and 39% year-over-year. For the full-year 2014, revenues were up 9% and net profits were up 18%.

Global Banking

Global Banking provides best in class financing solutions, financial advisory and transaction banking, which place NBAD's clients at the centre of what we do. Our team also advises on mergers and acquisitions, project finance, equity capital markets and balance sheet structuring. In addition, Global Banking also provides financing for acquisitions, large-scale infrastructure, energy and real estate projects, as well as high-value capital assets such as aircraft, manufacturing plant & machinery and construction equipment. Among UAE banks, we're the market leader in IPO Lead Receiving Bank services, and the premier Share Registrar and Fund Administration service provider. Our transaction banking team provides clients with trade financing and cash management solutions to meet their needs, leveraging our network across the world, thereby helping them expand into the rapidly growing markets of the West-East corridor.

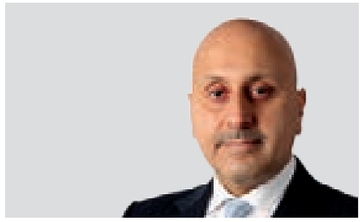
2014 Highlights

Global Banking had a highly successful year in which we helped our clients issue more bonds, loans & Sukuks than ever before in the history of the bank. We significantly improved our league table standings and we expanded NBAD's footprint and reach in new geographies along the West-East corridor. Some highlights from 2014 include:

- Joint book runner for the Emaar Malls Group LLC IPO, joint lead manager for Amanat Holdings PJSC IPO and recognition as the "Best Investment Bank UAE 2014" by Global Finance.
- Awarded "Most Active Registrar for IPO's" in UAE by DFM.
- Finished 2014 at #3 in each of GCC bonds[1], and international Sukuk[1], evidencing NBAD's leading position in Debt Capital Market and Syndicated Finance.
- Recognised by the Hong Kong SAR Sukuk winning "Best Sovereign Bond" from GlobalCapital Asia, "Best Islamic Financing" from FinanceAsia and "Emerging Asia Deal of the Year" from Islamic Finance News. Another NBAD-bookrun transaction, Etisalat's EUR/USD dual currency, four tranche debut bond offering was awarded "Overall Emerging Market Deal of the Year, Middle East & Turkey Deal of the Year" from Global Capital.

[1] Bloomberg's 2014 year-end league tables

"Clients are choosing us as their gateway to the West-East corridor because they want a credible partner who's financially very secure and offers total coverage and commitment"



Mahmood Al Aradi
Senior Managing Director
& Co-Head of Global
Wholesale Banking

Global Markets

We want to be recognised as the foremost financial market destination in the region and the first name that people think of for their company's cash management needs. Our clients require access to financial markets all over the world, so our services include credit and alternatives trading, an e-commerce platform, and foreign currency dealing. Central banks in the Middle East use us frequently and we're increasingly the banker for governments in Asia and Europe.

E-commerce is another fast-growing part of Global Market's business. All our branches now use our own electronic trading platform, which we can offer to clients as well, allowing them direct access to international sources of liquidity.

Clients are also choosing us as their gateway to the West-East corridor because they want a credible partner who's financially very secure and offers total coverage and commitment. In emerging markets foreign exchange, we are making prices in a range of corridor currencies, for traders from New York to London to Johannesburg.

2014 Highlights

Global Markets delivered strong results in 2014. Some of the highlights included:

- First bank in UAE to obtain a licence from Securities and Commodity Authority of the UAE to undertake Market-Making activities on the local exchanges.
- Developed a wide repertoire of financial and capital transactions that ranged from total return swaps to structured solutions including index-linked notes in GCC currencies that were extremely well received by sophisticated clients with either risk management or return-based objectives.
- Hosted a very prestigious and successful Global Financial Markets Forum (GFMF) which, over the past six years, has grown to become one of the most high-profile events in the Middle East.
- Significantly increased international presence in UK, USA, Egypt and Kuwait. Further growth is planned for major centres in Hong Kong, Malaysia and India in 2015.



Sukuk in the UK

In 2014, NBAD was awarded a historic mandate by the UK Government to arrange a £200 million Sukuk issue. It was the world's first Shari'a-compliant bond to be issued by a non-Islamic country.



Emerging Markets FX

NBAD is a leading player in emerging markets foreign exchange, making prices in a range of currencies such as the Nigerian naira, Kenyan shilling, Indian rupee and Moroccan dirham – and within the Arab region, currencies such as the Kuwaiti dinar and Qatari riyal.

Global Wholesale (continued)



Rola Abu Manneh
Senior Managing Director
& Head of Client Relationships

Client Relationships

Our clients in the UAE and across the world are made up of large companies, financial institutions and governments. We specialise in a number of industrial and commercial sectors so that we can offer our clients expert advice in each of the diversified industry sectors we serve – energy, real estate, financial, transport and aviation, and retail.

We want to be with our clients for the long term, helping them to grow their businesses over many years. Our financial strength and ability to provide customised solutions across their business lifecycles make us the ideal choice for our client base. While we are partners in growth, we are not merely "fair-weather" friends – we believe in long-term commitment and also engage positively with our clients in rough times too. So if we have a client who has a problem – but we believe their business is fundamentally sound – our aim jointly is to partner with our clients in putting together a future plan where we can share in our clients' success.

Our deep knowledge of the region and our sectoral expertise make us a key player in the Gulf. We are helping to generate growth and diversify the economic base of the UAE, which aligns our strategy with the Abu Dhabi 2030 Vision. Whilst we are an integral part of the region's financial landscape, our outlook is to act local, think global. We are helping international companies establish in the region, and we're winning high-profile mandates across our product offerings. More and more, we are supporting local clients to help them expand their horizons overseas. Increasingly, as we develop our global capabilities, we are also meeting the needs of clients across the West-East corridor.

2014 Highlights

Client Relationships continued to focus on maintaining a world-class service culture. Several highlights include:

- Strong growth across the Wholesale bank underpinned by the "right" coverage model.
- Built the right sector focus and put together leadership and teams of international bankers with strong industry backgrounds, which enable us to speak the same business and technical language as our clients.
- Transitioned from product-centric to a client-centric trusted advisor model with the objective of earning the right to be a trusted advisor to our clients to understand their needs better.
- Independent customer satisfaction survey conducted by Greenwich Associates revealed that NBAD ranked first among its peers in terms of client coverage and quality of sales coverage.

#3

Ranked #3 in GCC Bonds, MENA Syndicated Loans and International Sukuk for 2014 by Bloomberg

26

2014 year-end industry awards received recognising NBAD's expertise in bonds, loans and Sukuk

"We want our clients to be with us for the long term, helping them to grow their businesses over many years"

Airline Finance

NBAD's team of aviation experts has structured hundreds of millions of dollars in aircraft leasing and other financing facilities for leading airlines in the UAE and Indonesia.



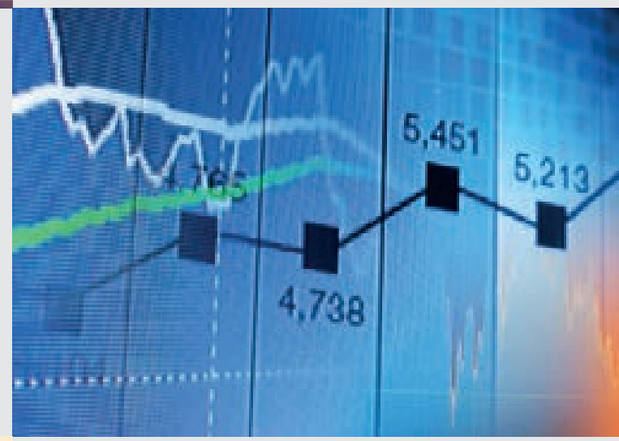


Landmark Real Estate transactions

NBAD was proud to act as joint book runner and lead receiving bank on the AED 5.8 billion IPO of Emaar Malls Group PJSC (EMG), the leading owner and operator of shopping malls in Dubai, including The Dubai Mall, in one of the largest IPOs in the region since 2007. NBAD also worked with Emaar Malls on its USD 1.5 billion Murabaha term loan facility as initial mandated lead arranger, underwriter and bookrunner.

Innovation in Sukuk

NBAD was joint bookrunner on the first-ever socially responsible Sukuk, first-ever "Vaccine Sukuk" and largest inaugural Sukuk offering from a supranational for the International Finance Facility for Immunisation Company: The USD 500 million Sukuk offerings illustrates NBAD's position at the forefront of Sukuk innovation.





Re-opening Egypt's syndicated loan market

The Egyptian General Petroleum Corporation turned to NBAD for its USD 1.325 billion term loan financing. NBAD drove the structuring of the transaction and was appointed as lead underwriter, Bookrunner, mandated lead arranger and facility agent, executing a highly successful and oversubscribed syndication, the first for an Egyptian issuer in the international market since 2010.

Global Retail & Commercial



Abdulla Al Otaiba
Senior Managing Director & Group Head of Global Retail & Commercial Banking

Global Retail & Commercial continues to meet the day-to-day personal banking needs of our clients and nurture the entrepreneurial spirit in the UAE and GCC. We cater to all customers regardless of income bracket, ethnic background or geographic location.

Our Customer Experience strategy and structure is dedicated to focusing on the end-to-end customer experience through our products and services, emphasising a seamless experience across all our channels and focusing on growing valuable relationships.

2014 Performance

Global Retail & Commercial delivered strong revenue and profit growth in 2014 despite significant margin compression. 4Q'14 revenues were up 10% sequentially and 11% year-over-year, and net profits were up 14% sequentially, but down 15% year-over-year. For the full-year 2014, revenues were up 8% and net profits were up 11%. The year-over-year growth in 4Q and for FY 2014 reflects continued strength in retail loans and deposits, particularly in the UAE. Sequentially, revenues and profit grew while ongoing investments in branch refurbishments and hiring new talent continued. There were a number of key initiatives in 2014, including:

- Embarked on ambitious branch conversion project, aimed at ensuring a vibrant, welcoming and more customer friendly atmosphere and consistent look and feel; first batch of 24 branches and cash offices in final stages of completion.
- Doubled the bank's sales force, leading to substantial increase in business volumes.
- Established partnership with Real Madrid to be the only bank outside Spain to issue co-branded Real Madrid cards, making it an exclusive and unique offering in the UAE. NBAD's Real Madrid products carry a range of exciting offers and benefits, from complementary Real Madrid merchandise and match tickets to exclusive travel and lifestyle benefits. NBAD proudly hosted Real Madrid's first friendly match ever in the UAE, as official sponsor of the Dubai Football Challenge.
- Launched "Falkom Tayeb", an Emiratisation initiative in partnership with Abu Dhabi Tawteen Council, training 118 UAE nationals and placing them in our retail arm, in line with Emiratisation programme and Vision 2030.
- Recognised as "Best Branch Customer Service for 2014" by Ethos Consulting's UAE Banking Benchmark Index for UAE.

Plans for 2015

Focused on implementing Dubai strategy, enhancing Islamic banking offerings, enhancing cross-sell opportunities and commercial lending programme and trade-related business going forward.

8%
In 2014 revenues were up 8%

11%
Net profits were up 11%

Best Branch
Recognised as "Best Branch Customer Service for 2014" by Ethos Consulting's UAE Banking Benchmark Index for UAE

"Our Customer Experience strategy and structure is dedicated to focusing on the end-to-end customer experience through our products and services, emphasising a seamless experience across all our channels and focusing on growing valuable relationships"



Enhancing the Branch Network

Branch enhancement project will create more vibrant, welcoming and customer-friendly environments with a consistent look and feel across the network.

Real Madrid Partnership

NBAD to be the only bank outside Spain to issue co-branded Real Madrid cards, making it an exclusive and unique offering in the UAE. Alex Thursby *NBAD Group Chief Executive Officer* and Abdulla Al Otaiba *Senior Managing Director & Group Head of Global Retail & Commercial Banking* officially launched the partnership at the Real Madrid Santiago Bernabéu Stadium together with famous footballers and Real Madrid Chairman Florentino Pérez.





Launched "Falkom Tayeb" initiative

Launched "Falkom Tayeb" initiative in partnership with Abu Dhabi Tawteen council, training 118 UAE nationals and placing them in our retail arm, in line with the Emiratisation programme and Vision 2030, and supporting UAE nationals in the Banking Sector.

Global Wealth



Rudiger von Wedel
Senior Managing Director
of Global Wealth

In Global Wealth, we aim to be the trusted advisor for Arab investors, locally and internationally, and to provide regional expertise to international clients looking to invest into MENA. Our clients are both individuals and institutions, many of whom have been with us for decades.

2014 Performance

Global Wealth had another strong year, delivering double-digit asset growth, which drove solid financial results. In 4Q'14, revenues were up 3% sequentially and 37% year-over-year, and net profits were down 7% sequentially, but up 34% year-over-year. For the full-year 2014, revenues were up 61% and net profits were up 89%. The performance in the year marked a continuation of the momentum and significant growth the business has been achieving for a number of years. The business benefited from some high-profile UAE IPOs but was also impacted negatively in the fourth quarter by volatility in the market and reduced investor confidence. Some highlights from the year included:

- Expanded network in Egypt, GCC, London and Paris, improving client coverage capabilities.
- Opened nine new markets in Sub-Saharan Africa for custody business.
- Developed new investment products focused on stronger Islamic and Middle East offerings.
- Invested in operational spine, including portfolio management system and online custody portal.
- AUM grew 36% within Private Bank, driven by investment sales in UAE & Switzerland and loans in UK.
- NBAD Securities continued to gain market share and now has over 9.5% of the market.
- Global Asset Management grew AUM by 46%, attracting substantial inflows of new client assets.
- Won a number of industry awards, including:
  - "Best Islamic Fund" – Global Islamic Finance Awards
  - "Best GCC Equity Fund" – Banker Middle East
  - "Private Bank of the Year UAE" – The Banker & Professional WM Magazine
  - "UAE Best Fund Manager" – Wealth Briefing GCC Region Awards
  - "Best Brokerage House in UAE, 2014" – International Finance Magazine

Plans for 2015

Our priorities for 2015 remain to continue to focus on enhancing our client service and proposition by expanding the range and breadth of investment products and solutions we offer, developing and hiring the best private bankers, investment advisors, brokers and fund managers and delivering these through world-class operational platforms.

61%
Revenues were up 61%

89%
Net profits were up 89%

Winner
Won Best Islamic Fund Award

"In Global Wealth, we aim to be the trusted advisor for Arab investors, locally and internationally, and to provide regional expertise to International clients looking to invest into MENA"

A significant MENA Equity Mandate for a GCC sovereign wealth fund

Serving as an example of leveraging the Global Wealth and NBAD networks to win deals and promote cross-selling, this deal involved multiple NBAD divisions, from NBAD's Custody and Global Wealth to the NBAD branch in the country which helped to source the deal.





NBAD launched new Margin Trading Service

The product now accounts for a significant proportion of NBADS's trade volume and total revenue. The service's robust control environment, strong collateral and advisory expertise ensured that clients and NBAD were well protected during periods of high market volatility.

Launch of our Investment Advisory Service

Launched in 2014, this service helps clients access investment advice, has been popular with clients and has had strong AUM and revenue growth. Through the service, revenue is derived from across the NBAD network and encompasses different Global Wealth businesses (Custody, NBADS) as well as the Global Markets Business in the Wholesale Bank to offer clients an end-to-end solution.





Largest Custody Mandate to date won

Transferred a prominent investment company's AED 20 billion investment portfolio to NBAD from a major international bank. This win is significant and demonstrates the strength of our Custody proposition. As the first and only UAE-originated bank licensed to provide Custodial services, NBAD is a natural partner for institutions investing on behalf of the Abu Dhabi government.

Our People

We are one of the largest employers in Abu Dhabi and an employer of choice in the UAE.



Ehab Hassan
Senior Managing Director & Group Chief Human Resources Officer

At NBAD, we know the most valuable asset in any organisation is its people. In Human Resources, we view our role as building the human capital of the Bank. In other words, we are developing the talent, motivation and commitment of our staff, which is critical for delivering first-class service to our customers and fundamental to the Bank's success.

We are one of the largest employers in Abu Dhabi and an employer of choice in the UAE. As a strong supporter of the government's Emiratisation Programme, around 34% of our employees in the UAE are Emirati, and we have a number of initiatives aimed at increasing that number over time.

For those from other nationalities looking to reside in the region, the UAE is a great place to work and raise a family. It is a stable country with a flourishing economy, and while our roots are in Abu Dhabi, we have a global outlook and recruit from an international talent pool.

At NBAD, we are continually challenging ourselves to raise the bar, which is why our commitment to developing a learning culture and robust performance management plays such a strategic role in the Bank – investing in talent, setting objectives and recognising outstanding performance. We are finding that people recognise the momentum at NBAD: we offer a clarity of purpose and sense of direction that's very attractive to potential employees. People want to come and work here. And we want to be a magnet for world-class talent in the sector.

7,293
NBAD employees worldwide

1,343
Outside the UAE

5,950
In the UAE

80
Nationalities work at NBAD

"In Human Resources, we see our role as building the human capital of the bank"

Emiratisation Highlights

In 2014, NBAD exceeded the target by 69 UAE nationals, through a number of initiatives taken by the Bank, including the following:





Watani Initiative

Sponsoring UAE nationals to complete their Master's degree in Finance and Management & International Business from Zayed University and join the Bank after successful graduation.

Mustaqbali & Tomouh

2014: Programme is designed for Emiratis who are currently pursuing full-time university education in the UAE and interested in pursuing a career in banking and financial services. NBAD has 76 sponsored (71 Mustaqbali & 5 Tomouh) under this programme.





Flagship Programme

21 interns/students to complete their higher education degrees from local and overseas universities.

Antarctic Expedition

Enrolled two UAE nationals into a special leadership development and sustainability programme (Antarctica) which is part of our UAE nationals development.

2014 Review

In 2014, we implemented a number of changes and initiatives, including:

- Restructured the Group Human Resources to create a flatter, more strategic organisation.
- Implemented a new Broad Band Structure and competency based framework methodology, simplifying by replacing the 16 grade system with five broad bands.
- Introduced a new performance management system (PMS) which will be used globally.
- Launched "Bring Your Heart to Work" Programme which supports customer excellence at all staff levels. A total of 20 sessions have been completed in U.A.E., Oman & Egypt during 2014.
- Launched the "Professional Bankers" initiative, establishing a first-class career path to selected candidates and future leaders of the Bank. 285 staff entered the inaugural class of Professional Bankers in 2014.
- Introduced assessments for all new joiners to a fair and objective measure and provide useful information about their abilities, attitudes, and personality traits.
- Introduced a new Value, - "Accountability" – to complement the existing NBAD Values, to empower our people and to hold each other accountable for performance and behaviour.
- Our training facilities, NBAD Academies (Abu Dhabi and Dubai) continued to provide necessary support to accommodate the execution of all Human Resource initiatives, as well as enhancing the E-Learning utilisation across the group.
- Watani Initiative:
  - AFAQ: 22 students graduated in Finance in 2014.
  - Sadara: 21 students ongoing as of 2014 in Management & International Business (out of which 12 are awaiting official confirmation of their graduation).

Sustainability

We are proud of our role in society: from helping people manage their money to facilitating trade and investment. We take capital from today and deploy it effectively for tomorrow.

"As a good corporate citizen we want to become a leading advocate for SMEs in the UAE, and to highlight the role of the financial sector in the future of energy, which is a pressing global issue"

And by doing so, we are creating jobs, developing infrastructure, and helping the nation to prosper. NBAD has been an integral part of the UAE's past and we are playing a critical role in its future. Because of the important position we have in the lives of individuals and in the country, it really matters that we conduct our business in a responsible and sustainable way. That means being honest, fair, and transparent, and using good judgment and common sense to manage risk.

During 2014, in support of our commitments towards sustainability, we launched our Corporate Citizenship Strategy to be recognised as a leading bank on a number of issues that have global significance and local relevance. As a good corporate citizen we want to become a leading advocate for SMEs in the UAE, and to highlight the role of the financial sector in the future of energy, which is a pressing global issue.

The demand for renewables and energy efficient technology will continue to grow, and at NBAD we believe the finance sector has a vital part to play. That is why we are working with the global consultancy PwC and Cambridge University, as well as the Masdar Institute, to find out more about the role we can play in new energy solutions and how the financial sector can help shape a more sustainable future. It is our hope that these research findings will enable us to make a real contribution to an energy mix that's more diverse and more sustainable.

Small and medium-sized businesses are powerful engines of wealth generation and job creation, providing livelihoods for individuals and their families. At NBAD, we are committed to helping SMEs in the UAE to flourish. In 2012, we formed a partnership with the Khalifa Fund for Enterprise Development and set up an equity fund to support promising young Emirati businesses. We want to build on that – identifying and boosting SMEs with high growth potential and inspiring the next generation of UAE businesses. In partnership with media company, CPI Financial, we have created a new award to celebrate outstanding local manufacturing SMEs. We aim to help equip SMEs with the essential skills and capabilities they need to run a successful business – whether that involves IT, management or technical skills. We are also setting up a trade finance fund to support small local manufacturing companies which have the potential to grow in export markets. By supporting SMEs, it is our belief that we can also make a significant contribution towards Abu Dhabi's 2030 Vision for a more diverse and resilient economy.

In addition to the growth of our corporate citizenship strategy, over the past 12 months, we have increased our level of engagement with our stakeholders to obtain their views on the role of a bank, and how a bank should operate in a responsible and safe way towards its customers, the community and the environment. This has helped us understand which issues are the most important to our stakeholders, and which have the greatest potential impact on our ability to deliver our sustainability strategy.

New Launch

In 2014, NBAD launched the Corporate Citizenship Strategy to be recognized as a leading bank on a number of issues that have global significance and local relevance

Highest Ranked

2nd consecutive year, NBAD was the highest ranked bank on the S&P Hawkamah ESG Pan Arab Index

CSR Label Award

Received the Dubai Chamber 2014 CSR Label Award for the sustainability initiatives

"It really matters that we conduct our business in a responsible and sustainable way"

In 2014, we achieved many successes in our sustainability journey, which include the following:

- For the second consecutive year, NBAD was the highest-ranked bank on the S&P Hawkamah ESG Pan Arab Index, which ranks and tracks the performance, transparency and disclosure of regional companies on Environmental, Social and Corporate Governance issues. This demonstrates our strong and progressive environmental, social and corporate governance practices as indicated by the index criteria.
- We received the Dubai Chamber 2014 CSR Label Award for the sustainability initiatives that were implemented during this year.
- The Group IT team won the Datacenter Dynamics award for 'Innovation in IT Optimisation' in the category of Data Center Technology for the Europe and Middle East region. This was a result of tireless efforts to reduce space and power consumption through various optimisation initiatives.
- The Sustainability Team conducted a successful Sustainability Awareness Week for NBAD staff to raise awareness on the importance of issues such as waste management and recycling, reducing energy and water consumption, using sustainable transport options, and the impacts of climate change. A key highlight of the 2014 Sustainability Awareness Week was the launch of our sustainability awareness e-learning training programme for NBAD staff. This was developed in order to enhance our employees' awareness and understanding of the concept of sustainability within NBAD, and how to work in a more responsible and sustainable way.



- NBAD continues to support the Abu Dhabi Department of Transport's Transport Mobility Management Plan (TMMP) and provides its employees with a range of sustainable transport options through a park and ride scheme, car sharing scheme and the provision of free shuttle bus services between the Abu Dhabi offices.
- Within our own operations and facilities, we continue to monitor and measure our environmental footprint and are constantly seeking ways to minimise water wastage, fuel use and greenhouse gas emissions.

Moving forward, we will continue to introduce processes to measure our progress and ensure sustainable success in our operations.

Comprehensive information on Sustainability at NBAD is available on the NBAD website www.nbad.com.

Risk Management

As a diversified financial institution, NBAD offers a wide range of products and services spanning the West-East corridor. This naturally exposes us to a variety of risks inherent in carrying out our business activities.

The way we manage these risks is fundamental to the delivery of our strategic objectives. The Group has clear risk management objectives and a well-established framework that underpins the delivery of these objectives.

Our Risk Management Objectives

At a strategic level, our risk management objectives are to:

- be guided by our risk appetite, which is the aggregate level and types of risk the Group is willing to accept, or to avoid, in order to achieve its business objectives;
- identify, assess, control, report and manage all material risks to ensure that our risk profile remains within our risk appetite at all times;
- enable and empower business divisions to identify, interpret, discuss and make choices and decisions between risk and opportunities in a manner consistent with our risk appetite;
- however, at the same time, establish strong and independent review and challenge structures;
- ensure that business growth plans are properly supported by effective risk infrastructure;
- continuously strive to institutionalise the belief that risk management is the responsibility of every employee within the Group; and
- foster a high-performance culture that continually focuses on strengthening the risk capabilities of all our people.

Robust Governance and Three Lines of Defence Model

Our robust risk governance structure is the foundation of our risk management framework.

- At the apex sits the Board, which has the overall responsibility for the establishment and oversight of the Group's risk management framework.
- The Risk Management Committee of the Board (RMC) is responsible for approving the risk appetite and ensuring that the Group's risk profile remains within its risk appetite at all times. The Group Chief Risk Officer regularly presents reports to the RMC summarising developments in the risk environment, alignment of business strategy with risk appetite, and performance trends in the key portfolios. The RMC oversees the management of the most significant risks through the regular review of risk exposures and related key controls.
- The RMC is assisted by two management level committees – the Group Risk Committee (GRC) and the Group Assets and Liability Committee (G-ALCO). The former reviews and recommends the risk appetite to the RMC and also ensures effective management of credit, market, operational risk, business continuity and reputational risk. The latter reviews and is accountable to the RMC for Bank's balance sheet structure and quality, management of liquidity, and the funding plans.

The Group follows a 'three lines of defence' model, which is central to our risk management framework.

- **First line**: Business divisions, as the first line of defence, identify and manage risks in their day-to-day activities by ensuring that activities are within the Group's risk appetite and in compliance with all relevant internal policies and processes.
- **Second line** – Risk Group (comprising head office risk and risk functions embedded in business divisions) and Legal & Compliance division, as the second line of defence, establish risk controls comprising policies, frameworks, processes and analytical tools, while also providing oversight and independent challenge to the first line.

#25

Ranked amongst the world's 50 Safest Banks by the prestigious Global Finance magazine

0.43%

NBAD's cost-of-risk is less than half of the UAE average

3.07%

Our ratio of non-performing loans to total loans, at 3.07%, is half the UAE average

"Our risk culture is fundamental to the delivery of our strategic objectives"

- **Third line** – Internal Audit forms the third line of defence, providing independent assurance to senior management and the Board over the design and operation of NBAD's risk management, governance and controls.

Risk Culture

Our risk culture is fundamental to the delivery of our strategic objectives. For us, risk culture is defined by the norms for behaviour within the Bank that determine the collective ability to identify and understand, openly discuss and act on NBAD's current and future risks. Certain key elements of risk culture that are embedded across the Group include:

- Institutionalising risk appetite: In addition to setting risk appetite at the Group level, we seek to institutionalise risk appetite at business division level by way of divisional risk appetite and underwriting standards.
- Communication: We encourage information sharing and engagement between the Risk Group and business divisions, leading to enhanced risk transparency and effective communication. We promote a culture where concerns regarding potential or emerging risks are escalated to senior management so that they can be evaluated and appropriately addressed.
- Reward and recognition: We reward and recognise people to reinforce actions which are aligned with prudent risk-taking and appropriate use of capital. We also remain mindful that our compensation practices do not encourage excessive risk-taking. Individual awards are based on compliance with NBAD's values and the achievement of financial and non-financial objectives which are aligned to our risk appetite and global strategy.
- **Risk skills enhancement**: Our risk skills enhancement programmes aim to foster a deep understanding of NBAD's capital and risk management frameworks across the Group. We partner with the NBAD Academy, risk experts – both internal and external, teaching professionals, and educational service providers, to develop and deliver bespoke training programmes for all levels of people across the Group.

Recognition and Achievements

As a testament to our disciplined and integrated approach to risk management:

- NBAD enjoys one of the strongest combined rating of any Middle Eastern financial institution.
- Since 2009, NBAD has been ranked consecutively as one of the World's 50 Safest Banks by the prestigious Global Finance magazine. In fact, in 2014, we were ranked as the 25th safest bank in the world.
- The Business Continuity Institute (BCI) Middle East Awards named the NBAD's business continuity team as the BCM Team of the Year 2014. BCI Middle East Awards recognises outstanding contribution of business continuity professionals and organisations in the Middle East.
- NBAD's asset quality remains one of the best in the UAE. Our ratio of non-performing loans to total loans, at 3.07%, is half the UAE average.
- NBAD's cost-of-risk at 0.43% is again less than half of the UAE average.

Our risk management approach has served us well in the past, and we have every reason to feel positive and confident that we will continue to play a key role in realising our vision of being the World's Best Arab bank.

Corporate Governance

NBAD and its Group companies recognise their responsibility to demonstrate ethical and sustainable business practices in the United Arab Emirates and abroad. A comprehensive corporate governance framework plays a key role in NBAD's culture, business practices and regulatory compliance.

"The Board of Directors is responsible for directing the Group's affairs, to create and preserve value through the Group's operations, and to consider the shareholders' and other stakeholders' interests"

The corporate governance culture of NBAD is driven by:

- The responsibility of the Board to direct the Group's affairs and set its objectives;
- The selection of productive strategies and management of risk;
- The appropriate delegation and monitoring of power and accountability to management;
- Satisfying the interests of stakeholders through relevant and material disclosures;
- Ensuring compliance with all regulatory obligations; and
- Engaging with the community.

NBAD Guiding Principles of Corporate Governance and Corporate Governance Framework



Board of Directors and Committees

NBAD's Board of Directors consists of 11 Board Members. Six of the 11 Directors, including the Chairman of the Board, are nominees of the Abu Dhabi Government, and five Directors were elected by the minority shareholders during the Annual General Meeting in 2012. Board Election is taking place at the Annual General Meeting on the 10 March 2015.

All Directors are Non-Executive and two of those elected by minority shareholders are considered to be independent according to criteria set out by SCA.

The composition of the Board satisfies the generally acceptable corporate governance practice relating to the separation of Chairman and Group Chief Executive and the majority membership of Non-Executive Directors.

The Board of NBAD has overall responsibility for directing the Group's affairs, to create and preserve value through the Group's operations, and to consider the shareholders and other stakeholder interests. It has documented its roles and responsibilities in a Board Charter and associated policies.

The Board is responsible for making delegations to the management, including the definition, scope, frequency, and nature of powers. Aside from certain authorities and powers reserved by the Board for its own decision-making, the Group Chief Executive is delegated full responsibility for the management, operations and compliance of NBAD. To satisfy its oversight role, the Board has defined a clear control structure which monitors the management's activities, in addition to creating supporting controls and reporting structures both internal and external to the firm. The delegation and control structure is also subject to compliance with, and oversight by, regulators and third parties, including the Central Bank of the UAE, and the Securities & Commodities Authority of the UAE and regulators in jurisdictions where NBAD operates.

The Board has mandated Codes of Conduct which apply to Directors, employees and agents of NBAD. The codes encourage appropriate behaviour; define inappropriate behaviour; and the process and outcome for the identification and reporting of such behaviour.

Consistent with NBAD's approach to employ high standards for transparency and disclosure for the benefit of shareholders and other stakeholders, NBAD publishes a wide range of reports containing financial and non-financial data, in addition to disclosures required for regulatory purposes.

NBAD has established a number of functions committed to engagement and communication with external stakeholders. These include Investor Relations, Sustainability, Company Secretariat and Corporate Communications. In addition, internal transparency and disclosure is considered from operational, ethical and regulatory perspectives, ensuring that staff are aware of NBAD developments, strategies, risks and their personal responsibilities and duties, whilst protecting customer and personal data confidentiality, sensitive information, and commercial secrets.

Shareholder rights and interests include reserved powers in the UAE Commercial Companies Law and NBAD Articles of Association, and are supported by the duty of the Board to act in the interest of the Company. NBAD acknowledges that there are diverse interests within the shareholder base, and that the Board considers such interests when determining the objectives and strategies for the Group.

The Board has established five Sub-Committees:

- Risk Management Committee;
- Audit Committee;
- Human Resources Committee;
- Corporate Governance and Nominations Committee; and
- Strategy and Transformation Committee.

Each of these committees remains an integral part of the Board and whose members are Directors of the Board. The remit of these Committees is to consider topics in more detail, to manage conflicts of interest, to satisfy regulatory rules, and other relevant activities as necessary to ensure the proper governance of the Group.

Corporate Governance

For the fifth consecutive year, NBAD rose in the S&P Hawkamah ESG Pan Arab Index, reaching second place

In 2014, NBAD won the "Ethical Boardroom Corporate Governance Awards" for the Best Corporate Governance – Financial Services in the Middle East

The Terms of References, Mandates and Charters of these Committees are reviewed on a yearly basis, to align more closely with the changing structure of the Group.

Regulatory Compliance

NBAD is regulated by the Central Bank of the UAE and is therefore required to comply with the Central Bank regulations, circulars and notices issued from time to time. In addition, NBAD is required to comply with all applicable laws and regulations of the UAE and those of the jurisdictions in which it operates, including, without limitation, the UAE Commercial Companies Law, rules and standards established by the Securities and Commodities Authority (SCA) of the UAE, and the NBAD Articles of Association.

Senior management has the responsibility to ensure compliance with applicable laws and regulations, and report on such matters to the Board. The Board provides guidance and oversight in terms of risk appetite, significant compliance and risk strategies, and dealing with compliance and risk outcomes.

Risk and Control Framework

The Board of Directors has approved and implemented an extensive internal control system, which includes:

- Control environment and codes of conduct for the Board and staff.
- Risk management.
- Control functions.
- Management Information systems
- Monitoring, security and prevention systems.

The significant functions which form the control system include Internal Audit, Risk, Legal and Compliance, and Company Secretariat.

NBAD has implemented a comprehensive set of policies for the prevention and detection of fraud, corruption, bribery, money laundering and other criminal and civil offences. NBAD has an over-arching Whistleblowing Policy which incorporates independent reporting channels, confidentiality and sensitivity, investigation powers, escalations, reporting re-integration of findings into the operational and control framework, and regulatory co-operation.

Recognition, Achievements, Trainings and Evaluation

In 2014, NBAD won the "Ethical Boardroom Corporate Governance Awards" for the Best Corporate Governance – Financial Services in the Middle East.

For the fifth consecutive year, NBAD rose in the S&P Hawkamah ESG Pan Arab Index, reaching second place. The index provides a measure of total organisational performance by linking stock market success to Environmental, Social and Governance indicators. NBAD values this measure highly and has integrated continued positioning on the index into senior management performance measures.

To refresh the Board of Directors' skills and knowledge, Hawkamah made a presentation to the Board Members on Corporate Governance Best Practices on 4 November 2014.

Performance evaluation of the NBAD Board and its committees takes place on an annual basis, forming a key component of the Bank's Corporate Governance Framework.

2015 Strategic Actions

- Enhance the Regulatory Compliance Framework and Reporting;
- Govern and monitor systems, policies and procedures;
- Review and assess the Bank's Corporate Governance Framework;
- Ongoing training and awareness across the Board and the Group;
- Maintain and build strong relations with internal and external stakeholders;
- Hakwamah award submission; and
- Delegation of Authority.



Comprehensive information on Corporate Governance at NBAD is available on the NBAD website www.nbad.com.

Shareholders' Information

Our objective is to enable stakeholders to make informed assessments and decisions about the Group's value in the marketplace

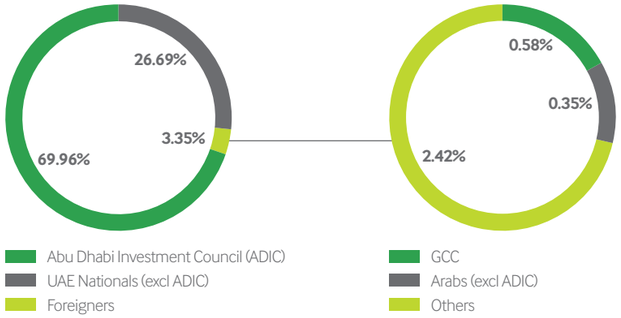
Major Shareholders

Shareholders' owing more than 5% of Share Capital

ADIC
69.96%[1]

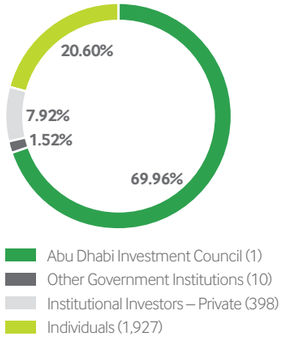
* 69.77% - of issued Share Capital

NBAD Shareholding[1] by Nationality



Foreign ownership is restricted to 25% of the total shares listed on the exchange. As of 31 December 2014, foreign ownership in NBAD shares amounted to 3.35% (31 Dec 2013 – 2.47%).

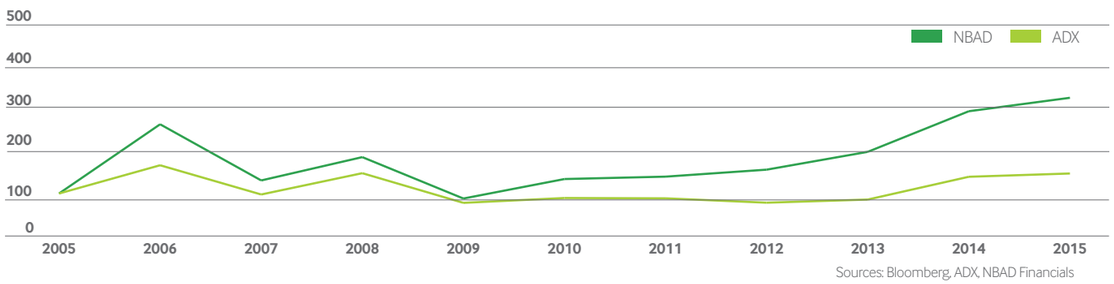
NBAD Shareholding[1] by Category



Description

	2010	2011	2012	2013	2014
Return to shareholders:					
• Capital Gains[2]	4.2%	11.9%	26.9%	48.7%	**10.8%**
• Cash Dividend Yield[3,6]	2.6%	2.7%	3.4%	2.9%	**2.9%**
Stock Dividends (Bonus shares)[4,6]	20%	35%	10%	10%	**10%**
Cash Dividend (AED/share)[6]	0.30	0.30	0.35	0.40	**0.40**
Cash Dividend Payout	19.5%	23.2%	31.4%	36.2%	**33.9%**
Market Capitalisation (AEDmn)[3]	28,700	31,427	39,908	54,422	**66,306**
Number of shares issued (AEDmn)	2,392	2,870	3,875	4,306	**4,736**
P/E Ratio (on Basic EPS)	8.2	9.0	9.7	13.2	**12.3**
P/B Ratio	1.4	1.4	1.5	2.0	**2.0**
Share Price[5]: (AED/share)					
• High	6.35	7.29	8.60	12.73	**17.25**
• Low	5.03	5.56	6.37	8.51	**10.05**
• Closing	5.99	6.70	8.50	12.64	**14.00**
• Daily Average Volume (shares)	257,621	320,169	399,553	646,533	**948,979**
Relative Returns (capital gains):					
• NBAD vs ADX return	5.0%	23.5%	17.4%	-14.4%	**5.2%**
• NBAD vs ADX Banks' return	-1.0%	12.0%	9.1%	-19.3%	**-3.3%**

NBAD vs ADX (indexed performance since 2005)



Sources: Bloomberg, ADX, NBAD Financials

1 Based on total outstanding number of shares (Issued less treasury shares)
2 Percentage change in price during the year (closing price – opening price)
3 Based on unadjusted closing price
4 Shown as a percentage of face value
5 Share prices adjusted for bonus share issuances
6 Dividends (Cash & Stock) for 2014 are proposed and subject to approval by the shareholders at the AGM

www.nbad.com



Consolidated Financial Statements

31 December 2014

بنك ابوظبي الوطني
NBAD

Consolidated financial statements

Contents ***Page***

Index	1
Independent auditors' report	2
Consolidated statement of financial position	3
Consolidated statement of profit or loss	4
Consolidated statement of other comprehensive income	5
Consolidated statement of changes in equity	6
Consolidated statement of cash flows	7
Notes to the consolidated financial statements	8 - 87

KPMG Lower Gulf Limited
Abu Dhabi Branch
P O Box 7613
Abu Dhabi
United Arab Emirates

Telephone +971 (2) 4014 800
Telefax +971 (2) 6327 612
Website www.ae-kpmg.com

Independent Auditors' Report

The Shareholders
National Bank of Abu Dhabi PJSC

Report on the Consolidated Financial Statements

We have audited the accompanying consolidated financial statements of National Bank of Abu Dhabi PJSC ("the Bank") and its subsidiaries ("the Group"), which comprise the consolidated statement of financial position as at 31 December 2014, the consolidated statements of profit or loss, other comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2014, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards.

Report on Other Legal and Regulatory Requirements

As required by the UAE Federal Law No. 8 of 1984 (as amended), we further confirm that we have obtained all information and explanations necessary for our audit; the financial statements comply, in all material respects, with the applicable requirements of the UAE Federal Law (8) of 1984 (as amended), Union Law no.10 of 1980 and the Articles of Association of the Bank; that proper financial records have been kept by the Bank; and the contents of the Chairman's report which relate to these consolidated financial statements are in agreement with the Group's financial records. We are not aware of any violation of the above mentioned Laws and the Articles of Association having occurred during the year ended 31 December 2014, which may have had a material adverse effect on the business of the Bank or its financial position.

Austin Rudman
Registration no. 844

28 January 2015

KPMG Lower Gulf Limited, registered in the UAE and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity. All rights reserved

Consolidated statement of financial position

As at 31 December

	Note	2014 AED'000	2013 AED'000
Assets			
Cash and balances with central banks	7	**55,452,341**	35,061,054
Investments at fair value through profit or loss	8	**15,425,662**	2,645,893
Due from banks and financial institutions	9	**11,134,262**	20,100,371
Reverse repurchase agreements	10	**15,844,377**	18,932,199
Derivative financial instruments	39	**7,422,828**	6,146,006
Loans and advances	11	**194,279,352**	183,811,494
Non-trading investments	12	**67,493,122**	50,846,059
Other assets	13	**6,370,981**	4,909,712
Investment properties	14	**177,533**	135,260
Property and equipment	15	**2,498,254**	2,473,608
Total assets		**376,098,712**	325,061,656
Liabilities			
Due to banks and financial institutions	16	**36,679,504**	35,760,382
Repurchase agreements	17	**13,875,917**	1,352,121
Euro commercial paper	18	**5,484,176**	6,752,015
Derivative financial instruments	39	**10,953,124**	7,454,016
Customers' deposits	19	**243,184,652**	211,097,222
Term borrowings	20	**14,998,716**	18,690,168
Other liabilities	21	**11,442,600**	7,772,018
		336,618,689	288,877,942
Subordinated notes	22	**1,516,641**	1,512,323
Total liabilities		**338,135,330**	290,390,265
Equity			
Share capital	23	**4,723,172**	4,280,470
Share premium	25	**245,473**	143,608
Statutory and special reserves	23	**4,736,112**	4,305,556
Other reserves	23	**17,387,121**	15,936,184
Government of Abu Dhabi tier 1 capital notes	24	**4,000,000**	4,000,000
Share option scheme	25	**151,427**	107,682
Convertible notes - equity component	20, 22	**108,265**	108,265
Retained earnings		**6,611,812**	5,789,626
Total equity		**37,963,382**	34,671,391
Total liabilities and equity		**376,098,712**	325,061,656

Nasser Ahmed Khalifa Alsowaidi
Chairman

Alex Thursby
Group Chief Executive

James Burdett
Group Chief Financial Officer

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 2.

Consolidated statement of profit or loss

For the year ended 31 December

	Note	2014 AED'000	2013 AED'000
Interest income	26	8,634,612	8,085,522
Interest expense	27	(1,935,649)	(1,881,653)
Net interest income		6,698,963	6,203,869
Income from Islamic financing contracts	28	336,892	328,691
Depositors' share of profits	29	(17,837)	(22,903)
Net income from Islamic financing contracts		319,055	305,788
Net interest and Islamic financing income		7,018,018	6,509,657
Fee and commission income		3,002,520	2,355,228
Fee and commission expense		(691,928)	(503,058)
Net fee and commission income	30	2,310,592	1,852,170
Net foreign exchange gain	31	196,085	389,875
Net gain on investments and derivatives	32	764,402	311,022
Other operating income	33	125,620	335,264
		1,086,107	1,036,161
Operating income		10,414,717	9,397,988
General, administration and other operating expenses	34	(3,696,033)	(3,230,388)
Profit before net impairment charge and taxation		6,718,684	6,167,600
Net impairment charge	35	(868,127)	(1,205,906)
Profit before taxation		5,850,557	4,961,694
Overseas income tax expense	36	(271,688)	(218,139)
Net profit for the year		5,578,869	4,743,555
Basic earnings per share (AED)	42	1.14	0.96
Diluted earnings per share (AED)	42	1.12	0.95

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 2.

Consolidated statement of other comprehensive income

For the year ended 31 December

	Note	2014 AED'000	2013 AED'000
Net profit for the year		**5,578,869**	4,743,555
Other comprehensive income			
Items that are or may subsequently be reclassified to consolidated statement of profit or loss			
Exchange difference on translation of foreign operations		**(22,730)**	12,318
Cash flow hedges:			
Effective portion of cash flow hedges	*23*	**(42,584)**	35,896
Fair value reserve:			
Net change in fair value during the year	*23*	**380,315**	371,735
Net cumulative amount transferred to profit or loss	*23*	**(835,852)**	(283,895)
Items that will not subsequently be reclassified to consolidated statement of profit or loss			
Re-measurement of defined benefit obligations		**(7,707)**	-
Other comprehensive income for the year		**(528,558)**	136,054
Total comprehensive income for the year		**5,050,311**	4,879,609

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 2.

Consolidated statement of changes in equity

For the year ended 31 December

	Share capital AED'000	Share Premium AED'000	Statutory reserve AED'000	Special reserve AED'000	General reserve AED'000	Government of Abu Dhabi Tier 1 capital notes AED'000	Share option scheme AED'000	Fair value reserve AED'000	Foreign currency translation reserve AED'000	Convertible notes - equity component AED'000	Retained earnings AED'000	Total AED'000
Balance at 1 January 2013	**3,874,558**	**-**	**1,937,279**	**2,128,253**	**13,469,554**	**4,000,000**	**95,312**	**699,317**	**(101,731)**	**21,420**	**5,003,179**	**31,127,141**
Total comprehensive income for the year	-	-	-	-	-	-	-	123,736	12,318	-	4,743,555	**4,879,609**
Transactions with owners of the Group												
Zakat	-	-	-	-	-	-	-	-	-	-	(17,580)	**(17,580)**
Issue of shares	39,584	340,417	-	-	-	-	-	-	-	-	-	**380,001**
Treasury shares	(25,086)	(196,809)	-	-	2,984	-	-	-	-	-	-	**(218,911)**
Bonus shares issued *(note 23)*	391,414		-	-	(391,414)	-	-	-	-	-	-	**-**
Dividends paid for 2012 *(note 23)*	-	-	-	-	-	-	-	-	-	-	(1,359,504)	**(1,359,504)**
Transfer to general reserve *(note 23)*	-	-	-	-	2,100,000	-	-	-	-	-	(2,100,000)	**-**
Options granted to staff *(note 25)*	-	-	-	-	-	-	12,370	-	-	-	-	**12,370**
Issue / expiry of conversion option on convertible notes	-	-	-	-	21,420	-	-	-	-	86,845	-	**108,265**
Payment on Tier 1 capital notes *(note 24)*	-	-	-	-	-	-	-	-	-	-	(240,000)	**(240,000)**
Transfer to statutory / special reserve *(note 23)*	-	-	215,499	24,525	-	-	-	-	-	-	(240,024)	**-**
Balance at 31 December 2013	**4,280,470**	**143,608**	**2,152,778**	**2,152,778**	**15,202,544**	**4,000,000**	**107,682**	**823,053**	**(89,413)**	**108,265**	**5,789,626**	**34,671,391**
Total comprehensive income for the year	-	-	-	-	-	-	-	(498,121)	(22,730)	-	5,571,162	**5,050,311**
Transactions with owners of the Group												
Zakat	-	-	-	-	-	-	-	-	-	-	(18,077)	**(18,077)**
Share options exercised	14,490	101,865	-	-	-	-	-	-	-	-	-	**116,355**
Treasury shares adjustment	(2,344)	-	-	-	2,344	-	-	-	-	-	-	**-**
Bonus shares issued *(note 23)*	430,556	-	-	-	(430,556)	-	-	-	-			**-**
Dividends paid for 2013 *(note 23)*	-	-	-	-	-	-	-	-	-	-	(1,712,848)	**(1,712,848)**
Transfer to general reserve *(note 23)*	-	-	-	-	2,400,000	-	-	-	-	-	(2,400,000)	**-**
Options granted to staff *(note 25)*	-	-	-	-	-	-	43,745	-	-	-	-	**43,745**
Payment on Tier 1 capital notes *(note 24)*	-	-	-	-	-	-	-	-	-	-	(187,495)	**(187,495)**
Transfer to statutory / special reserve *(note 23)*	-	-	215,278	215,278	-	-	-	-	-	-	(430,556)	**-**
Balance at 31 December 2014	**4,723,172**	**245,473**	**2,368,056**	**2,368,056**	**17,174,332**	**4,000,000**	**151,427**	**324,932**	**(112,143)**	**108,265**	**6,611,812**	**37,963,382**

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 2.

Consolidated statement of cash flows

For the year ended 31 December

	Note	2014 AED'000	2013 AED'000
Cash flows from operating activities			
Profit before taxation		**5,850,557**	4,961,694
Adjustments for:			
Depreciation	*34*	**223,024**	206,265
Accreted interest		**52,762**	39,331
Gain on sale of non-trading investments	*32*	**(835,852)**	(283,895)
Profit on buy back of subordinated notes		**-**	(268,955)
Gain on sale of investment properties		**(56,353)**	-
Net impairment charges	*35*	**1,348,655**	1,532,799
Foreign currency translation adjustment		**(394,009)**	(343,329)
Share option scheme		**43,745**	12,370
		6,232,529	5,856,280
Change in investments at fair value through profit or loss		**(12,779,769)**	628,089
Change in due from central banks, banks and financial institutions		**6,215,625**	(4,747,496)
Change in reverse repurchase agreements		**3,087,822**	(422,591)
Change in loans and advances		**(11,970,294)**	(20,726,835)
Change in other assets		**(1,436,820)**	(576,594)
Change in due to banks and financial institutions		**919,122**	283,107
Change in repurchase agreements		**12,523,796**	(664,920)
Change in customers' deposits		**32,084,777**	20,793,649
Change in derivative financial instruments		**2,377,937**	(323,879)
Change in other liabilities		**3,636,828**	289,828
		40,891,553	388,638
Overseas income tax paid, net of recoveries		**(252,399)**	(219,340)
Net cash from operating activities		**40,639,154**	169,298
Cash flows from investing activities			
Purchase of non-trading investments		**(75,911,467)**	(35,472,981)
Proceeds from sale / maturity of non-trading investments		**59,644,718**	17,285,514
Proceeds from sale of investment properties		**165,785**	-
Purchase of property and equipment, net of disposals		**(279,210)**	(328,584)
Net cash used in investing activities		**(16,380,174)**	(18,516,051)
Cash flows from financing activities			
Proceeds from issue of shares under share option scheme	*25*	**116,355**	161,090
Net movement of Euro commercial paper		**(1,267,839)**	3,920,817
Issue of term borrowings		**1,330,441**	3,377,858
Repayment of term borrowings		**(4,896,791)**	(2,843,842)
Buy back of subordinated notes		**-**	(3,814,926)
Dividends paid	*23*	**(1,712,848)**	(1,359,504)
Payment on Tier 1 capital notes	*24*	**(187,495)**	(240,000)
Net cash used in financing activities		**(6,618,177)**	(798,507)
Net increase / (decrease) in cash and cash equivalents		**17,640,803**	(19,145,260)
Cash and cash equivalents at 1 January		**36,486,123**	55,631,383
Cash and cash equivalents at 31 December	*37*	**54,126,926**	36,486,123

The notes 1 to 45 are an integral part of these consolidated financial statements.
The independent auditors' report is set out on page 2.

Notes to the consolidated financial statements

1 Legal status and principal activities

National Bank of Abu Dhabi PJSC (the "Bank") was established in Abu Dhabi in 1968 with limited liability and is registered as a Public Joint Stock Company in accordance with the United Arab Emirates Federal Law No. 8 of 1984 (as amended) relating to Commercial Companies.

Its registered office address is P. O. Box 4, Abu Dhabi, United Arab Emirates. The consolidated financial statements as at and for the year ended 31 December 2014 comprise the Bank and its subsidiaries (together referred to as the "Group"). The Group is primarily engaged in corporate, retail, private and investment banking activities, management services, Islamic banking activities; and carries out its operations through its local and overseas branches, subsidiaries and representative offices located in United Arab Emirates, Bahrain, Egypt, France, Oman, Kuwait, Brazil, Cayman Islands, Sudan, Libya, the United Kingdom, Switzerland, Hong Kong, Jordan, Lebanon, Malaysia, China and the United States of America.

The Group's Islamic banking activities are conducted in accordance with Islamic Sharia'a laws issued by the Sharia'a Supervisory Board.

The Bank is listed on the Abu Dhabi Securities Exchange (Ticker: NBAD).

The parent company of the Bank is the Abu Dhabi Investment Council, an entity owned by the Government of the Emirate of Abu Dhabi.

These consolidated financial statements were authorised for issue by the Board of Directors on 28 January 2015.

2 Basis of preparation

(a) Statement of compliance

These consolidated financial statements have been prepared on an ongoing basis in accordance with the International Financial Reporting Standards (IFRSs) (which comprises accounting standards issued by international Accounting Standards Board (IASB) as well as Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC)) and the requirements of applicable laws in the UAE.

(b) Basis of measurement

These consolidated financial statements are prepared under the historical cost basis except for the following:

- investments at fair value through profit or loss are measured at fair value;
- derivative financial instruments are measured at fair value;
- non-trading investments classified as available-for-sale are measured at fair value;
- recognised assets and liabilities designated as hedged items in qualifying hedge relationships are adjusted for changes in fair value attributable to the risk being hedged; and
- non-financial assets acquired in settlement of loans and advances are measured at the lower of their fair value less costs to sell and the carrying amount of the loan and advances.

(c) Functional and presentation currency

These consolidated financial statements are presented in United Arab Emirates Dirhams ("AED"), which is the Bank's functional currency. Items included in the financial statements of each of the Bank's overseas subsidiaries and branches are measured using the currency of the primary economic environment in which they operate. Except as indicated, information presented in AED has been rounded to the nearest thousand.

Notes to the consolidated financial statements

2 Basis of preparation *(continued)*

(d) Use of estimates and judgements

The preparation of consolidated financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expense. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in these consolidated financial statements are described in note 5.

3 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and have been applied consistently by Group entities except for the new standards and interpretations that became applicable and were adopted during the year.

New standards and interpretations adopted
During the year new standards, amendments to standards and interpretations have become effective for the period and have been applied in preparing these consolidated financial statements. These amendments are listed below:

IAS 32 (Financial instruments: Presentation): clarifies the offsetting criteria by explaining when an entity has a legal and enforceable right to set-off and when gross settlement is equivalent to net settlement, offsetting of collateral amounts.

IAS 36 (Impairment of Assets): focuses on the recoverable amount disclosures for non-financial assets. This amendment removed certain unintended disclosures of the recoverable amount of cash generating units which had been included in IAS 36 by the issue of IFRS 13. Under the amendments, recoverable amount is required to be disclosed only when an impairment loss has been recognised or reversed.

IAS 39 (Financial Instruments: Recognition and Measurement): clarifies that hedge accounting can be continued even if a hedging derivative is novated, provided the novation meets certain specific criteria.

The Group does not have a material impact on adoption of these amendments.

(a) Basis of consolidation

IFRS 10 governs the basis for consolidation where it establishes a single control model that applies to all entities including special purpose entities or structured entities. The definition of control is such that an investor controls an investee when it is exposed to, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. To meet the definition of control in IFRS 10, all three criteria must be met, including:

(a) the investor has power over an investee;
(b) the investor has exposure to, or rights, to variable returns from its involvement with the investee; and
(c) the investor has the ability to use its power over the investee to affect the amount of the investor's returns.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(a) Basis of consolidation *(continued)*

(i) Subsidiaries

Subsidiaries are investees that controlled by the Group. The Group controls the investee if it meets the control criteria discussed in note 3(a). The Group reassesses whether it has control if, there are changes to one or more of the elements of control. This includes circumstances in which protective rights held become substantive and lead to the Group having power over an investee. The financial statements of subsidiaries are included in these consolidated financial statements from the date that control commences until the date that control ceases. These consolidated financial statements of the Group comprise the Bank and its subsidiaries as listed below:

Legal Name	*Country of incorporation*	*Principal activities*	*Holding %* **2014**
NBAD Americas N.V. (*formerly Abu Dhabi International Bank N.V.)*	Curacao	Banking	100%
NBAD Securities LLC	United Arab Emirates	Brokerage	100%
Abu Dhabi National Leasing LLC	United Arab Emirates	Leasing	100%
Abu Dhabi National Properties PrJC	United Arab Emirates	Property Management	100%
NBAD Trust Company (Jersey) Limited	Channel Islands	Fund Management	100%
NBAD Private Bank (Suisse) SA	Switzerland	Banking	100%
Abu Dhabi National Islamic Finance Pvt.JSC	United Arab Emirates	Islamic Finance	100%
Ample China Holdings Limited	Hong Kong	Leasing	100%
Abu Dhabi Brokerage Egypt	Egypt	Brokerage	96%
National Bank of Abu Dhabi Malaysia Berhad	Malaysia	Banking	100%
NBAD Investment Management (DIFC) Limited[1]	United Arab Emirates	Fund Management	100%
NBAD Employee Share Options Limited	United Arab Emirates	Shares and Securities	100%
SAS 10 Magellan	France	Leasing	100%
National Bank of Abu Dhabi Representações Ltda	Brazil	Representative office	100%
NBAD Financial Markets (Cayman) Limited	Cayman Islands	Banking	100%

[1] *under liquidation*

(ii) Structured entities

A structured entity is established by the Group to perform a specific task. Structured entities are designed so that their activities are not governed by way of voting rights. In assessing whether the Group acts as a principal or has power over investees in which it has an interest, the Group considers factors such as the purpose and design of the investee, its practical ability to direct the relevant activities of the investee; the nature of its relationship with the investee; and the size of its exposure to the variability of returns of the investee.

The Group acts as fund manager to a number of investment funds. Determining whether the Group controls such an investment fund usually focuses on the assessment of the aggregate economic interests of the Group in the fund. Whilst assessing control, the Group reviews all facts and circumstances to determine whether as a fund manager the Group is acting as agent or principal. If deemed to be a principal, the Group controls the fund and would consolidate them else as an agent the Group would account for them as investments in funds.

The Group's interest in investment funds which it manages is set out below:

Type of Structured Entity	**Nature and purpose**	**Interest held by the Group**
Investment Funds	Generate fees from managing assets on behalf of third-party investors	Investments in units issued by the fund amounting to AED 579,924 thousand *(31 December 2013: AED 81,529 thousand)*

3 Significant accounting policies *(continued)*

(a) Basis of consolidation *(continued)*

(iii) Joint Arrangements and Investments in Associates

An Associate is an investee over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but not control or joint control over those policies. Investment in associates are accounted under the equity method of accounting.

A joint arrangement is an arrangement of between the Group and other parties where the Group along with one or more parties has joint control by virtue of a contractual agreement. Joint arrangement may be a joint operation or a joint venture. A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to and record their respective share of the assets, and obligations for the liabilities, relating to the arrangement. A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement and thus are accounted under the equity method of accounting.

(iv) Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in consolidated statement of profit or loss. If the Group retains any interest in the former subsidiary, then such interest is measured at fair value when control is lost.

(v) Transactions eliminated on consolidation

The carrying amount of the Bank's investment in each subsidiary and the equity of each subsidiary is eliminated on consolidation. All significant intra-group balances, and unrealised income and expenses arising from intra-group transactions are eliminated on consolidation.

(b) Financial assets and liabilities

(i) Recognition

The Group initially recognises loans and advances, customers' deposits, debt securities and subordinated notes on the date that they are originated. All other financial assets and liabilities are initially recognised on the consolidated statement of financial position when, the Group becomes a party to the contractual provisions of the instrument. These are initially measured at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

All *regular way* purchases and sales of financial assets are recognised on the settlement date, i.e. the date the asset is delivered to or received from the counterparty. *Regular way* purchases or sales of financial assets are those that require delivery of assets within the time frame generally established by regulation or convention in the market place.

(ii) Classification

(a) Fair value through profit or loss

(i) Designation at fair value through profit or loss

The Group designates financial assets and liabilities at fair value through profit or loss when either:

- the assets or liabilities are managed, evaluated and reported internally on a fair value basis; or
- the designation eliminates or significantly reduces an accounting mismatch which would otherwise arise.

(ii) Held for trading

Trading assets are those assets that the Group acquires for the purpose of selling in the near term, or holds as part of a portfolio that is managed together for short-term profit taking.

Fair value through profit or loss assets are not reclassified subsequent to their initial recognition.

3 Significant accounting policies *(continued)*

(b) Financial assets and liabilities *(continued)*

(ii) Classification (continued)

(b) Loans and receivables

Loans and receivables includes cash and balances with central banks, due from bank and financial institutions, finance lease receivables, reverse repurchase agreements and loans and advances. These are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Group does not intend to sell immediately or in the near term.

(c) Held-to-maturity

Held-to-maturity investments are non-derivative assets with fixed or determinable payments and fixed maturity that the Group has the positive intent and ability to hold to maturity.

(d) Available-for-sale

The Group has non-derivative financial assets designated as available-for-sale when these are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss. Available for sale assets are intended to be held for an indefinite period of time and may be sold in future to manage liquidity requirements or in response to market fluctuation in interest rates or pricing of the financial assets.

(e) Financial liabilities

The Group classifies its financial liabilities, other than financial guarantees and loan commitments, as measured at amortised cost or fair value through profit or loss.

(iii) Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

The Group enters into transactions whereby it transfers assets recognised on its consolidated statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such transactions, the transferred assets are not derecognised from the consolidated statement of financial position. Transfers of assets with retention of all or substantially all risks and rewards include repurchase transactions.

The Group also derecognises certain assets when it writes off balances pertaining to the assets deemed to be uncollectible.

(iv) Offsetting

As per IAS 32, financial assets and liabilities are offset and the net amount presented in the consolidated statement of financial position when, and only when, the Group has a legal right to set off the amounts and intend either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted under IFRS, or for gains and losses arising from a group of similar transactions.

3 Significant accounting policies *(continued)*

(b) Financial assets and liabilities *(continued)*

(v) Amortised cost measurement

The amortised cost of a financial asset or liability is the amount at which the financial asset or liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the "effective interest rate / method" of any difference between the initial amount recognised and the maturity amount, minus any reduction for impairment.

The effective interest rate is the rate that exactly discounts estimated future cash receipts or payments through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Group estimates cash flows considering all contractual terms of the financial instrument but excluding future credit losses. The calculation includes all amounts paid or received by Group that are an integral part of the effective interest rate of a financial instrument, including transaction costs and all other premiums or discounts.

(vi) Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When applicable, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

When there is no quoted price in an active market, the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognized in the consolidated statement of profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is supported wholly by observable market data or the transaction is closed out.

If an asset or a liability measured at fair value has a bid price and an ask price, the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Group on the basis of the net exposure to either market or credit risk, are measured on the basis of a price that would be received to sell a net long position or paid to transfer a net short position for a particular risk exposure.

The Group recognizes transfers between levels of the fair value hierarchy as at the end of the reporting period during which the change has occurred.

3 Significant accounting policies *(continued)*

(b) Financial assets and liabilities *(continued)*

(vii) Identification and measurement of impairment

An assessment is made at each reporting date and periodically during the year to determine whether there is any objective evidence that financial assets not carried at fair value through profit or loss, are impaired. Financial assets are impaired when objective evidence indicates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Objective evidence that financial assets are impaired can include significant financial difficulty of the borrower or issuer, default or delinquency by a borrower, restructuring of a loan or an advance by the Group on terms that the Group would not otherwise consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

The Group considers evidence of impairment at both specific and collective levels. All individually significant assets are assessed for specific impairment. All individually significant assets found not to be specifically impaired but are required to be collectively assessed are then assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are collectively assessed for impairment by grouping together financial assets with similar risk characteristics.

In assessing collective impairment the Group uses the higher of 1.5% of credit risk weighted asset computed as per Central Bank of UAE guidelines and a statistical modelling which incorporates historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical modelling. Default rates, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate.

Impairment losses on financial assets carried at amortised cost are measured as the difference between the carrying amount of the financial assets and the present value of estimated cash flows discounted at the original effective interest rate. Impairment losses are recognised in the consolidated statement of profit or loss and reflected in an allowance account against such financial assets. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the consolidated statement of profit or loss.

Impairment losses on available-for-sale investment securities are recognised by transferring the difference between the amortised acquisition costs and current fair values out of other comprehensive income to the consolidated statement of profit or loss. When a subsequent event causes the amount of impairment loss on available-for-sale debt security to decrease, the impairment loss is reversed through the consolidated statement of profit or loss. However, any subsequent recovery in the fair value of an impaired available-for-sale equity investment is recognised in other comprehensive income.

Impairment losses on an unquoted equity instruments that are carried at cost because their fair value cannot be reliably measured, are measured as the difference between the carrying amount of the financial assets and the present values of estimated future cash flows discounted at the current market rate of return for similar financial assets. Such impairment losses shall not be reversed.

3 Significant accounting policies *(continued)*

(c) Cash and cash equivalents

For the purpose of consolidated statement of cash flows, cash and cash equivalents comprise cash, balances with central banks and due from banks and financial institutions with original maturities of less than three months, which are subject to insignificant risk of changes in fair value, and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are non-derivative financial assets stated at amortised cost in the consolidated statement of financial position.

(d) Investments at fair value through profit or loss

These are financial assets classified as held for trading or designated as such upon initial recognition.

Held for trading financial assets includes debt securities, treasury bills, equity securities, short positions in securities and funds. They have been acquired or incurred principally for the purpose of selling or repurchasing in the near term, or they form part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent pattern of short-term profit-taking. In addition, derivatives that are not effective accounting hedging instruments are carried at fair value through profit or loss.

Financial assets designated at fair value through profit or loss applies to groups of financial assets that are managed, and their performances are evaluated, on a fair value basis in accordance with a documented risk management or investment strategy.

These financial assets are initially recognised and subsequently measured at fair value with transaction costs taken directly to the consolidated statement of profit or loss. All related realised and unrealised gains or losses are included in net gain on investments.

(e) Due from banks and financial institutions

These are non-derivative financial assets that are stated at amortised cost, less any allowance for impairment.

(f) Reverse repurchase agreements

Assets purchased with a simultaneous commitment to resell at a specified future date are not recognised. The amount paid to the counterparty under these agreements is shown as reverse repurchase agreements in the consolidated statement of financial position. The difference between purchase and resale price is treated as interest income and accrued over the life of the reverse repurchase agreement and charged to the consolidated statement of profit or loss using the effective interest rate method.

(g) Loans and advances

Loans and advances are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market and that the Group does not intend to sell immediately or in the near term.

Loans and advances include loans and advances originated by the Bank which are not classified as held for trading or designated at fair value. Loans and advances are recognised when cash is advanced to a borrower. They are derecognised when either the borrower repays its obligations, or the loans are sold or written off. These are initially measured at fair value (being the transaction price at inception) plus incremental direct transaction costs and subsequently measured at amortised cost using the effective interest rate method, adjusted for effective fair value hedges for the risk being hedged, net of interest suspended and provisions for impairment.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(g) Loans and advances *(continued)*

Loans and advances include direct finance provided to customers such as overdrafts, credit cards, term loans, finance lease receivables and commercial bills.

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of the asset to the lessee, the arrangement is classified as a finance lease and a receivable equal to the net investment in the lease is recognised and presented within loans and advances. In determining whether an arrangement is a lease, the Group ascertains the substance of the arrangement and assesses whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and whether the arrangement conveys a right to use the assets.

(h) Islamic financing and investing contracts

The Bank engages in Shari'ah compliant Islamic banking activities through various Islamic instruments such as Ijara, Murabaha, Mudaraba and Wakala. These are accounted in accordance with IAS 39 – Financial instrument: Recognition and Measurement.

(i) Definitions

Ijara
Ijara consists of Ijara muntahia bitamleek.

Ijara muntahia bitamleek is an agreement whereby the Group (the lessor) conveys to the customer (the lessee), in return for a specific rent, the right to use a specific asset for a specific period of time, against payment of fixed periodical and variable rental. Under this agreement, the Group purchases or constructs the asset and rents it to the customer. The contract specifies the leasing party and the amount and timing of rental payments and responsibilities of both parties during the term of the lease. The customer provides the Group with an undertaking to settle the rental amount as per the agreed schedule.

The Group retains the ownership of the assets throughout the entire lease term. At the end of the lease term, the Group sells the leased asset to the customer at a nominal value based on a sale undertaking by the Group.

Murabaha
An agreement whereby the Group sells to a customer a commodity and /or other assets, which the Group has purchased and acquired, based on promise received from the customer to buy the item purchased according to specific terms and conditions. The selling price comprises the cost of the commodity and an agreed profit margin..

Mudaraba
A contract between the Group and a customer, whereby one party provides the funds (Rab Al Mal) and the other party (the Mudarib) invests the funds in a project or a particular activity and any generated profits are distributed between the parties according to the profit shares that were pre-agreed upon in the contract. The Mudarib is responsible for all losses caused by his misconduct, negligence or violation of the terms and conditions of the Mudaraba; otherwise, losses are borne by Rab Al Mal.

Wakala
An agreement whereby the Group provides a certain sum of money to an agent (Wakkil) who invests it in Sharia's compliant transactions according to specific conditions in return for a certain fee (a lump sum of money or a percentage of the amount invested).

3 Significant accounting policies *(continued)*

(h) Islamic financing and investing contracts *(continued)*

(ii) Revenue recognition

Ijara
Income from Ijara is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Murabaha
Income from Murabaha is recognised on a declining-value basis, until such time a reasonable doubt exists with regard to its collectability.

Mudaraba
Income or losses on Mudaraba financing are recognised on an accrual basis if they can be reliably estimated. Otherwise, income is recognised on distribution by the Mudarib, whereas the losses are charged to the consolidated statement of profit or loss on their declaration by the Mudarib.

Wakala
Estimated income from Wakala is recognised on an accrual basis over the period, adjusted by actual income when received. Losses are accounted for on the date of declaration by the agent.

(i) Non-trading investments

Included in non-trading investments are available-for-sale assets which are initially recognised at fair value plus incremental transaction costs directly attributable to the acquisition.

After initial recognition, these investments are re-measured at fair value. For investments which are not part of an effective hedge relationship, unrealised gains or losses are recognised in other comprehensive income until the investment is derecognised or until the investment is determined to be impaired, at which time the cumulative gain or loss previously recognised in other comprehensive income, is included in the consolidated statement of profit or loss for the year. For investments which are part of an effective fair value hedge relationship, any unrealised gain or loss arising from a change in fair value is recognised directly in the consolidated statement of profit or loss to the extent of the changes in fair value being hedged.

Interest income is recognised on available-for-sale debt securities using the effective interest rate, calculated over the asset's expected life. Premiums and/or discounts arising on the purchase of debt investment securities are included in the calculation of their effective interest rates. Dividends on equity instruments are recognised in the statement of profit or loss when the right to receive payment has been established.

For the purpose of recognising foreign exchange gains and losses, an available-for-sale financial asset is treated as if it were carried at amortised cost in the foreign currency. Accordingly, for such a financial asset, exchange differences are recognised in the consolidated statement of profit or loss.

For unquoted equity investments where fair value cannot be reliably measured, these are carried at cost less provision for impairment in value. Upon de-recognition, the gain or loss on sale is recognised in the consolidated statement of profit or loss for the year.

Included in non-trading investments are held-to-maturity assets which are non-derivative assets with fixed or determinable payments and fixed maturity and that the Group has the positive intent and ability to hold them till maturity. These are initially recorded at fair value plus any directly attributable transaction costs, and are subsequently measured at amortised cost using the effective interest rate method, less any impairment losses.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(i) Non-trading investments *(continued)*

A sale or reclassification of a more than insignificant amount of held-to-maturity investments would result in the reclassification of all held-to-maturity investments as available-for-sale, and would prevent the Group from classifying investment securities as held-to-maturity for the current and the following two financial years. However, sales and reclassifications in any of the following circumstances would not trigger a reclassification:

- sales or reclassifications that are so close to maturity that changes in the market rate of interest would not have a significant effect on the financial asset's fair value;
- sales or reclassifications after the Group has collected substantially all of the asset's original principal; and
- sales or reclassifications that are attributable to non-recurring isolated events beyond the Group's control that could not have been reasonably anticipated.

(j) Investment properties

(i) Recognition and measurement

Investment properties are properties held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment properties are measured at cost as per the cost model under IAS 40- Investment property. Cost includes expenditure that is directly attributable to the acquisition of the asset.

When the use of a property changes such that it is reclassified as property and equipment, its original cost and the current carrying amount at the date of reclassification continue to be the cost and carrying amount of the asset for measurement and disclosures.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal.

Any income or expenses on the investment properties are recognised in the consolidated statement of profit or loss in other operating income or other operating expense respectively.

(ii) Depreciation

Depreciation is recognised in the consolidated statement of profit or loss on a straight-line basis over the estimated useful lives of investment properties. The estimated useful lives of investment properties for the current period are as follows:

Buildings and villas	20 to 50 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Impairment

The carrying amounts are reviewed at each reporting date for indication of impairment. If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in the consolidated statement of profit or loss to the extent that carrying values do not exceed the recoverable amounts.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(k) Property and equipment

(i) Recognition and measurement

All items of property and equipment are measured at cost less accumulated depreciation and impairment losses, if any. Capital projects in progress are initially recorded at cost and regularly tested for impairment and upon completion are transferred to the appropriate category of property and equipment and thereafter depreciated.

Cost includes expenditures that are directly attributable to the acquisition of the asset. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

Gains and losses on disposal of an item of property and equipment are determined by comparing the proceeds from disposal with the carrying amount of property and equipment and are recognised net within other operating income in the consolidated statement of profit or loss.

Subsequent expenditures are only capitalised when it is probable that the future economic benefits of such expenditures will flow to the Group. On-going expenses are charged to consolidated statement of profit or loss as incurred.

(ii) Depreciation

Depreciation is recognised in the consolidated statement of profit or loss on a straight-line basis over the estimated useful lives of all property and equipment. Freehold land and capital work in progress are not depreciated.

The estimated useful lives of assets for the current and comparative period are as follows:

Buildings and villas	20 to 50 years
Office furniture and equipment	1 to 5 years
Alterations to premises	4 years
Safes	10 to 20 years
Computer systems and equipment	3 to 7 years
Vehicles	3 years

Depreciation methods, useful lives and residual values are reassessed at every reporting date.

(iii) Capital work in progress

Capital work in progress assets are assets in the course of construction for production, supply or administrative purposes, are carried at cost, less any recognised impairment loss. Cost includes all direct cost attributable to design and construction of the property capitalised in accordance with Group's accounting policy. When the assets are ready for the intended use, the capital work in progress is transferred to the appropriate property and equipment category and is depreciated in accordance with the Group's policies.

(iv) Impairment

The carrying amounts are reviewed at each reporting date for indication of impairment. If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. An impairment loss is recognised in the consolidated statement of profit or loss to the extent that carrying values do not exceed the recoverable amounts.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(l) Collateral pending sale

Real estate and other collaterals may be acquired as the result of settlement of certain loans and advances and are recorded as assets held for sale and reported in "Other assets". The asset acquired is recorded at the lower of its fair value less costs to sell and the carrying amount of the loan (net of impairment allowance) at the date of exchange. No depreciation is provided in respect of assets held for sale. Any subsequent write-down of the acquired asset to fair value less costs to sell is recorded as an impairment loss and included in the consolidated statement of profit or loss. Any subsequent increase in the fair value less costs to sell, to the extent this does not exceed the cumulative impairment loss, is recognised in the consolidated statement of profit or loss. The Group's collateral disposal policy is in line with the respective regulatory requirement of the regions in which the Group operates.

(m) Due to banks and financial institutions, customers' deposits and euro commercial paper

Due to banks and financial institutions, customer deposits and euro commercial paper are financial liabilities and are initially recognised at their fair value minus the transaction costs and subsequently measured at their amortised cost using the effective interest rate method.

(n) Repurchase agreements

Assets sold with a simultaneous commitment to repurchase at a specified future date are not derecognised. The liability to the counterparty for amounts received under these agreements is shown as repurchase agreements in the consolidated statement of financial position. The difference between sale and repurchase price is treated as interest expense and accrued over the life of the repurchase agreement and charged to the consolidated statement of profit or loss using the effective interest rate method.

(o) Term borrowings and subordinated notes

Term borrowings and subordinated notes include convertible notes that can be converted into share capital at the option of the holder, where the number of shares issued do not vary with changes in their fair value, are accounted for as compound financial instruments. The equity component of the convertible notes is calculated as the excess of issue proceeds over the present value of the future interest and principal payments, discounted at the market rate of interest applicable to similar liabilities that do not have a conversion option.

Term borrowings and subordinated notes without conversion option are financial liabilities and are initially recognised at their fair value minus the transaction costs and subsequently measured at their amortised cost using the effective interest rate method and adjusted to the extent of fair value changes for the risks being hedged.

(p) Share option scheme

On the grant date fair value of options granted to staff is estimated and the cost is recognised as staff cost, with a corresponding increase in equity, over the period required for the staff to become unconditionally entitled to the options. The amount recognised as an expense is adjusted to reflect the number of share options for which the related service conditions are expected to be met; as such the amount ultimately recognised as an expense is based on the number of share options that do meet the related service and non-market performance conditions at the vesting date. These shares may contribute to the calculation of dilutive EPS once they are deemed as potential ordinary shares.

3 Significant accounting policies *(continued)*

(q) Interest

Interest income and expense are recognised in the consolidated statement of profit or loss using the effective interest rate method. The effective interest rate is the rate that exactly discounts estimated future cash receipts or payments through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Group estimates cash flows considering all contractual terms of the financial instrument but excluding future credit losses. The calculation includes all amounts paid or received by Group that are an integral part of the effective interest rate of a financial instrument, including transaction costs and all other premiums or discounts. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or liability.

Interest income and expense presented in the consolidated statement of profit or loss include:

- interest on financial assets and liabilities at amortised cost on an effective interest rate basis.
- interest on available-for-sale investment securities on an effective interest rate basis.
- interest on held for trading securities and derivative financial instruments on an effective interest rate basis.

(r) Depositors' share of profit

Depositors' share of profit is amount accrued as expense on the funds accepted from banks and customers in the form of wakala deposits and recognised as expenses in the consolidated statement of profit or loss. The amounts are calculated in accordance with agreed terms and conditions of the wakala deposits and Sharia'a principles.

(s) Fee and commission

The Group earns fee and commission income from a diverse range of services provided to its customers. The basis of accounting treatment of fees and commission depends on the purposes for which the fees are collected and accordingly the revenue is recognised in consolidated statement of profit or loss. Fee and commission income is accounted for as follows:

- income earned from the provision of services is recognised as revenue as the services are provided;
- income earned on the execution of a significant act is recognised as revenue when the act is completed;
- income which forms an integral part of the effective interest rate of a financial instrument is recognised as an adjustment to the effective interest rate and recorded in "Interest income".

Fee and commission expense relates mainly to transaction and service fees which are expensed as the services are received.

(t) Zakat

Zakat represents islamic business zakat payable by the Group on behalf of its shareholders to comply with the principles of Sharia'a and is approved by the Sharia'a Supervisory Board. The Group's appointed Zakat Committee is mandated to recommend zakat distribution.

3 Significant accounting policies *(continued)*

(u) Net gain on investments and derivatives

Net gain on investments and derivatives comprises realised and unrealised gains and losses on investments at fair value through profit or loss and derivatives, realised gains and losses on non-trading investments and dividend income.

Net gain or loss on investment at fair value through profit or loss and derivatives includes net trading income and net income from investments designated at fair value. Net trading income comprises of all gains and losses from changes in the fair value of financial assets and financial liabilities held for trading.

Non-trading investment includes available for sale and held to maturity instruments.

Gains and losses arising from changes in fair value of available for sale assets are recognised in the statement of other comprehensive income and recorded in fair value reserve with the exception of impairment losses, interest calculated using the effective interest rate method and foreign exchange gains and losses on monetary assets which are recognised directly in the consolidated statement of profit or loss. Where the investment is sold or realised, the cumulative gain or loss previously recognised in equity under fair value reserve is reclassified to the consolidated statement of profit or loss.

Held to maturity investments that are not close to their maturity are not ordinarily sold. However when they are sold or realised, the gain or loss is recognised in the consolidated statement of profit or loss.

Dividend income is recognised when the right to receive payment is established.

(v) Foreign currency

(i) Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of the Group entities at spot exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to the functional currency at the spot exchange rates at the reporting date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the exchange rate at the end of the period. Foreign currency differences arising on retranslation are recognised in consolidated statement of profit or loss.

(ii) Foreign operations

The activities of subsidiaries and branches based outside the UAE are not deemed an integral part of the head office operations, as they are financially and operationally independent of the head office. The assets and liabilities of the subsidiaries and overseas branches are translated into UAE Dirhams at rates of exchange at the reporting date. Income and expense items are translated at average rates, as appropriate. Exchange differences (including those on transactions which hedge such investments) arising from retranslating the opening net assets, are taken directly to foreign currency translation adjustment account in other comprehensive income.

3 Significant accounting policies *(continued)*

(w) Overseas income tax expense

Income tax expense is provided for in accordance with fiscal regulations of the respective countries in which the Group operates and is recognised in the consolidated statement of profit or loss. Income tax expense is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the liability method on all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future. Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on laws that have been enacted at the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

(x) Derivative financial instruments and hedging

Derivatives are initially recognised, and subsequently measured at fair value with transaction costs taken directly to the consolidated statement of profit or loss. The fair value of a derivative is the equivalent of the unrealised gain or loss from marking to market the derivative or using valuation techniques, mainly discounted cash flow models.

The method of recognising the resulting fair value gains or losses depends on whether the derivative is held for trading, or is designated as a hedging instrument and, if so, the nature of the risk being hedged. All gains and losses from changes in fair value of derivatives held for trading are recognised in the consolidated statement of profit or loss. When derivatives are designated as hedges, the Group classifies them as either: (i) fair value hedges which hedge the exposure to changes in the fair value of a recognised asset or liability; (ii) cash flow hedges which hedge exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction; (iii) hedge of net investment which are accounted similarly to a cash flow hedge. Hedge accounting is applied to derivatives designated as hedging instruments in a fair value or cash flow, provided the criteria are met.

Embedded derivatives

Derivatives may be embedded in another contractual arrangement (a host contract). The Group accounts for an embedded derivative separately from the host contract when the host contract is not itself carried at fair value through profit or loss, the terms of the embedded derivative would meet the definition of a derivative if they were contained in a separate contract, and the economic characteristic and risks of the embedded derivative are not closely related to the economic characteristics and risk of the host contract. Separated embedded derivatives are accounted for depending on their classification, and are presented separately from host contract in the consolidated statement of financial position.

3 Significant accounting policies *(continued)*

(x) Derivative financial instruments and hedging *(continued)*

Hedge accounting
It is the Group's policy to document, at the inception of a hedge, the relationship between hedging instruments and hedged items, as well as risk management objective and strategy. The policy also requires documentation of the assessment, at inception and on an on-going basis, of the effectiveness of the hedge.

The Group makes an assessment, both at the inception of the hedge relationship as well as on an on-going basis, as to whether the hedging instrument(s) is(are) expected to be highly effective in offsetting the changes in the fair value or cash flows of the respective hedged item(s) during the period for which the hedge is designated, and whether the actual results of each hedge are within a range of 80-125 percent. The Group makes an assessment for a cash flow hedge of a forecast transaction, as to whether the forecast transaction is highly probable to occur and presents an exposure to variations in cash flows that could ultimately affect profit or loss.

Fair value hedge
In relation to fair value hedges, any gain or loss from re-measuring the hedging instrument to fair value, as well as related changes in fair value of the item being hedged, are recognised immediately in the consolidated statement of profit or loss together with the changes in the fair value of the hedged item that are attributable to the hedged risk. Hedge accounting is discontinued when the hedging instrument expires or is sold, terminated or exercised, or no longer qualifies for hedge accounting. Any adjustment up to that period to the hedged item for which effective interest rate method was used is amortised to the consolidated statement of profit or loss as a part of the recalculated effective interest rate of the then hedged item over its remaining life.

Cash flow hedge
In relation to effective cash flow hedges, the gain or loss on the hedging instrument is recognised initially in other comprehensive income and transferred to the consolidated statement of profit or loss in the period in which the hedged transaction impacts the consolidated statement of profit or loss. Gains or losses, if any, relating to the ineffective portion, are recognised immediately in the consolidated statement of profit or loss. If the hedged transaction is no longer expected to occur, the net cumulative gain or loss recognised in other comprehensive income is transferred to the consolidated statement of profit or loss.

Net investments hedges
When a derivative instrument or a non-derivative financial liability is designated as the hedging instrument in a hedge of a net investment in a foreign operation, the effective portion of the changes in the fair value of the hedging instrument is recognised in other comprehensive income in the translation reserve. Any ineffective portion of the changes in the fair value of the derivative is recognised immediately in the consolidated statement of profit or loss. The amount recognised under other comprehensive income is reclassified to statement of profit or loss on disposal of the foreign operation.

Other derivatives
All gains and losses from changes in the fair values of derivatives that do not qualify for hedge accounting or are not designated as such are recognised immediately in the consolidated statement of profit or loss as a component of net gain on investments and derivatives or net foreign exchange gain.

(y) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Where the effect of time value of money is material, provisions are determined by discounting the expected future cash flows, at a pre-tax rate, that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

Notes to the consolidated financial statements

3 Significant accounting policies *(continued)*

(z) Employees' end of service benefit

Defined contribution plan
A defined contribution plan is a post - employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an employee benefit expense in consolidated statement of profit or loss in the periods during which services are rendered by employees.

Pension and national insurance contributions for eligible employees are made by the Bank to Pensions and Benefits Fund in accordance with the applicable laws of country where such contributions are made.

Defined benefit plan
A defined benefit plan is a post - employment benefit plan other than a defined contribution plan. The liability recognised in the statement of financial position in respect of defined benefit gratuity plans is the present value of the defined benefit obligation at the end of the reporting period together with adjustments for unrecognised past - service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high - quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation.

Remeasurements of the net defined benefit liability, which comprise actuarial gains and losses, the return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest), are recognised immediately in OCI. Net interest expense and other expenses related to defined benefit plans are recognised in Staff cost in consolidated statement of profit or loss. When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or the gain or loss on curtailment is recognised immediately to profit or loss. The Group recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs.

(aa) Directors' remuneration

Pursuant to Article 118 of the Commercial Companies Law No. 8 of 1984 and in accordance with the Bank's Articles of Association, Directors' shall be entitled for remuneration which shall not exceed 10 % of the net profits after deducting depreciation, reserves and distribution of dividends not less than 5% of capital to shareholders.

(ab) Fiduciary activities

Assets held in a fiduciary capacity are not treated as assets of the Group as they are only held in trust where the Group acts as a custodian on customers' behalf. The Group has no liability or obligations towards the customer on these assets held in trust . Accordingly, these assets are not included in these consolidated financial statements.

(ac) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise convertible notes and share options granted to staff.

3 Significant accounting policies *(continued)*

(ad) Financial guarantees

Financial guarantees are contracts that require the Group to make specified payments to reimburse the holder for a loss it incurs because a specified party fails to meet its obligation when due in accordance with the contractual terms.

Certain financial guarantee contracts in the nature of credit default guarantees are not held for proprietary trading purposes and are treated as insurance contracts and accounted for under IFRS 4.

For other financial guarantee contracts, these are initially recognised at their fair value (which is the premium received on issuance). The received premium is amortised over the life of the financial guarantee. The guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment (when a payment under the guarantee has become probable). The premium received on these financial guarantees is included within other liabilities.

(ae) Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's Chief Executive, being the chief operating decision maker, to make decisions about resources to be allocated to the segment and to assess its performance for which discrete financial information is available. Segment results that are reported to the Group Chief Executive include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

(af) Lease payments

Payments made under operating leases are recognised in the consolidated statement of profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

(ag) New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2014, and have not been applied in preparing these consolidated financial statements:

IFRS - 15 *Revenue from contracts with customer:* establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including IAS 18 Revenue, IAS 11 Construction Contracts and IFRIC Customer loyalty Programmes. IFRS 15 is effective for annual period beginning on or after 1 January 2017, with early adoption permitted. The Group is assessing potential impact of this standard on its consolidated financial statements.

IFRS -9 IFRS 9, published in July 2014, replaces the existing guidance in IAS 39 Financial Instruments: Recognition and Measurement. IFRS 9 includes revised guidance on the classification and measurement of financial instruments, including a new expected credit loss model for calculating impairment on financial assets, and the new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from IAS 39. IFRS 9 is effective for annual period beginning on or after 1 January 2018. However, early application of IFRS 9 is permitted.

The Group has started the process of evaluating the potential effect of this standard. Given the nature of the Group's operations, this standard is expected to have a pervasive impact on the Group's financial statements.

Notes to the consolidated financial statements

4 Financial risk management

Introduction and overview

The Group is exposed to a variety of risks inherent in carrying out its business activities. Principal risks include credit, market (traded and non-traded interest rate and foreign currency related risks), liquidity and funding, capital, operational, and business continuity. The Group has institutionalized a risk management framework which seeks to effectively manage these risks.

This note presents information about the Group's exposure to each of the above risks, along with an overview of relevant frameworks, policies and processes for measuring and managing these risks.

Risk management framework

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by two board committees (Risk Management Committee and Audit Committee), and two management committees (Group Risk Committee ("GRC") and Group Assets and Liabilities Committee ("G-ALCO")).

- The Risk Management Committee (RMC), comprising of members from the Board, is responsible for recommending and setting the Group's risk strategy and policy guidelines, and subsequently monitoring adherence. RMC takes credit decisions above management's discretionary powers, defines risk limits within which the Group's management operates and also monitors the overall risks for the Group.

- The Audit Committee, a board level committee, exercises oversight to monitor compliance with regulatory guidelines and the Bank's internal policies and procedures.

The management committees are responsible for implementing the risk management framework. The major functions of the two management committees are given below:

- The GRC is accountable to the Board RMC in respect of all Risk Management facets within the Group. The primary function of the committee is to ensure that the Bank's policies and procedures incorporate sound risk management practices and that the same are implemented. It also reviews, and recommends to the Board, the risk appetite, risk limits, risk aspects of business strategy and planning, and approves risk policies & analytical models to ensure effective risk management.

- The G-ALCO is the driving force and key decision maker behind the structure and quality of the balance sheet. The G-ALCO is directly accountable to the Board RMC for ensuring that the risks within the Group Asset and Liability position are prudently managed by way of strong Bank policy and procedures and an appropriate risk framework. The G-ALCO must be constantly aware of and actively manage these risks and their potential impact on the Banks business and strategic objectives.

The Group manages risk using three lines of defence comprising of business units, control units and Internal Audit. Business units, as the first line of defence, identify and manage risk in their day-to-day activities by ensuring that activities are within the Group's risk appetite and are in compliance with all relevant internal policies and processes. Risk Group (comprising head office risk and risk functions embedded in business divisions) and Legal & Compliance division, as the second line of defence, establishes risk controls comprising of policies and processes while also providing oversight and independent challenge to the first line of defence. The Group Chief Risk Officer ("GCRO") has a direct reporting line to Board RMC to ensure the independence of Risk Group from business. Internal audit, as the third line of defence, provides assurance to management and the Board of the effectiveness of risk management practices employed by the first two lines of defence. The Group Chief Audit Officer has a direct reporting line to the Board Audit Committee.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and cause the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks and financial institutions, reverse repurchase agreements and non-trading debt investments, derivative financial instruments and certain other assets.

For risk management purposes, credit risk arising on trading investments is managed independently, and reported as a component of market risk exposure.

Management of credit risk

The Group uses an internal risk rating system to assess the credit quality of corporate borrowers and counterparties. Each corporate borrower is assigned a rating, including classified accounts. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-8 are performing and Grades 9 -11 are non – performing. Non-performing grades are classified based on the below criteria:

Grade	Classification	Criteria	
		Corporate loans	**Retail loans**
9	Sub-standard loans	Arrears greater than 90 days and shows some loss due to adverse factors that hinder repayment	Arrears greater than 90 days
10	Doubtful loans	Based on available information, full recovery seems doubtful, leading to a loss on portion of these loans	Arrears greater than 120 days
11	Loss loans	Probability of no recovery; after all available courses of action are exhausted	Arrears greater than 180 days

The Performing loan portfolio of the Group based on the internal credit ratings is as follows:

Rating grade	**Performing loans and advances**	
	2014	2013
	AED'000	AED'000
1 – 4	**126,477,638**	118,072,923
5 – 6	**23,930,098**	23,540,201
7	**24,611,025**	26,411,070
8	**1,465,622**	2,276,844
Retail programme lending	**18,302,587**	13,824,433
	194,786,970	184,125,471

In addition, the Group manages credit risk by obtaining collateral where appropriate and limiting the duration of exposure. In certain cases, the Group may also close out transactions or assign them to other counterparties to mitigate credit risk. Credit risk in respect of derivative financial instruments is limited to those with positive fair values.

Credit risk arising from other financial instruments is managed by assigning limits, diversification of investment activities, limiting concentration of exposure to industry sectors, geographical locations and counterparties.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Impairment:

The Group measures its exposure to credit risk by reference to the gross carrying amount of financial assets less amounts offset, interest suspended and impairment losses, if any. The carrying amount of financial assets represents the maximum credit exposure.

	Due from banks and financial institutions		Loans and advances		Non-trading investments	
	2014 AED'000	2013 AED'000	**2014 AED'000**	2013 AED'000	**2014 AED'000**	2013 AED'000
Individually impaired						
Substandard	**-**	-	**2,271,333**	1,869,337	**-**	-
Doubtful	**718**	718	**1,649,271**	1,834,684	**3,342**	20,055
Loss	**-**	-	**3,364,751**	3,209,921	**-**	-
Gross amount	**718**	718	**7,285,355**	6,913,942	**3,342**	20,055
Interest suspended	**-**	-	**(1,124,889)**	(900,893)	**-**	-
Specific allowance for impairment	**(718)**	(718)	**(3,122,770)**	(3,352,083)	**-**	(17,043)
Carrying amount	**-**	-	**3,037,696**	2,660,966	**3,342**	3,012
Past due but not impaired						
Past due comprises:						
Less than 30 days	**-**	-	**153,436**	483,780	**-**	-
31 – 60 days	**-**	-	**151,313**	79,627	**-**	-
61 – 90 days	**-**	-	**177,448**	76,433	**-**	-
More than 90 days	**-**	-	**1,161,766**	1,647,167	**-**	-
Carrying amount	**-**	-	**1,643,963**	2,287,007	**-**	-
Neither past due nor impaired	**11,134,262**	20,100,371	**193,143,007**	181,838,464	**67,489,780**	50,843,047
Collective allowance for impairment	**-**	-	**(3,545,314)**	(2,974,943)	**-**	-
Carrying amount	**11,134,262**	20,100,371	**194,279,352**	183,811,494	**67,493,122**	50,846,059

Non trading investment includes investment in equity instruments which does not carry credit risk.

The category of neither past due nor impaired includes renegotiated loans amounting to AED 1,302 million *(2013: AED 1,922 million).*

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Impaired loans and advances and non-trading investments

Impaired loans and advances and non-trading investments are financial assets for which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the agreements.

Past due but not impaired

Past due but not impaired are accounts where either contractual principal or interest are past due and when the accounts show weakness in the borrower's financial position and creditworthiness, and requires more than normal attention. Such weakness is specifically monitored to ensure that the quality of the asset does not further deteriorate. On this class of asset the Group believes that specific impairment is not appropriate at the current condition.

Loans with renegotiated terms

Loans with renegotiated terms are loans that have been restructured due to deterioration in the borrower's financial position and where the Group has made material concessions that it would not otherwise consider. Once a loan is restructured, it remains in this category for a minimum period of twelve months, in order to establish satisfactory track record of performance under the restructuring agreement. The Bank determines the twelve-month period to commence from the date of signing of the agreement for restructuring. On this class of asset the Group believes that specific impairment may not be required. In the last twelve months, the Group has renegotiated the following exposures:

	2014 AED'000	2013 AED'000
Renegotiated loans	**1,301,787**	1,925,914

Movement of renegotiated loans during the year

	2014 AED'000	2013 AED'000
Balance at the beginning of the year	**1,925,914**	2,478,270
Upgraded to neither past due nor impaired during the year	**(1,672,761)**	(2,173,099)
Downgraded to individually impaired or past due but not impaired during the year	**(3,946)**	(92,100)
Additions during the year	**1,052,580**	1,712,843
Balance at the end of the year	**1,301,787**	1,925,914

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Allowances for impairment

The Group establishes an allowance for impairment losses on assets carried at amortised cost that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loss allowance. In assessing the collective loss allowance, the Group uses the higher of 1.5% of credit risk weighted assets computed as per the central bank guidelines or incurred but not identified model, established for groups of homogeneous assets with similar risk characteristics that are indicative of the debtor's ability to pay amounts due according to the contractual terms on the basis of a credit risk evaluation or grading process that considers asset type, industry, geographical location, collateral type, past due status and other relevant factors. Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with credit risk characteristics similar to those in the group.

Individually assessed loans are required to be classified as impaired as soon as there is objective evidence that an impairment loss has been incurred. Objective evidence of impairment includes observable data such as when contractual payment of principal or interest is overdue and there is known difficulties in the cash flows of counterparties, credit rating downgrades or original terms of the contractual repayment are unable to be met.

Write-off policy

The Group writes off a loan or investment balance (and any related allowances for impairment losses) when it determines that the loans or investments are uncollectible. This is determined after all possible efforts of collecting the amounts have been exhausted.

Collateral

The Group holds various types of collateral against loans and advances and reverse repurchase agreement in the form of mortgage interests over property, other securities, cash deposits and guarantees. The Group accepts sovereign guarantees and guarantees from well reputed local or international banks, well established local or multinational large corporate and high net-worth private individuals. When calculating provisions, discount factors as defined by the Central Bank of the UAE are applied to market value of the collateral. Collateral generally is not held against due from banks and financial institutions, and no such collateral was held at 31 December 2014 or 2013.

An estimate of the collateral coverage against non-performing loans and advances (including Islamic financing) is shown below:

	2014	2013
	AED'000	AED'000
Collateral value cover		
0 – 50%	**2,996,388**	3,447,621
50 – 100%	**1,585,044**	1,469,366
Above 100%	**2,703,923**	1,996,955
Total Gross non-performing loans	**7,285,355**	6,913,942

During the year 2014 and 2013, the Group repossessed an insignificant amount of collateral that was held as security against loans and advances.

The Group monitors concentrations of credit risk by industry sector, counterparty and geographic location. An analysis of concentrations of credit risk at the reporting date is shown below:

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Concentrations by industry sector

	Loans and advances		Investments		Reverse repurchase agreements		Undrawn loan Commitments	
	2014	2013	**2014**	2013	**2014**	2013	**2014**	2013
	AED'000	AED'000	**AED'000**	AED'000	**AED'000**	AED'000	**AED'000**	AED'000
Concentration by industry sector:								
Agriculture	**177,690**	149,633	**-**	-	**-**	-	**243,878**	195,098
Energy	**16,458,515**	23,152,760	**11,453,093**	7,198,499	**-**	-	**3,695,326**	4,892,973
Manufacturing	**14,008,892**	12,471,627	**296,994**	269,462	**-**	-	**3,691,127**	2,655,948
Construction	**10,185,285**	8,944,560	**447,736**	448,295	**-**	-	**1,854,454**	2,803,363
Real estate	**35,291,197**	32,532,656	**11,425**	104,724	**-**	-	**4,740,885**	3,898,450
Trading	**9,078,453**	4,906,106	**5,925**	6,874	**-**	-	**1,322,361**	891,004
Transport	**15,677,618**	9,171,985	**2,733,929**	919,524	**-**	-	**1,176,451**	2,508,926
Banks	**24,108,739**	29,469,792	**26,292,582**	17,862,248	**15,097,818**	16,753,185	**84,478**	360,499
Other financial institutions	**14,454,564**	12,938,183	**11,898,976**	8,089,318	**746,559**	2,179,014	**2,449,395**	845,374
Services	**6,875,163**	5,828,764	**67,910**	721,666	**-**	-	**2,336,002**	387,855
Government	**23,435,214**	22,891,901	**27,632,632**	17,424,117	**-**	-	**17,200**	4,311,461
Supranational	**-**	-	**2,077,582**	464,268	**-**	-	**-**	-
Personal loans for consumption	**22,822,425**	18,047,717	**-**	-	**-**	-	**152,427**	281,053
Personal loans others	**9,402,258**	10,509,675	**-**	-	**-**	-	**166,621**	91,452
Others	**96,312**	24,054	**-**	-	**-**	-	**169,459**	513,021
	202,072,325	191,039,413	**82,918,784**	53,508,995	**15,844,377**	18,932,199	**22,100,064**	24,636,477

Investments include both investments at fair value through profit or loss and non-trading investments.
The above numbers are presented on a gross basis and are not adjusted for provisions or interest in suspense if any.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Concentration by location:

	UAE AED'000	Europe AED'000	Arab countries AED'000	Americas AED'000	Asia AED'000	Others AED'000	Total AED'000
As at 31 Dec 2014							
Cash and balances with central banks	**25,923,632**	**1,940,356**	**6,901,337**	**20,682,075**	**4,941**	**-**	**55,452,341**
Investments at fair value through profit or loss	**4,503,547**	**3,935,090**	**2,614,687**	**1,954,294**	**1,453,448**	**964,596**	**15,425,662**
Due from banks and financial institutions	**1,890,669**	**7,261,253**	**1,018,633**	**149,202**	**796,729**	**17,776**	**11,134,262**
Reverse repurchase agreements	**1,653,409**	**3,619,180**	**10,563,621**	**-**	**8,167**	**-**	**15,844,377**
Derivative financial instruments	**2,332,646**	**3,949,324**	**1,037,800**	**61,654**	**17,147**	**24,257**	**7,422,828**
Loans and advances	**117,589,832**	**37,545,083**	**17,478,795**	**10,978,644**	**17,123,565**	**1,356,406**	**202,072,325**
Non trading investments	**17,160,578**	**14,482,857**	**12,504,983**	**14,475,736**	**8,509,619**	**359,349**	**67,493,122**
	171,054,313	**72,733,143**	**52,119,856**	**48,301,605**	**27,913,616**	**2,722,384**	**374,844,917**
As at 31 Dec 2013							
Cash and balances with central banks	15,804,776	403,249	3,255,405	15,511,688	85,936	-	35,061,054
Investments at fair value through profit or loss	1,421,734	270,319	436,340	494,924	22,576	-	2,645,893
Due from banks and financial institutions	5,723,665	8,691,565	3,258,516	1,396,271	1,005,495	24,859	20,100,371
Reverse repurchase agreements	1,151,361	5,063,937	12,123,856	224,038	369,007	-	18,932,199
Derivative financial instruments	1,520,780	3,893,319	422,852	219,583	23,459	66,013	6,146,006
Loans and advances	119,666,096	39,444,664	14,049,562	5,226,415	12,534,784	117,892	191,039,413
Non trading investments	19,061,724	12,568,051	14,663,172	1,061,763	2,481,997	1,026,395	50,863,102
	164,350,136	70,335,104	48,209,703	24,134,682	16,523,254	1,235,159	324,788,038

Concentration by location for investments is measured based on the location of the issuer of the security. Concentration by location for all others is measured based on the residential status of the borrower. The above numbers are presented on a gross basis and are not adjusted for provisions or interest in suspense if any.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(a) Credit risk *(continued)*

Classification of trading securities and non-trading investments as per their external ratings:

	Non-trading investments		Investments at fair value through profit or loss	
	2014 AED'000	2013 AED'000	**2014 AED'000**	2013 AED'000
AAA	**16,882,953**	5,338,052	**43,645**	6,502
AA to A	**41,206,783**	36,743,655	**11,067,470**	1,075,535
BBB to B	**6,669,819**	5,349,027	**2,202,910**	312,123
Unrated	**2,733,567**	3,432,368	**2,111,637**	1,251,733
	67,493,122	50,863,102	**15,425,662**	2,645,893

Unrated investments primarily consist of investments in Government related entities and investments in equities and funds. Investments at fair value through profit or loss are neither past due nor impaired.

Classification of trading securities and non-trading investments as per their counterparties:

	Non-trading investments		Investments at fair value through profit or loss	
	2014 AED'000	2013 AED'000	**2014 AED'000**	2013 AED'000
Government sector	**26,255,217**	17,057,675	**1,377,415**	366,442
Supranational	**237,073**	457,766	**1,840,510**	6,502
Public sector	**18,833,102**	14,270,166	**2,015,112**	814,692
Banking sector	**18,303,585**	17,438,715	**7,988,997**	423,533
Corporate / private sector	**3,864,145**	1,638,780	**2,203,628**	1,034,724
	67,493,122	50,863,102	**15,425,662**	2,645,893

Settlement risk

The Group's activities may give rise to risk at the time of settlement of transactions and trades. Settlement risk is the risk of loss due to the failure of a counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. Any delay in settlement is rare and monitored.

Derivative related credit risk

Credit risk in respect of derivative financial instruments arises from the potential for a counterparty to default on its contractual obligations and is limited to the positive market value of instruments that are favourable to the Group. The positive market value is also referred to as the "replacement cost" since it is an estimate of what it would cost to replace transactions at prevailing market rates if a counterparty defaults. The majority of the Group's derivative contracts are entered into with other banks and financial institutions.

4 Financial risk management *(continued)*

(b) Liquidity risk

Liquidity risk arises from cash flows generated by assets and liabilities, including derivatives and other off-balance sheet commitments, not being matched in currency, size, and term, thereby creating financing needs which potentially cannot be met without incurring substantially higher costs or at any cost at all.

Liquidity risk is defined as the risk that the Group is unable to meet its financial obligations as and when they fall due or that it can only do so at an excessive cost.

Management of liquidity risk
The Group has defined the liquidity risk appetite at a level so as to ensure that the Group has a controlled liquidity risk position with adequate cash or cash-equivalents to be able to meet its financial obligations, in all foreseeable circumstances and without incurring substantial additional costs, for a rolling period of three months.

The liquidity risk appetite is also defined at a level to ensure continued compliance with current and proposed liquidity regulation from both domestic and international regulators, and aligned to support the Group's external credit rating objectives.

Liquidity limits are defined at the Group level and are cascaded down throughout the organisation to ensure that the Group complies with the defined Group Liquidity Risk appetite. International limits are cascaded to ensure compliance with any additional local regulatory requirements on liquidity management.

At Group level 10 Liquidity metrics have been defined which need to be consistently adhered to. These include Central Bank of the UAE Regulatory requirements as well as Basel III liquidity ratios.

All liquidity policies and procedures are subject to review and approval by G-ALCO.

Exposure to liquidity risk
The contractual asset and liability maturity mismatch report without considering the Group's retention history is detailed below.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(b) Liquidity risk *(continued)*

The maturity profile of the assets and liabilities at 31 December 2014 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	**55,452,341**	51,914,495	3,537,846	-	-	-	-
Investments at fair value through profit or loss	**15,425,662**	2,546,859	3,643,831	6,097,025	572,182	2,565,765	-
Due from banks and financial institutions	**11,134,262**	10,475,464	658,798	-	-	-	-
Reverse repurchase agreements	**15,844,377**	14,525,319	1,319,058	-	-	-	-
Derivative financial instruments	**7,422,828**	1,546,297	941,943	1,393,080	1,099,799	2,441,709	-
Loans and advances	**194,279,352**	44,544,174	18,756,573	27,686,168	44,319,741	58,972,696	-
Non-trading investments	**67,493,122**	2,893,227	4,871,748	15,720,286	9,713,627	34,294,234	-
Other assets	**6,370,981**	4,778,236	1,592,745	-	-	-	-
Investment properties	**177,533**	-	-	-	-	-	177,533
Property and equipment	**2,498,254**	-	-	-	-	-	2,498,254
	376,098,712	**133,224,071**	**35,322,542**	**50,896,559**	**55,705,349**	**98,274,404**	**2,675,787**
Liabilities and equity							
Due to banks and financial institutions	**36,679,504**	35,865,125	796,028	18,351	-	-	-
Repurchase agreements	**13,875,917**	13,875,917	-	-	-	-	-
Euro commercial paper	**5,484,176**	3,540,073	1,944,103	-	-	-	-
Derivative financial instruments	**10,953,124**	1,455,819	1,154,224	1,124,491	1,622,594	5,595,996	-
Customers' deposits	**243,184,652**	229,147,733	11,634,192	1,400,368	785,906	216,453	-
Term borrowings	**14,998,716**	2,768,851	502,628	3,192,007	6,745,751	1,789,479	-
Other liabilities	**11,442,600**	8,581,950	2,860,650	-	-	-	-
Subordinated notes	**1,516,641**	-	-	1,037,047	-	479,594	-
Equity	**37,963,382**	-	-	-	-	-	37,963,382
	376,098,712	**295,235,468**	**18,891,825**	**6,772,264**	**9,154,251**	**8,081,522**	**37,963,382**
Undrawn commitments to extend credit	**22,100,064**	3,203,400	4,245,812	5,272,667	5,145,619	4,232,566	-
Financial guarantees	**1,031,799**	462,484	73,460	257,110	238,745	-	-

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(b) Liquidity risk *(continued)*

The maturity profile of the assets and liabilities at 31 December 2013 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Unspecified maturity AED'000
Assets							
Cash and balances with central banks	**35,061,054**	28,871,446	6,189,370	238	-	-	-
Investments at fair value through profit or loss	**2,645,893**	-	229,260	502,429	275,040	1,639,164	-
Due from banks and financial institutions	**20,100,371**	15,101,012	4,999,359	-	-	-	-
Reverse repurchase agreements	**18,932,199**	16,506,617	2,255,801	169,781	-	-	-
Derivative financial instruments	**6,146,006**	1,049,944	542,963	1,046,083	1,096,145	2,410,871	-
Loans and advances	**183,811,494**	48,870,198	25,831,591	20,204,500	30,472,213	58,432,992	-
Non-trading investments	**50,846,059**	4,602,465	11,166,081	3,503,638	5,497,222	26,076,653	-
Other assets	**4,909,712**	3,682,285	1,227,427	-	-	-	-
Investment properties	**135,260**	-	-	-	-	-	135,260
Property and equipment	**2,473,608**	-	-	-	-	-	2,473,608
	325,061,656	**118,683,967**	**52,441,852**	**25,426,669**	**37,340,620**	**88,559,680**	**2,608,868**
Liabilities and equity							
Due to banks and financial institutions	**35,760,382**	34,111,978	1,648,404	-	-	-	-
Repurchase agreements	**1,352,121**	1,352,121	-	-	-	-	-
Euro commercial paper	**6,752,015**	6,119,170	632,845	-	-	-	-
Derivative financial instruments	**7,454,016**	1,158,300	663,615	734,859	1,010,554	3,886,688	-
Customers' deposits	**211,097,222**	192,710,645	15,621,857	1,834,111	760,976	169,633	-
Term borrowings	**18,690,168**	-	3,480,688	4,834,299	5,857,284	4,517,897	-
Other liabilities	**7,772,018**	5,830,802	1,941,216	-	-	-	-
Subordinated notes	**1,512,323**	-	-	1,034,935	-	477,388	-
Equity	**34,671,391**	-	-	-	-	-	34,671,391
	325,061,656	**241,283,016**	**23,988,625**	**8,438,204**	**7,628,814**	**9,051,606**	**34,671,391**
Undrawn commitments to extend credit	**24,636,477**	3,240,431	3,655,904	2,835,771	3,440,087	11,464,284	-
Financial guarantees	**4,785,514**	9,091	440,760	3,822,857	512,806	-	-

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(b) Liquidity risk *(continued)*

The table below summarizes the maturity profile of the Group's financial liabilities based on contractual undiscounted repayment obligations.

Liabilities	Total AED'000	Gross nominal cash flows AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000
As at 31 December 2014							
Due to banks and financial institutions	**36,679,504**	36,694,823	35,876,995	799,385	18,443	-	-
Repurchase agreements	**13,875,917**	13,879,251	13,879,251	-	-	-	-
Euro commercial paper	**5,484,176**	5,490,308	3,541,736	1,948,572	-	-	-
Customers' deposits	**243,184,652**	244,135,771	229,315,983	11,869,634	1,712,236	943,853	294,065
Term borrowings	**14,998,716**	17,342,734	2,971,099	767,846	3,889,148	7,295,977	2,418,664
Subordinated notes	**1,516,641**	1,902,825	2,428	33,218	1,093,225	49,780	724,174
	315,739,606	**319,445,712**	**285,587,492**	**15,418,655**	**6,713,052**	**8,289,610**	**3,436,903**
Undrawn commitments to extend credit	**22,100,064**	22,100,064	19,906,564	1,432,581	459,905	301,014	-
Financial guarantees	**1,031,799**	1,031,799	1,031,799	-	-	-	-
As at 31 December 2013							
Due to banks and financial institutions	**35,760,382**	35,779,503	34,123,522	1,655,981	-	-	-
Repurchase agreements	**1,352,121**	1,352,444	1,352,444	-	-	-	-
Euro commercial paper	**6,752,015**	6,754,917	6,121,416	633,501	-	-	-
Customers' deposits	**211,097,222**	212,098,111	192,998,573	16,024,056	1,916,699	921,921	236,862
Term borrowings	**18,690,168**	20,189,520	259,103	3,802,574	4,063,423	6,471,213	5,593,207
Subordinated notes	**1,512,323**	2,001,734	2,761	34,763	1,111,505	52,997	799,708
	275,164,231	**278,176,229**	**234,857,819**	**22,150,875**	**7,091,627**	**7,446,131**	**6,629,777**
Undrawn commitments to extend credit	**24,636,477**	24,636,477	22,903,334	1,232,374	265,811	-	234,958
Financial guarantees	**4,785,514**	4,785,514	4,785,514	-	-	-	-

4 Financial risk management *(continued)*

(c) Market risk

Market risk is the risk that the Group's income and / or value of a financial instrument will fluctuate because of changes in market factors such as interest rates, credit spreads, foreign exchange rates and market prices of equity and commodity.

Management of market risk
The Group separates its exposure to market risk between trading and non-trading portfolios. Trading portfolios are held by the Wholesale - Global Markets Division, together with financial assets and financial liabilities that are managed on a fair value basis.

Overall authority for market risk is vested in the Group Risk Committee (GRC) and Group Asset & Liability Committee (G-ALCO), which sets limits for each type of risk in aggregate and for specific portfolios. Risk Group is responsible for the development of detailed risk management policies (subject to review and approval by the GRC).

Exposure to market risks – trading portfolios
The principal analytical tool used to measure and control market risk exposure within the Group's trading portfolios which comprise of investments at fair value through profit or loss and trading derivatives is Value at Risk ("VaR"). The VaR of a trading portfolio is the estimated loss that will arise on the portfolio over a specified period of time (holding period) from an adverse market movement with a specified probability (confidence level). The VaR model uses historical simulation based on a 99% confidence level and assumes a 1-day holding period. Using market data from the previous two years, and observed relationships between different markets and prices, the model generates a wide range of plausible future scenarios for market price movements.

The Group uses VaR limits for foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to trading portfolios.

VaR is driven by actual historical observations and hence, it is not an estimate of the maximum loss that the Group could experience from an extreme market event. As a result of this limitation the VaR is further supplemented with other position and sensitivity limit structures, including limits to address potential concentration risks within each trading portfolio. Moreover the trading activity at Group and desk level is subject to Management Action Triggers ("MAT") that are limits on maximum losses that trigger actions from management.

Due to impracticability, the Group has not assessed the risk exposure for the comparative period and as a result not presented them in these consolidated financial statements.

The VaR at 31 December 2014 was as follows:

	As at AED'000	Average AED'000	Minimum AED'000	Maximum AED'000
VaR – Trading Book	8,315	12,115	5,332	25,123
Foreign exchange	1,809	2,388	247	7,174
Interest Rate	7,560	9,749	4,656	18,856
Credit	4,191	5,346	1,430	14,719
Diversification benefit	5,244	5,368	1,000	15,626

Equity and commodity risks are not currently captured in the VaR model. These are under regular monitoring by the Risk Group through a set of market risk sensitivities, notional limits, and management action triggers.

4 Financial risk management *(continued)*

(c) Market risk *(continued)*

Exposure to market risk – banking portfolios

Exposure to Market Risk in the banking portfolios which comprise of non-trading investments, reverse repurchase agreements and certain derivative instruments which are designated as hedging instruments arises primarily from the investment portfolios, interest rate gaps in the banking book, and the Group's overall FX positions.

The principal analytical tool used to measure and control the investment risk exposure within the Group is Value at Risk ("VaR"). The VaR model is the same as the one used for the trading portfolios. The Group uses VaR limits for controlling the overall investment risk, including foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to different Investment portfolios.

The investment risk VaR at 31 December 2014 was as follows:

	As at AED'000	Average AED'000	Minimum AED'000	Maximum AED'000
VaR – Banking Book	81,943	89,736	72,958	117,435
Foreign exchange	1,455	2,812	1,058	6,953
Interest Rate	27,779	18,540	10,896	41,853
Credit	82,012	93,639	79,998	118,004
Diversification benefit	29,303	25,256	18,995	49,375

Interest rate risk

Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group manages this risk principally through monitoring interest rate gaps and by matching the re-pricing profile of assets and liabilities. Overall interest rate risk positions are managed by using derivative instruments to manage overall position arising from the Group's interest bearing financial instruments. The use of derivatives to manage interest rate risk is described in note 39.

The substantial portion of the Group's assets and liabilities are re-priced within one year. Accordingly there is a limited exposure to interest rate risk.

Interest rate risk is also assessed by measuring the impact of reasonable possible change in interest rate movements. The Group assumes a fluctuation in interest rates of 50 basis points *(2013: 50 basis points)* and estimates the following impact on the net profit for the year and equity at that date:

	Net profit for the year		Equity	
	2014 AED'000	**2013** AED'000	**2014 AED'000**	2013 AED'000
Fluctuation in yield	**215,762**	184,125	**79,434**	89,071

The interest rate sensitivities set out above are illustrative only and employ simplified scenarios. They are based on AED 278,229 million *(2013: AED 258,499 million)* interest bearing assets and AED 247,779 million *(2013: AED 212,949 million)* interest bearing liabilities with interest re-pricing less than one year, for assessing the impact on net profit. The impact on equity includes the impact on net profit and the interest rate sensitivity on the available for sale portfolio. The sensitivity does not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(c) Market risk *(continued)*

The Group's interest rate gap and sensitivity position based on contractual re-pricing arrangements at 31 December 2014 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Non interest bearing AED'000
Assets							
Cash and balances with central banks	**55,452,341**	37,940,584	3,537,846	-	-	-	13,973,911
Investments at fair value through profit or loss	**15,425,662**	5,320,282	3,544,230	3,500,216	572,182	939,742	1,549,010
Due from banks and financial institutions	**11,134,262**	10,013,326	659,516	-	-	-	461,420
Reverse repurchase agreements	**15,844,377**	14,525,319	1,319,058	-	-	-	-
Derivative financial instruments	**7,422,828**	-	-	-	-	-	7,422,828
Loans and advances	**194,279,352**	179,263,873	10,626,271	785,660	1,964,399	1,176,727	462,422
Non-trading investments	**67,493,122**	6,994,356	4,484,108	13,612,369	8,897,148	32,882,201	622,940
Other assets	**6,370,981**	-	-	-	-	-	6,370,981
Investment properties	**177,533**	-	-	-	-	-	177,533
Property and equipment	**2,498,254**	-	-	-	-	-	2,498,254
	376,098,712	**254,057,740**	**24,171,029**	**17,898,245**	**11,433,729**	**34,998,670**	**33,539,299**
Liabilities and equity							
Due to banks and financial institutions	**36,679,504**	34,087,388	796,028	18,351	-	-	1,777,737
Repurchase agreements	**13,875,917**	13,875,917	-	-	-	-	-
Euro commercial paper	**5,484,176**	3,540,073	1,944,103	-	-	-	-
Derivative financial instruments	**10,953,124**	-	-	-	-	-	10,953,124
Customers' deposits	**243,184,652**	179,848,560	10,415,527	1,391,507	744,030	162,356	50,622,672
Term borrowings	**14,998,716**	2,768,851	502,628	3,192,007	6,745,751	1,789,479	-
Other liabilities	**11,442,600**	-	-	-	-	-	11,442,600
Subordinated notes	**1,516,641**	-	-	1,037,047	-	479,594	-
Equity	**37,963,382**	-	-	-	-	-	37,963,382
	376,098,712	**234,120,789**	**13,658,286**	**5,638,912**	**7,489,781**	**2,431,429**	**112,759,515**
On statement of financial position gap		**19,936,951**	**10,512,743**	**12,259,333**	**3,943,948**	**32,567,241**	**(79,220,216)**
Off statement of financial position gap		**26,624,636**	**(4,083,326)**	**4,324,836**	**(759,154)**	**(26,106,992)**	**-**
Total interest rate sensitivity gap		**46,561,587**	**6,429,417**	**16,584,169**	**3,184,794**	**6,460,249**	**(79,220,216)**
Cumulative interest rate sensitivity		**46,561,587**	**52,991,004**	**69,575,173**	**72,759,967**	**79,220,216**	**-**

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(c) Market risk *(continued)*

The Group's interest rate gap and sensitivity position based on contractual re-pricing arrangements at 31 December 2013 was as follows:

	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Non interest bearing AED'000
Assets							
Cash and balances with central banks	**35,061,054**	16,482,684	6,189,370	238	-	-	12,388,762
Investments at fair value through profit or loss	**2,645,893**	62,702	317,790	414,085	267,687	691,313	892,316
Due from banks and financial institutions	**20,100,371**	17,629,495	819,059	-	-	-	1,651,817
Reverse repurchase agreements	**18,932,199**	16,506,617	2,255,801	169,781	-	-	-
Derivative financial instruments	**6,146,006**	-	-	-	-	-	6,146,006
Loans and advances	**183,811,494**	162,209,209	16,997,622	919,257	2,355,855	1,016,878	312,673
Non-trading investments	**50,846,059**	9,818,138	9,210,369	1,920,173	4,671,573	25,054,459	171,347
Other assets	**4,909,712**	-	-	-	-	-	4,909,712
Investment properties	**135,260**	-	-	-	-	-	135,260
Property and equipment	**2,473,608**	-	-	-	-	-	2,473,608
	325,061,656	222,708,845	35,790,011	3,423,534	7,295,115	26,762,650	29,081,501
Liabilities and equity							
Due to banks and financial institutions	**35,760,382**	31,800,769	1,648,404	-	-	-	2,311,209
Repurchase agreements	**1,352,121**	1,352,121	-	-	-	-	-
Euro commercial paper	**6,752,015**	6,119,170	632,845	-	-	-	-
Derivative financial instruments	**7,454,016**	-	-	-	-	-	7,454,016
Customers' deposits	**211,097,222**	150,201,063	15,209,719	2,246,251	760,975	168,343	42,510,871
Term borrowings	**18,690,168**	1,469,200	3,480,688	3,365,099	5,857,284	4,517,897	-
Other liabilities	**7,772,018**	-	-	-	-	-	7,772,018
Subordinated notes	**1,512,323**	-	1,034,935	-	-	477,388	-
Equity	**34,671,391**	-	-	-	-	-	34,671,391
	325,061,656	190,942,323	22,006,591	5,611,350	6,618,259	5,163,628	94,719,505
On statement of financial position gap		31,766,522	13,783,420	(2,187,816)	676,856	21,599,022	(65,638,004)
Off statement of financial position gap		3,971,888	1,026,808	11,403,116	1,156,501	(17,558,313)	-
Total interest rate sensitivity gap		35,738,410	14,810,228	9,215,300	1,833,357	4,040,709	(65,638,004)
Cumulative interest rate sensitivity		35,738,410	50,548,638	59,763,938	61,597,295	65,638,004	-

Notes to the consolidated financial statements

4 Financial Risk Management *(continued)*

(c) Market risk *(continued)*

Foreign exchange risk

Foreign exchange risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits. At 31 December, the Group had the following significant net exposures denominated in foreign currencies:

	Net spot position (short)/long AED'000	**Forward position (short)/long AED'000**	**Total 2014 (short)/long AED'000**	Total 2013 (short)/long AED'000
Currency				
US Dollar	17,872,952	(7,852,715)	10,020,237	(2,917,259)
UK Sterling Pound	1,611,470	(1,399,036)	212,434	181,579
Euro	7,456,348	(7,267,167)	189,181	40,402
Kuwaiti Dinar	(271,131)	(255,120)	(526,251)	380,512
Omani Riyal	1,270,239	(1,212,732)	57,507	515,231
Saudi Riyal	33,840	(2,361,431)	(2,327,591)	1,228,574
Japanese Yen	95,043	(54,602)	40,441	(10,040)
Swiss Franc	771,049	(300,583)	470,466	(9,705)
Qatari Riyal	252,309	1,108,760	1,361,069	1,795,810
Bahraini Dinar	37,665	42,178	79,843	479,635
Egyptian Pound	185,029	190,848	375,877	30,612
Jordanian Dinar	934,806	(668,384)	266,422	277,737
Malaysian Ringgit	(232,119)	365,575	133,456	(9,215)

As AED, SAR and QAR are pegged against US Dollar, the Group's risk exposure to these currencies is limited to that extent. Exposure to other foreign currencies is insignificant.

Equity price risk

Equity price risk arises from the change in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

(d) Operational risk

Operational risk is defined as the risk of losses resulting from inadequate or failed processes, people & systems or from external events, this includes legal and technology risk and excludes strategic and reputation risk.

Operational risks arise across all businesses in the Group. The primary responsibility to ensure that risks are managed and monitored resides with the businesses within the Group. Group's businesses are supported by Embedded risk functions and Group Operational Risk Management as 'second line of defence' to ensure robust risk management.

Further, there are reviews conducted by Group Internal Audit as the 'third line of defence'. The results of internal audit reviews are discussed with the management of the respective divisions and summaries are submitted to the Audit Committee.

4 Financial Risk Management *(continued)*

(d) Operational risk *(continued)*

The Group has an established Operational Risk framework consisting of policies and procedures to identify, assess, monitor, control, report and to manage risks and to notify, identify and rectify incidents. The Operational Risk framework also provides the interrelation with other risk categories. Where appropriate, risk is mitigated by way of insurance.

Typically, Operational Risk events are classified as:

- Internal fraud: Risk of unauthorized activity and fraud perpetrated by employees
- External fraud: Risk of fraud or breach of system security by an external party
- Employee practices & workplace safety: Risk of failures in employee relations, diversity and discrimination, and health and safety risks across the Group
- Damage to physical assets: Risk of impact to the Group due to natural disasters
- Clients, Products & Business Practices: Risk of failing in assessing client suitability, fiduciary responsibilities, improper business practices, flawed products and advisory activities.
- Business Disruption & System failures: Risk of not planning and testing business continuity and disaster recovery for systems
- Execution delivery and process management: Risk of failed transaction execution, customer intake and documentation, vendor management and monitoring and reporting.

The Board has oversight responsibilities for operational risk management across the Group. These responsibilities are delegated and exercised through the Group Risk Committee, which is the senior management forum responsible for the oversight of Operational Risk.

Key responsibilities of Group Risk Committee with regards to Operational risk include to ensure:

- Approval of the Group Operational Risk Management Framework and oversight over its implementation
- Approve large incidents as per the Operational Risk management approval matrix
- Approve the strategy and direction for Operational Risk across the group.

4 Financial Risk Management *(continued)*

(e) Capital management

The Group is committed to an integrated and disciplined approach to capital management which is central to the way in which the Group manages capital risk. Capital risk as the risk that the Group has insufficient capital resources to meet minimum regulatory requirements in jurisdictions that the Group operates, to support its credit ratings, and to successfully execute its strategic plans.

The principles and key elements of Group's capital management framework are outlined in the capital management policy. Fundamental to this framework is the Group's capital risk appetite, which is an important dimension of the Group's overall risk appetite. Capital risk appetite is defined by way of parameters such as target external credit ratings, risk weighted assets, total capital adequacy and tier 1 capital adequacy ratios, and leverage ratio. The framework ensures that the Group remains adequately capitalized by prudently managing balance sheet positions, risk levels and capital requirements at both the consolidated entity and line of business levels. Internal Capital Adequacy Assessment Process (ICAAP) and associated stress test are also integral to the Group's capital management framework.

The Risk Management Committee of the Board provides ultimate oversight and approval of capital management, including capital management policy, capital plans and capital adequacy assessments. The Group Asset and Liability Committee provides senior management oversight, including the review and discussion of capital management policies, issues and activities and, along with the Group Risk Committee, the capital required to support the execution of our strategy at Group and line of business levels. The Group Treasury function manages compliance with the Group's capital management objectives and reviews actual/ forecast capital demand and resources on a periodic basis, taking into account the regulatory, economic and commercial environment.

The Groups regulatory capital base is computed in accordance with Central Bank of the UAE (CBUAE) Basel II guidelines. It comprises of Tier 1 capital, Tier 2 capital and deductions. During the year, the Central Bank of the UAE amended its guidelines for calculating market and operational risk. As a result, the Group's risk weighted assets for the year ended 31 December 2013 increased by AED 6,757 million in Market risk and AED 5,270 million in Operational risk.

Tier 1 capital is comprised of paid up share capital, general & legal reserves, share premium and hybrid Tier 1 instruments approved by the CBUAE. Tier 1 capital includes the following significant adjustments:

- Cumulative foreign currency translation reserves;
- Own shares held

Tier 2 capital mainly comprises the following:

- Collective impairment provision to the extent of 1.25% of net credit risk weighted assets;
- Hedging reserve and valuation reserves for financial instrument subject to regulatory cap;
- Subordinated debt instruments complying with regulatory conditions; subject to haircut regulations in last 5 years to maturity.

Deductions from capital base are excluded from both Tier 1 and Tier 2 capital (50:50) in compliance with regulations. Deductions from Tier 1 and Tier 2 capital; mainly comprise the following:

- Investments in unconsolidated subsidiaries and associates;
- Investments in securitisation without a credit rating by a rating agency recognised within regulatory framework

Notes to the consolidated financial statements

4 Financial risk management *(continued)*

(e) Capital management *(continued)*

The Group's regulatory capital adequacy ratio, set by the Central Bank of the UAE at a minimum level of 12% *(2013: 12%)*, of which Tier 1 is to be 8% *(2013: 8%)* is analysed into two tiers as follows:

	Basel II 2014 AED'000	Basel II 2013 AED'000
Tier 1 capital		
Ordinary share capital	**4,968,645**	4,424,078
Retained earnings	**6,611,812**	5,789,626
Statutory and special reserve	**4,736,112**	4,305,556
General reserve and share option scheme	**17,325,759**	15,310,226
Foreign currency translation reserve	**(112,143)**	(89,413)
Convertible notes - equity component	**108,265**	108,265
Government of Abu Dhabi Tier 1 capital notes	**4,000,000**	4,000,000
Deductions from Tier 1 capital	**(17,647)**	(22,244)
Total	**37,620,803**	33,826,094
Tier 2 capital		
Fair value reserve	**146,220**	370,374
Qualifying subordinated liabilities	**687,004**	891,361
Allowance for collective impairment	**2,582,619**	2,236,326
Deductions from Tier 2 capital	**(17,647)**	(22,244)
Total	**3,398,196**	3,475,817
Total regulatory capital base	**41,018,999**	37,301,911
Risk weighted assets:		
Credit risk	**209,665,272**	181,696,396
Market risk	**23,611,281**	19,394,322
Operational risk	**16,936,730**	15,809,707
Risk weighted assets	**250,213,283**	216,900,425
Tier 1 capital ratio	**15.04%**	15.60%
Capital adequacy ratio	**16.39%**	17.20%

The Bank and its overseas branches and subsidiaries have complied with all externally imposed capital requirements for all periods presented.

5 Use of estimates and judgements

In the process of applying the Group's accounting policies, IFRS require the management to select suitable accounting policies, apply them consistently and make judgements and estimates that are reasonable and prudent and would result in relevant and reliable information. The management, based on guidance in IFRS and the IASB's Framework for the Preparation and Presentation of Financial Statements has made these estimates and judgements. Listed below are those estimates and judgement which could have the most significant effect on the amounts recognised in the consolidated financial statements.

Key sources of estimation uncertainty

(i) Impairment charge on loans and advances and non-trading investments

Impairment losses are evaluated as described in accounting policy 3(b) (vii) and 4(a).

The Group evaluates impairment on loans and advances and non-trading investments on an ongoing basis and a comprehensive review on a quarterly basis to assess whether an impairment charge should be recognised in the consolidated statement of profit or loss. In particular, considerable judgement by management is required in the estimation of the amount and timing of future cash flows when determining the level of impairment charge required. In estimating these cash flows, management makes judgements about counterparty's financial situation and other means of settlement and the net realisable value of any underlying collateral. Such estimates are based on assumptions about several factors involving varying degrees of judgement and uncertainty, and actual results may differ resulting in future changes to such impairment charges.

(ii) Collective impairment charge

Collective impairment charge is evaluated as described in accounting policy 3(b) (vii) and 4(a) .

In addition to specific impairment charge against individually impaired assets, the Group also maintains a collective impairment allowance against portfolios of loans and advances with similar economic characteristics which have not been specifically identified as impaired. In assessing the need for collective impairment charge, management considers concentrations, credit quality, portfolio size and economic factors. In order to estimate the required allowance, assumptions are made to define the way inherent losses are modelled and to determine the required input parameters, based on historical and current economic conditions.

(iii) Impairment charge on property and equipment and investment properties

Impairment losses are evaluated as described in accounting policy 3(j) (iii) and 3(k)(iv).

In determining the net realisable value, the Group uses the selling prices determined by external independent valuer's companies, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued. The selling prices are based on market values, being the estimated amount for which a property could be exchanged on the date of the valuation between a willing buyer and a willing seller in an arm's length transaction.

(iv) Contingent liability arising from litigations

Due to the nature of its operations, the Group may be involved in litigations arising in the ordinary course of business. Provision for contingent liabilities arising from litigations is based on the probability of outflow of economic resources and reliability of estimating such outflow. Such matters are subject to many uncertainties and the outcome of individual matters is not predictable with assurance.

(v) Share option scheme

The fair value of the share option scheme is determined using the Black-Scholes model. The model inputs comprise share price, exercise price, share price volatility, contractual life of the option, dividend yield and risk-free interest rate.

5 Use of estimates and judgements *(continued)*

Key sources of estimation uncertainty (continued)

(vi) Valuation of financial instruments

The valuation techniques of financial instruments may require certain unobservable inputs to be estimated by the management. These are discussed in detail in note 6.

(vii) Defined benefit plan

The present value of the defined benefit obligation depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost(income) for obligations include the discount rate. Any changes in these assumptions would impact the carrying amount of the defined benefit obligation.

The Group determines the appropriate discount at the end of each year. This is the interest rate that should be used to determine the present value of the estimated future cash flows expected to be required to settle the future obligations. In determining the appropriate discount rate, the Group considers interest rate of high quality corporate bonds that are denominated in the currency in which the benefits will be paid and that have the terms to maturity approximating the terms of related benefit obligation.

Other key assumptions for defined benefit obligations are based in part on current market conditions. Additional information on these assumptions are disclosed in note 21.

Critical accounting judgements in applying the Group's accounting policies include:

(a) Financial asset and liability classification

The Group's accounting policies provide scope for financial assets and liabilities to be designated on inception into different accounting categories in certain circumstances:

In classifying financial assets as "fair value through profit or loss", "held-to-maturity" or "available-for-sale", the Group has determined it meets the description as set out in accounting policy 3(b) (ii).

(b) Qualifying hedge relationships

In designating financial instruments as qualifying hedge relationships, the Group has determined that it expects the hedge to be highly effective over the life of the hedging relationship.

(c) Determination of fair value hierarchy of financial instruments

The Group's determination of fair value hierarchy of financial instruments is discussed in note 6.

(d) Structured entities

For all funds managed by the Group, the investors are able to vote by simple majority to remove the Group as fund manager, and the Group's aggregate economic interest in each fund is not material. As a result, the Group has concluded that it acts as agent for the investors in these funds, and therefore has not consolidated these funds.

(e) Operating segments

In preparation of the segment information disclosure, the management has made certain assumptions to arrive at the segment reporting. These assumptions would be reassessed by the management on a periodic basis. Operating segments are detailed in note 41.

6 Financial assets and liabilities

(a) Valuation control framework

The Group has an established control framework with respect to the measurement of fair value. This framework includes a Valuation Committee that reports to the Group Risk Committee. The Group also has control functions to support this framework (Product Control, Independent Price Verification, Model Validation and Group Market Risk) that are independent of front office management. Specific controls include:

- Independence in valuation process between risk taking units and control units;
- System for valuations;
- Verification of observable pricing;
- Review and approval process for new models and changes to models;
- Analysis and investigation of significant daily valuation movements; and
- Review of significant unobservable inputs, valuation adjustments and significant changes to the fair value measurement of Level 3 instruments.

The fair values of dues from banks and financial institutions, reverse repurchase agreement , dues to banks and financial institutions, repurchase agreements and customers' deposits which are predominantly short term in tenure and issued at market rates, are considered to reasonably approximate their book value.

The Group estimates that the fair value of its loans and advances portfolio is not materially different from its book value since the majority of loans and advances carry floating market rates of interest and are frequently re-priced. For loans considered impaired, expected cash flows, including anticipated realisation of collateral, were discounted using an appropriate rate and considering the time to collect, the net result of which is not materially different from the carrying value.

(b) Determination of fair values

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. Consequently, differences can arise between book values and the fair value estimates. Underlying the definition of fair value is the presumption that the Group is a going concern without any intention or requirement to materially curtail the scale of its operation or to undertake a transaction on adverse terms.

The Group measures fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

Level 1: Quoted market price (unadjusted) in active market for an identical instrument.

Level 2: Valuation techniques based on observable inputs, either directly (i.e., as prices) or indirectly (i.e., derived from prices). This category includes instruments valued using: quoted market prices in active markets for similar instruments; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3: Valuation techniques using unobservable inputs. This category includes all instruments where the valuation technique includes input not based on observable data and the unobservable input have a significant impact on the instrument's valuation. This category includes instruments that are valued based on quoted prices of similar instruments after making adjustments based on unobservable inputs that are necessary to reflect fair value of the instrument.

6 Financial assets and liabilities *(continued)*

(c) Valuation techniques

All financial assets and liabilities are measured at amortised cost except for derivatives, investment at fair value through profit or loss and available-for-sale investments which are measured at fair value by reference to published price quotations in an active market or from prices quoted by counterparties or through use of valuation techniques.

Fair value of financial assets and liabilities that are traded in active market are based on quoted market price or dealer price quotations. For all other financial instruments, the Group determines fair value using valuation techniques, such as discounted cash flow models, benchmarking against similar instruments for which observable market prices exist, Black-Scholes model or other valuation models. Each valuation technique models the behaviour of underlying market factors. These market factors include interest rates, credit spreads and other inputs used in estimating discount rates, bond prices, foreign exchange rates, equity and equity index prices, volatilities and correlations.

The objective of valuation techniques is to arrive at a fair value determination that reflects the price of the financial instrument at the reporting date that would have been determined by market participants acting at arm's length.

The Group uses widely recognised valuation models for determining the fair value of common financial instruments, such as interest rate and currency swaps that use only observable market data. Observable prices or model inputs are usually available in the market for listed debt and equity securities, exchange-traded derivatives and simple over-the-counter derivatives such as interest rate swaps. Availability of observable market prices and model inputs reduces the need for management judgement and estimation and also reduces the uncertainty associated with determining fair values. Availability of observable market prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

For more complex instruments, the Group uses third party valuation models, which are developed from recognised valuation models. These valuation models require expert judgement for the selection of the most appropriate valuation model to be used including input market data and underlying assumptions for the determination of fair value.

Model inputs and parameters can be calibrated against historical data and market prices for plain vanilla instruments, published forecasts and current or recent observed transactions in similar instruments. This calibration process is inherently subjective and it yields ranges of possible inputs and estimates of fair value, and expert judgement is required to select the most appropriate point in the range.

(d) Fair Value adjustment

Credit Valuation Adjustments

The Group modelled the CVA adjustment in 2014 taking into account trades subject to collateral and netting agreements. The methodology for CVA calculation relies on three components: a standard loss given default assumption of 60% is used for the exposures, the probability of default of the counterparty is implied from credit spreads or credit rating, the expected positive exposure is calculated using simulation methodology or simplified add-on approach. The methodology does not account for wrong way risk.

Model-related adjustments

Model related adjustments are applied when either model inputs are overly simplified or the model has limitations deriving the fair value of a position. These adjustments are required to correct existing model weaknesses or deficiencies that were highlighted during the model review process.

Notes to the consolidated financial statements

6 Financial assets and liabilities *(continued)*

(e) Fair value of financial instruments

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2014:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and receivables AED'000	Amortised cost AED'000	Carrying amount AED'000
Cash and balances with central banks	-	-	-	-	55,452,341	-	**55,452,341**
Investments at fair value through profit or loss	16,630	15,409,032	-	-	-	-	**15,425,662**
Due from banks and financial institutions	-	-	-	-	11,134,262	-	**11,134,262**
Reverse repurchase agreements	-	-	-	-	15,844,377	-	**15,844,377**
Derivative financial instruments	240,300	7,182,528	-	-	-	-	**7,422,828**
Loans and advances	-	-	-	-	194,279,352	-	**194,279,352**
Non-trading investments	-	-	61,957,514	5,535,608	-	-	**67,493,122**
Other assets	-	-	-	-	6,220,564	-	**6,220,564**
	256,930	**22,591,560**	**61,957,514**	**5,535,608**	**282,930,896**	**-**	**373,272,508**
Due to banks and financial institutions	-	-	-	-	-	36,679,504	**36,679,504**
Repurchase agreements	-	-	-	-	-	13,875,917	**13,875,917**
Euro commercial paper	-	-	-	-	-	5,484,176	**5,484,176**
Derivative financial instruments	4,153,336	6,799,788	-	-	-	-	**10,953,124**
Customers' deposits	-	-	-	-	-	243,184,652	**243,184,652**
Term borrowings	-	-	-	-	-	14,998,716	**14,998,716**
Other liabilities[1]	-	2,270,053	-	-	-	8,325,861	**10,595,914**
Subordinated notes	-	-	-	-	-	1,516,641	**1,516,641**
	4,153,336	**9,069,841**	**-**	**-**	**-**	**324,065,467**	**337,288,644**

[1] *Other liabilities that are held for trading are classified as level 1 in the fair value hierarchy.*

Notes to the consolidated financial statements

6 Financial assets and liabilities *(continued)*

(e) Fair value of financial instruments *(continued)*

The table below sets out the Group's classification of each class of financial assets and liabilities and their carrying amounts as at 31 December 2013:

	Designated at fair value through profit or loss AED'000	Held for trading AED'000	Available for sale AED'000	Held to maturity AED'000	Loans and receivables AED'000	Amortised cost AED'000	Carrying amount AED'000
Cash and balances with central banks	-	-	-	-	35,061,054	-	**35,061,054**
Investments at fair value through profit or loss	18,892	2,627,001	-	-	-	-	**2,645,893**
Due from banks and financial institutions	-	-	-	-	20,100,371	-	**20,100,371**
Reverse repurchase agreements	-	-	-	-	18,932,199	-	**18,932,199**
Derivative financial instruments	395,054	5,750,952	-	-	-	-	**6,146,006**
Loans and advances	-	-	-	-	183,811,494	-	**183,811,494**
Non-trading investments	-	-	47,539,835	3,306,224	-	-	**50,846,059**
Other assets	-	-	-	-	4,766,676	-	**4,766,676**
	413,946	**8,377,953**	**47,539,835**	**3,306,224**	**262,671,794**	**-**	**322,309,752**
Due to banks and financial institutions	-	-	-	-	-	35,760,382	**35,760,382**
Repurchase agreements	-	-	-	-	-	1,352,121	**1,352,121**
Euro commercial paper	-	-	-	-	-	6,752,015	**6,752,015**
Derivative financial instruments	2,990,863	4,463,153	-	-	-	-	**7,454,016**
Customers' deposits	-	-	-	-	-	211,097,222	**211,097,222**
Term borrowings	-	-	-	-	-	18,690,168	**18,690,168**
Other liabilities[1]	-	826,076	-	-	-	6,162,812	**6,988,888**
Subordinated notes	-	-	-	-	-	1,512,323	**1,512,323**
	2,990,863	**5,289,229**	**-**	**-**	**-**	**281,327,043**	**289,607,135**

[1] *Other liabilities that are held for trading are classified as level 1 in the fair value hierarchy.*

6 Financial assets and liabilities *(continued)*

(e) Fair value of financial instruments *(continued)*

The Group's financial assets and financial liabilities that are classified as loans and receivables and at amortised cost, are categorised under Level 3 in the fair value hierarchy, as there is no active market for such assets and liabilities. The Bank considers these to have a fair value approximately equivalent to their net carrying value as majority of such financial instrument carry variable interest rates and relatively short tenor of maturity.

(f) Financial instrument measured at fair value - hierarchy

The table below analyses financial instruments measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised:

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 December 2014				
Financial assets held for trading	**12,506,693**	**2,902,339**	**-**	**15,409,032**
Designated at fair value through profit and loss	**-**	**16,630**	**-**	**16,630**
Available-for-sale financial assets	**57,290,896**	**4,652,747**	**13,871**	**61,957,514**
Derivative financial instruments (Assets)	**1,785**	**7,421,043**	**-**	**7,422,828**
Derivative financial instruments (Liabilities)	**(6,520)**	**(10,946,604)**	**-**	**(10,953,124)**
	69,792,854	**4,046,155**	**13,871**	**73,852,880**
As at 31 December 2013				
Financial assets held for trading	2,503,051	123,950	-	**2,627,001**
Designated at fair value through profit and loss	-	18,892	-	**18,892**
Available-for-sale financial assets	41,788,765	5,737,477	13,593	**47,539,835**
Derivative financial instruments (Assets)	8,518	6,137,488	-	**6,146,006**
Derivative financial instruments (Liabilities)	(3,616)	(7,450,400)	-	**(7,454,016)**
	44,296,718	**4,567,407**	**13,593**	**48,877,718**

Certain available-for-sale investment securities have been disclosed under Level 3 of the fair value hierarchy as management has recorded these at cost in the absence of observable market data. Management has deemed cost to be a close approximation of their fair value.

There were no transfers between the fair value hierarchies for any financial asset or liability except for two corporate bonds amounting to AED 24 million *(2013: AED Nil)* which were transferred from Level 1 to Level 2 due to lack of direct pricing inputs .

The following table shows a reconciliation from the beginning balances to the ending balances for instruments measured at fair value and classified as Level 3:

	2014 AED'000	2013 AED'000
Available-for-sale financial assets		
Balance as at 1 January	**13,593**	20,027
Purchases	**-**	-
Settlements and other adjustments	**278**	(6,434)
Balance as at 31 December	**13,871**	13,593

Notes to the consolidated financial statements

7 Cash and balances with central banks

	2014 AED'000	2013 AED'000
Cash on hand	**1,488,410**	1,362,040
Central Bank of the UAE		
cash reserve deposits	**11,269,355**	9,642,776
certificates of deposits	**3,500,000**	5,000,000
other balances	**9,903,969**	-
Balances with other central banks		
cash reserve deposits	**2,466,507**	862,644
other deposits and balances	**26,824,100**	18,193,594
	55,452,341	35,061,054

Cash reserve deposits are not available for the day to day operations of the Group.

8 Investments at fair value through profit or loss

	2014 AED'000	2013 AED'000
Managed portfolios	**1,354,939**	760,766
Debt instruments	**13,876,652**	1,753,577
Equity instruments	**194,071**	131,550
	15,425,662	2,645,893

Equity instruments include investments designated at fair value through profit or loss amounting to AED 16,630 thousand *(2013: AED 18,892 thousand)*.

9 Due from banks and financial institutions

	2014 AED'000	2013 AED'000
Current, call and notice deposits	**965,667**	2,615,082
Margin deposits	**7,107,875**	3,578,048
Fixed deposits	**3,034,927**	13,826,021
Wakala placements	**25,793**	81,220
	11,134,262	20,100,371

10 Reverse repurchase agreements

The Group enters into reverse repurchase agreements in the normal course of business in which the third party transfers financial assets to the Group for short term financing. The carrying amount of financial assets at the reporting date amounted to AED 15,844 million *(2013: AED 18,932 million)*.

No allowances for impairment have been recognised against reverse repurchase agreements during the year *(2013: nil)*.

Notes to the consolidated financial statements

10 Reverse repurchase agreements *(continued)*

At 31 December 2014, the fair value of financial assets accepted as collateral that the Group is permitted to sell or re-pledge in the absence of default was AED 16,564 million *(2013: AED 19,494 million)*.

At 31 December 2014, the fair value of financial assets accepted as collateral that have been sold or re-pledged was AED 3,774 million *(2013: AED 832 million)*. The Group is obliged to return equivalent securities.

These transactions are conducted under terms that are usual and customary to standard lending, and securities borrowing and lending activities.

11 Loans and advances

	2014	2013
	AED'000	AED'000
Gross loans and advances	**202,072,325**	191,039,413
Less: interest suspended	**(1,124,889)**	(900,893)
Less: allowance for impairment	**(6,668,084)**	(6,327,026)
Net loans and advances	**194,279,352**	183,811,494

An analysis of gross loans and advances by counterparty at the reporting date is shown below:

	2014	2013
	AED'000	AED'000
Government sector	**23,435,215**	22,891,901
Public sector	**41,284,684**	45,152,321
Banking sector	**24,108,739**	29,469,792
Corporate / private sector	**81,019,004**	64,968,008
Personal / retail sector	**32,224,683**	28,557,391
Gross loans and advances	**202,072,325**	191,039,413

An analysis of gross loans and advances by product as at the reporting date is shown below:

	2014	2013
	AED'000	AED'000
Overdrafts	**14,101,326**	15,568,408
Term loans	**117,061,464**	112,749,750
Trade related loans	**24,409,304**	25,445,907
Real estate and mortgage loans	**30,957,049**	25,206,419
Personal loans	**12,165,978**	9,489,203
Credit cards	**1,811,662**	1,339,618
Vehicle financing loans	**1,565,542**	1,240,108
Gross loans and advances	**202,072,325**	191,039,413

11 Loans and advances *(continued)*

The movement in the allowance for impairment during the year is shown below:

	2014 AED'000	2013 AED'000
At 1 January	**6,327,026**	5,517,723
Charge for the year		
Collective provision	**574,433**	547,305
Specific provision	**1,152,484**	1,289,775
Recoveries	**(473,901)**	(320,847)
Write-backs during the year	**(411,158)**	(349,366)
Amounts written off	**(500,800)**	(357,564)
At 31 December	**6,668,084**	6,327,026

The Group provides lending against investment in equity securities and funds. The Group is authorised to liquidate these instruments if their coverage falls below the certain agreed threshold. The carrying value of such loans is AED 9,977 million *(2013: AED 10,359 million)* and the fair value of instruments held as collateral against such loans is AED 23,324 million *(2013: AED 21,741 million)*. During the year, the Group has liquidated insignificant amount of collaterals *(2013: AED Nil)* due to fall in the coverage ratio.

Islamic financing

Included in the above loans and advances are the following Islamic financing contracts:

	2014 AED'000	2013 AED'000
Ijara	**5,807,880**	5,647,451
Murabaha	**2,880,632**	1,404,778
Mudaraba	**3,984**	9,156
Others	**8,591**	5,178
Total Islamic financing contracts	**8,701,087**	7,066,563
Less: allowance for impairment	**(56,664)**	(48,390)
Less: suspended profit	**(720)**	(825)
	8,643,703	7,017,348

The movement in the allowance for impairment during the year is shown below:

	2014 AED'000	2013 AED'000
At 1 January	**48,390**	39,580
Charge for the year		
Collective provision	**7,826**	(2,058)
Specific provision	**13,772**	14,077
Recoveries / write-backs during the year	**(7,621)**	(3,129)
Amounts written off and other adjustments	**(5,703)**	(80)
At 31 December	**56,664**	48,390

Notes to the consolidated financial statements

11 Loans and advances *(continued)*

Islamic financing *(continued)*

The gross Ijara and the related present value of minimum Ijara payments are as follows:

	2014 AED'000	2013 AED'000
Gross Ijara		
Less than one year	**2,632,533**	2,273,907
Between one and five years	**3,841,470**	3,812,312
More than five years	**2,289,811**	2,205,013
	8,763,814	8,291,232
Less: deferred income	**(2,955,934)**	(2,643,781)
Net Ijara	**5,807,880**	5,647,451

	2014 AED'000	2013 AED'000
Net present value of minimum lease payments		
Less than one year	**829,612**	753,813
Between one and five years	**3,098,557**	3,077,951
More than five years	**1,879,711**	1,815,687
	5,807,880	5,647,451

Investment in finance lease

Included in the above loans and advances are the following investment in finance leases:

	2014 AED'000	2013 AED'000
Gross investment in finance leases	**6,842,737**	6,165,771
Unearned finance income	**(685,394)**	(663,652)
Net investment in finance leases	**6,157,343**	5,502,119
Less: allowance for impairment	**(172,167)**	(146,301)
Less: interest suspended	**(20,666)**	(23,778)
Investment in finance leases	**5,964,510**	5,332,040

Notes to the consolidated financial statements

11 Loans and advances *(continued)*

Investment in finance lease *(continued)*

	2014 Gross investment in lease AED'000	2013 Gross investment in lease AED'000	2014 Present value of minimum lease payments AED'000	2013 Present value of minimum lease payments AED'000
Within one year	**8,166**	36,907	**8,003**	36,108
One to five years	**1,245,993**	938,301	**1,184,914**	882,331
More than five years	**5,588,578**	5,190,563	**4,964,426**	4,583,680
	6,842,737	6,165,771	**6,157,343**	5,502,119
Unearned finance income	**(685,394)**	(663,652)	**-**	-
Net investment in finance leases	**6,157,343**	5,502,119	**6,157,343**	5,502,119

The movement in allowance for impairment against finance lease receivables during the year is shown below:

	2014 AED'000	2013 AED'000
At 1 January	**146,301**	75,737
Charge for the year		
Specific provision net of write-backs	**5,262**	12,049
Collective provision	**20,604**	58,515
At 31 December	**172,167**	146,301

12 Non-trading investments

	2014 AED'000	2013 AED'000
Available-for-sale investments	**61,957,514**	47,539,835
Held-to-maturity investments	**5,535,608**	3,306,224
	67,493,122	50,846,059

Notes to the consolidated financial statements

12 Non-trading investments *(continued)*

An analysis of available-for-sale investments by type at the reporting date is shown below:

	2014 AED'000			2013 AED'000		
	Quoted	**Unquoted**	**Total**	Quoted	Unquoted	Total
Equity investments	**22,188**	**13,687**	**35,875**	146,918	14,107	161,025
Debt investments	**66,643,904**	**226,277**	**66,870,181**	48,570,548	2,120,693	50,691,241
Funds	**586,882**	**184**	**587,066**	10,505	331	10,836
	67,252,974	**240,148**	**67,493,122**	48,727,971	2,135,131	50,863,102
Less:						
Allowance for impairment	**-**	**-**	**-**	-	(17,043)	(17,043)
	67,252,974	**240,148**	**67,493,122**	48,727,971	2,118,088	50,846,059

Debt instruments under repurchase agreements included in quoted available-for-sale investments at 31 December 2014 amounted to AED 10,126 million *(2013 : AED 1,545 million).*

13 Other assets

	2014 AED'000	2013 AED'000
Interest receivable	**2,898,304**	2,260,724
Acceptances	**2,405,047**	1,175,506
Sundry debtors and other receivables	**1,049,143**	1,455,047
Deferred tax asset	**18,487**	18,435
	6,370,981	4,909,712

The Group does not perceive any significant credit risk on interest receivable and acceptances.

Acceptances arise when the Bank is under an obligation to make payments against documents drawn under letters of credit. After acceptance, the instrument becomes an unconditional liability of the bank and is therefore recognised as a financial liability in the consolidated statement of financial position. However every acceptance has a corresponding contractual right of reimbursement from the customer which is recognised as a financial asset.

Notes to the consolidated financial statements

14 Investment properties

	Land and buildings AED'000
Cost	
At 1 January 2013	143,987
Additions and transfers	-
At 31 December 2013	143,987
Additions and transfers	**228,521**
Deletions	**(174,259)**
At 31 December 2014	**198,249**
Accumulated depreciation	
At 1 January 2013	3,926
Charge for the year	4,801
At 31 December 2013	**8,727**
Charge for the year	**2,015**
Additions and transfers	**19,501**
Deletions	**(9,527)**
At 31 December 2014	**20,716**
Carrying amounts	
At 31 December 2013	135,260
At 31 December 2014	**177,533**

The Group estimates that the fair value of the investment properties approximates its carrying amounts as at the reporting date *(2013: AED 259 million)*.

The Group has repossessed properties with current carrying value of AED 145 million in lieu of settlement of debt. The Group has also reclassified certain properties that are on lease having carrying value of AED 32 million *(2013: AED Nil)* from properties & equipment. During the year, certain investment properties were sold resulting in a gain of AED 56 million.

The fair values of the Group's investment properties are categorised under level 3 of the fair value hierarchy.

Notes to the consolidated financial statements

15 Property and equipment

	Land, building and alterations AED'000	Computer systems and equipment AED'000	Furniture, equipment, safes and vehicles AED'000	Capital work -in-progress AED'000	Total AED'000
Cost					
At 1 January 2013	2,312,581	629,952	318,228	355,032	3,615,793
Additions	82,022	48,391	32,392	166,732	329,537
Allocations from CWIP	251,045	114,133	4,180	(370,386)	(1,028)
Disposals, transfers and write offs[1]	(13,723)	(3,874)	(14,741)	-	(32,338)
At 31 December 2013	2,631,925	788,602	340,059	151,378	3,911,964
Additions	**29,675**	**61,990**	**37,436**	**173,862**	**302,963**
Allocations from CWIP	**19,305**	**55,988**	**4,370**	**(79,663)**	**-**
Disposals, transfers and write offs[1]	**(82,225)**	**(19,115)**	**(15,373)**	**-**	**(116,713)**
At 31 December 2014	**2,598,680**	**887,465**	**366,492**	**245,577**	**4,098,214**
Accumulated depreciation and impairment losses					
At 1 January 2013	694,532	359,035	215,738	-	1,269,305
Charge for the year	55,087	104,705	41,672	-	201,464
Disposals, transfers and write offs[1]	(16,742)	(1,890)	(13,781)	-	(32,413)
At 31 December 2013	732,877	461,850	243,629	-	1,438,356
Charge for the year	**59,153**	**122,163**	**39,693**	**-**	**221,009**
Disposals, transfers and write offs[1]	**(25,845)**	**(17,058)**	**(16,502)**	**-**	**(59,405)**
At 31 December 2014	**766,185**	**566,955**	**266,820**	**-**	**1,599,960**
Carrying amounts					
At 31 December 2013	1,899,048	326,752	96,430	151,378	2,473,608
At 31 December 2014	**1,832,495**	**320,510**	**99,672**	**245,577**	**2,498,254**

[1] *adjusted for foreign exchange translation impact*

Notes to the consolidated financial statements

16 Due to banks and financial institutions

	2014 AED'000	2013 AED'000
Banks and financial institutions		
Current, call and notice deposits	**1,712,526**	1,319,319
Margin	**804,430**	699,620
Fixed deposits	**20,427,596**	21,291,836
Wakala deposit	**350,000**	2,120,000
	23,294,552	25,430,775
Central banks		
Current and call deposits	**94,176**	1,254,455
Fixed and certificate of deposits	**13,290,776**	9,075,152
	13,384,952	10,329,607
	36,679,504	35,760,382

Due to banks and financial institutions are denominated in various currencies and carry a rate of interest in the range of 0% to 9.25% *(2013: 0% to 9.75%)*.

17 Repurchase agreements

The Group enters into repurchase agreements in the normal course of business by which it transfers recognised financial assets directly to third parties.

The carrying value that is also the fair value of financial assets collateralised at the reporting date amounted to AED 10,129 million *(2013: AED 1,545 million)* and their associated financial liabilities amounted to AED 13,876 million *(2013: AED 1,352 million)*. The net difference between the fair value of the financial assets collateralised and the carrying value of the repurchase agreement is a shortage AED 3,747 million *(2013: excess of AED 193 million)*. The shortage is covered by re-pledging financial assets received as collateral against reverse repurchase agreements.

18 Euro commercial paper

The Bank established a USD 2,000,000 thousand Euro commercial Paper Programme (the "ECP Programme") for the issuance of Euro commercial paper under an agreement dated 13 September 2006 with Citibank, N.A.

The notes outstanding as at the reporting date amounted to AED 5,484,176 thousand *(2013: AED* 6,752,015 *thousand)*. They are denominated in various currencies, bear interest in the range of 0.05% to 0.90% *(2013:* 0.07% to 0.56%) and have maturity periods of less than 12 months.

The Group has not had any defaults of principal, interests, or other breaches with respect to its Euro commercial paper during 2014.

Notes to the consolidated financial statements

19 Customers' deposits

	2014 AED'000	2013 AED'000
By account:		
Current accounts	**56,575,565**	47,737,536
Savings accounts	**11,709,702**	10,337,386
Margin accounts	**1,088,714**	2,025,215
Notice and time deposits	**160,099,600**	133,385,706
Certificates of deposit	**13,711,071**	17,611,379
	243,184,652	211,097,222

	2014 AED'000	2013 AED'000
By counterparty:		
Government sector	**69,576,013**	45,937,851
Public sector	**38,591,210**	39,509,384
Corporate / private sector	**72,003,241**	65,797,925
Personal / retail sector	**63,014,188**	59,852,062
	243,184,652	211,097,222

	2014 AED'000	2013 AED'000
By location:		
UAE	**168,406,055**	144,824,093
Europe	**30,150,816**	20,275,167
Arab countries	**29,396,480**	28,534,630
Americas	**7,349,566**	7,082,352
Asia	**7,545,397**	10,061,023
Others	**336,338**	319,957
	243,184,652	211,097,222

Islamic customers' deposits

Included in the above customers' deposits are the following Islamic customer deposits:

	2014 AED'000	2013 AED'000
Wakala deposits	**3,320,410**	2,086,069
Mudaraba deposits	**360,627**	268,706
	3,681,037	2,354,775

Notes to the consolidated financial statements

20 Term borrowings

	2014 AED'000	2013 AED'000
Club loan and other facilities	-	1,469,200
Other term notes	14,998,716	17,220,968
	14,998,716	18,690,168

During the year, the Bank has issued AUD 400 million notes. The notes mature in March 2019 and carry a fixed coupon that is paid semi-annually in arrears. The Bank has hedged its currency and interest rate exposure on these notes.

Term borrowings include USD 500 million convertible notes. The notes mature in March 2018 and carry a fixed coupon that is paid semi-annually in arrears. The value of the conversion option at inception was AED 108,265 thousand and as such has been classified as a part of equity under convertible note – equity component reserve.

The following term notes are outstanding at 31 December:

Currency	Interest	Maturity	2014 AED'000	2013 AED'000
USD	4.50 per cent (fixed)	Sep 2014	-	3,171,498
HKD	3.80 per cent (fixed)	Sep 2014	-	191,646
HKD	3.90 per cent (fixed)	Oct 2014	-	117,543
USD	4.25 per cent (fixed)	Mar 2015	2,768,851	2,826,292
MYR	4.75 per cent (fixed)	Jun 2015	502,628	538,807
USD	3.25 per cent (fixed)	Mar 2017	2,778,700	2,786,429
HKD	3.40 per cent (fixed)	Sep 2017	151,281	151,754
USD	3.71 per cent (fixed)	Sep 2017	112,604	113,361
HKD	4.32 per cent (fixed)	Sep 2017	149,422	151,417
AUD	5.00 per cent (fixed)	Mar 2018	918,622	964,439
USD	1.00 per cent (fixed)	Mar 2018	1,728,180	1,689,885
AUD	4.75 per cent (fixed)	Mar 2019	1,248,555	-
USD	3.00 per cent (fixed)	Aug 2019	2,691,018	2,630,247
HKD	4.45 per cent (fixed)	Sep 2019	159,375	158,707
MYR	4.90 per cent (fixed)	Dec 2020	492,505	522,025
HKD	3.95 per cent (fixed)	Apr 2022	156,233	149,569
JPY	2.60 per cent (fixed)	Jul 2026	369,707	398,847
HKD	3.94 per cent (fixed)	Jul 2027	180,995	168,777
MXN	0.50 per cent (fixed)	Mar 2028	32,261	28,511
USD	4.37 per cent (fixed)	Aug 2032	279,248	233,498
USD	4.10 per cent (fixed)	Sep 2032	108,290	90,952
USD	4.80 per cent (fixed)	Sep 2036	76,843	63,049
USD	5.01 per cent (fixed)	May 2042	93,398	73,715
			14,998,716	17,220,968

The Bank has hedged the interest rate and foreign currency exposure on term borrowings. The nominal value hedges are AED 15.16 billion *(2013: AED 17.59 billion)* and the risks being hedged have a net positive fair value of AED 22.03 million *(2013: net negative fair value of AED 144.26 million).* The Group has not had any defaults of principal, interests, or other breaches with respect to its term borrowings during 2014 and 2013.

21 Other liabilities

	2014 AED'000	2013 AED'000
Interest payable	**2,375,884**	1,898,591
Acceptances *(note 13)*	**1,877,159**	841,139
Provision employees' end of service benefits	**462,620**	448,018
Accounts payable, sundry creditors and other liabilities	**6,615,847**	4,491,890
Overseas income tax	**111,090**	92,380
	11,442,600	7,772,018

Employees end of Service benefits

Defined benefit obligations

The Group provides for end of service benefits for its eligible employees. An actuarial valuation has been carried out as at December 31, 2014 to ascertain present value of the defined benefit obligation. A registered actuary in the UAE was appointed to evaluate the same. The present value of the defined benefit obligation, and the related current and past service cost, were measured using the Projected Unit Credit Method.

The following key assumptions were used to value the liabilities:

Discount rate	3.25% per annum
Salary increase rate	3.00% per annum

Demographic assumptions for mortality, withdrawal and retirement were used in valuing the liabilities and benefits under the plan. Because of the nature of the benefit, which is a lump sum payable on exit due to any cause, a combined single decrement rate has been used.

A shift in the in the discount rate assumption by +/- 25 basis points would impact the liability by AED 7,409 thousand and AED 6,361 thousand respectively. Similarly, a shift in the salary increment assumption by +/- 50 basis points would impact the liability by AED 12,895 thousand and AED 12,256 thousand respectively.

The movement in the employees defined benefit obligation was as follows:

	2014 AED'000	2013 AED'000
Balance at 1 January	**448,018**	445,738
Net charge during the year	**90,702**	76,905
Paid during the year	**(76,100)**	(74,625)
Balance at 31 December	**462,620**	448,018

Notes to the consolidated financial statements

21 Other liabilities *(continued)*

Defined contribution plan
The Group pays contributions for its eligible employees which are treated as defined contribution plans. The charge for the year in respect of these contributions is AED 73,039 thousand *(2013: AED 65,872 thousand)*. As at the reporting date, pension payable of AED 673 thousand has been classified under other liabilities *(2013: AED 2,522 thousand).*

Overseas income tax
The Group has provided for overseas income tax in accordance with management's estimate of the total amount payable based on tax rates enacted or substantially enacted as at the reporting date. Where appropriate the Group has made payments of tax on account in respect of these estimated liabilities.

The overseas income tax charge for the year is calculated based upon the adjusted net profit for the year. The movement in the provision was as follows:

	2014	**2013**
	AED'000	AED'000
At 1 January	**92,380**	96,554
Charge for the year	**271,109**	215,166
Overseas income tax paid, net of recoveries	**(252,399)**	(219,340)
At 31 December	**111,090**	92,380

22 Subordinated notes

	2014	2013
	AED'000	AED'000
Liability component		
15 March 2006 issue	**1,037,047**	1,034,936
10 December 2012 issue	**479,594**	477,387
	1,516,641	1,512,323
Equity component		
15 March 2006 issue	**-**	72,926
28 February 2008 issue	**-**	52,984
Less: conversion of 15 March 2006 issue	**-**	(40,502)
Less: buy back of 28 February 2008 issue	**-**	(31,564)
Transfer to general reserve	**-**	(53,844)
	-	-

22 Subordinated notes *(continued)*

15 March 2006 issue:

The Bank issued AED 2.5 billion subordinated convertible notes due on 15 March 2016 in accordance with the approval of the Extraordinary General Meeting held on 22 November 2005. The notes bear an interest rate equal to 3 month EIBOR plus 0.25% paid quarterly.

The above mentioned notes are presented in the consolidated statement of financial position as follows:

	2014	2013
	AED'000	AED'000
Proceeds from issue of convertible notes	**2,500,000**	2,500,000
Less: amount classified as equity	**(72,926)**	(72,926)
Carrying amount of liability component on initial recognition	**2,427,074**	2,427,074
Add: cumulative accreted interest	**27,846**	25,735
Less: converted liability component	**(1,347,973)**	(1,347,973)
Carrying amount of liability bought back	**(69,900)**	(69,900)
Carrying amount of liability component	**1,037,047**	1,034,936

The effective interest rate as at 31 December 2014 was 3 month EIBOR plus 0.301% *(2013: 3 month EIBOR plus 0.301%)*.

10 December 2012 issue:

On 10 December 2012, the Bank issued MYR 500 million subordinated notes due on 9 December 2027. The notes bear an interest rate equal to 4.75% and will be paid on a semi-annual basis. The Bank has hedged the currency and interest rate exposure on these notes. The nominal value hedge is AED 524.71 million *(2013: AED 560.16 million)* and the risks being hedged has a negative fair value of AED 43.22 million *(2013: negative fair value of AED 80.64 million)*. The effective interest rate as at 31 December 2014 was 4.79% *(2013: 4.79%)*.

The Group has not had any defaults of principal, interests, or other breaches with respect to its subordinated notes during 2014 and 2013.

23 Capital and reserves

Share capital

The authorised share capital of the Bank comprise 4,736 million ordinary shares of AED 1 each *(2013: 4,306 million shares of AED 1 each)*. The issued and fully paid share capital at 31 December 2014 is comprised of 4,736 million ordinary shares of AED 1 each *(2013: 4,306 million ordinary shares of AED 1 each)*.

Notes to the consolidated financial statements

23 Capital and reserves *(continued)*

Reconciliation of Share capital

	2014 AED'000	2013 AED'000
As at 1 January	**4,305,556**	3,874,558
Shares issued under Share option scheme	**-**	39,584
	4,305,556	3,914,142
Bonus shares issued during the period	**430,556**	391,414
	4,736,112	4,305,556
Treasury shares held *(note 25)*	**(12,940)**	(25,086)
As at 31 December	**4,723,172**	4,280,470

Statutory reserve
The UAE Commercial Companies Law No. (8) of 1984 (as amended) and Article 56 of the Bank's Articles of Association require that a minimum of 10% of the annual net profit to be transferred to a statutory reserve until it equals 50% of the paid-up share capital. The statutory reserve is not available for distribution to the shareholders.

Special reserve
Transfers to the special reserve are made in accordance with Union Law No. (10) of 1980 and Article 56 of the Bank's Articles of Association under which not less than 10% of the annual net profit is to be transferred to this reserve until it equals 50% of the paid-up share capital. The special reserve is not available for distribution to the shareholders.

Dividends
The following dividends were paid by the Group during the year ended 31 December:

	2014 AED'000	2013 AED'000
Cash dividend AED 0.40 per ordinary share *(2013: 0.35 per ordinary share)*	**1,712,848**	1,359,504
10% bonus shares *(2013: 10% bonus shares)* issued	**430,556**	391,414

Proposed dividends:
On 28 January 2015, a cash dividend of AED 0.40 per ordinary share and 10% bonus share *(2013: proposed cash dividend of AED 0.40 per ordinary share and 10% bonus shares)* was proposed by the Board of Directors in respect of 2014 which is subject to the approval of the shareholders at the Annual General Meeting.

Other reserves
Other reserves include the following:

(i) General reserve
The general reserve is available for distribution to the shareholders at the recommendation of the Board of Directors. On 11 March 2014 the AGM approved the transfer of AED 2.4 billion *(31 December 2013: AED 2.1 billion)* to general reserve.

Notes to the consolidated financial statements

23 Capital and reserves *(continued)*

Other reserves *(continued)*

(ii) Fair value reserve

The fair value reserve includes the cumulative net change in the fair value of non-trading investments, until the investment is derecognised or impaired, and cash flow hedge reserve.

	2014 AED'000	2013 AED'000
Revaluation reserve – available-for-sale investments		
At 1 January	**787,157**	699,317
Net unrealised gains during the year	**380,315**	371,735
Net cumulative realised gains recognised in the consolidated statement of profit or loss during the year	**(835,852)**	(283,895)
At 31 December	**331,620**	787,157
Hedging reserve – cash flow hedge		
At 1 January	**35,896**	-
Changes in fair value	**(42,584)**	35,896
At 31 December	**(6,688)**	35,896
Total at 31 December	**324,932**	823,053

The hedging reserve comprises the effective portion of the cumulative net change in the fair value of cash flow hedging instruments related to hedged transactions.

(iii) Foreign currency translation reserve

Foreign currency translation reserve represents the exchange differences arising from translation of the net investment in foreign operations.

24 Government of Abu Dhabi Tier 1 capital notes

Under the Government of Abu Dhabi 2009 Bank capitalisation programme, the Bank issued regulatory Tier 1 capital notes (the "Notes") in the amount of AED 4 billion. The Notes are perpetual, subordinated, unsecured and carry a fixed coupon during the initial period and are paid semi-annually in arrears. During the year, the initial phase has lapsed, as a result, the Notes now attract a coupon rate of 6 month EIBOR plus 2.3% margin. The Bank may elect not to pay a coupon at its own discretion. The note holder does not have a right to claim the coupon and an election by the Bank not to service coupon is not considered an event of default. In addition, there are certain circumstances under which the Bank is prohibited from making a coupon payment on a relevant coupon payment date.

If the Bank makes a non - payment election or a non - payment event occurs, then the Bank will not (a) declare or pay any distribution or dividend or (b) redeem, purchase, cancel, reduce or otherwise acquire any of the share capital or any securities of the Bank ranking pari passu with or junior to the Notes except securities, the term of which stipulate a mandatory redemption or conversion into equity, in each case unless or until two consecutive coupon payments have been paid in full.

The issuance was approved in the shareholders Extraordinary General Meeting held on 11 March 2009. During the year, a coupon payment election was made by the Bank in the amount of AED 187.5 million *(2013: AED 240 million)*.

25 Share option scheme

The Bank had introduced in 2008 a share based payment scheme (the "Scheme") for selected employees which would vest over three years and can be exercised within the next three years after the vesting period. The key vesting condition is that the option holder is in continued employment with the Bank until the end of vesting period. The options lapse six years after their date of grant irrespective of whether they are exercised or not.

The Group has established a subsidiary to issue shares when the vested option is exercised by the employee. The Bank had issued and transferred 39,584 thousand shares to the subsidiary. These shares are treated as treasury shares until exercised by the option holders.

As at the reporting date 14,490 thousand *(2013: 17,482 thousand)* options were exercised by the option holders resulting in an increase in the total share capital by AED 14,490 thousand *(2013: AED 17,482 thousand)* and share premium by AED 101,865 thousand *(2013: AED 143,608 thousand)*.

The numbers of share options are as follows:

	2014 Number of options in thousands	2013 Number of options in thousands
Outstanding at 1 January	**23,950**	38,883
Granted during the year	**24,505**	-
Net forfeited during the year	**(634)**	(332)
Exercised during the year	**(14,490)**	(17,482)
Expired during the year	**(53)**	-
Bonus share adjustment	**-**	2,881
Outstanding at 31 December	**33,278**	23,950

The average exercise price of options exercised during 2014 was AED 8.03 *(2013: AED 9.21)*. The options outstanding as at 31 December 2014 have an exercise price per share ranging between AED 7.54 to 11.44 *(2013: AED 8.73)*.

Reconciliation of treasury shares held under the Scheme

	2014 AED'000	2013 AED'000
As at 1 January	**25,086**	-
Shares issued under the Scheme	**-**	39,584
	25,086	39,584
Options exercised by staff during the period	**(14,490)**	(17,482)
	10,596	22,102
Bonus shares issued during the period	**2,344**	2,984
As at 31 December	**12,940**	25,086

Notes to the consolidated financial statements

26 Interest income

	2014 AED'000	2013 AED'000
Interest from		
Central banks	**204,813**	144,287
Banks and financial institutions	**179,446**	366,510
Reverse repurchase agreements	**102,801**	112,274
Investments at fair value through profit or loss	**234,139**	57,676
Non-trading investments	**1,879,110**	1,412,752
Loans and advances	**6,034,303**	5,992,023
	8,634,612	8,085,522

27 Interest expense

	2014 AED'000	2013 AED'000
Interest to		
Banks and financial institutions	**177,035**	129,603
Repurchase agreements	**9,236**	6,478
Euro commercial paper	**19,505**	18,680
Customers' deposits	**751,824**	782,736
Certificates of deposit	**249,085**	221,488
Term borrowings	**689,424**	694,224
Subordinated notes	**39,540**	28,444
	1,935,649	1,881,653

28 Income from Islamic financing contracts

	2014 AED'000	2013 AED'000
Ijara	**223,266**	271,348
Murabaha	**106,564**	56,826
Mudaraba	**7,062**	517
	336,892	328,691

29 Depositors' share of profits

	2014 AED'000	2013 AED'000
Wakala deposits	**14,355**	21,706
Mudaraba deposits	**3,482**	1,197
	17,837	22,903

Notes to the consolidated financial statements

30 Net fee and commission income

	2014 AED'000	2013 AED'000
Fee and commission income		
Trade finance	**518,650**	420,632
Collection services	**76,515**	42,515
Brokerage income	**147,079**	66,714
Asset management and investment services	**187,667**	116,280
Investments, derivatives and risk participation	**146,065**	178,826
Retail and corporate lending	**801,845**	657,013
Cards and e-services	**852,798**	670,077
Accounts related services	**94,890**	89,597
Commission on transfers	**73,638**	33,291
Others	**103,373**	80,283
Total fee and commission income	**3,002,520**	2,355,228
Fee and commission expense		
Brokerage commission	**35,459**	32,780
Handling charges	**6,110**	4,799
Credit card charges	**569,755**	417,633
Retail and corporate lending	**51,068**	33,748
Others	**29,536**	14,098
Total fee and commission expense	**691,928**	503,058
Net fee and commission income	**2,310,592**	1,852,170

Asset management and investment service fees include fees earned by the Group on trust and fiduciary activities where the Group holds or invests assets on behalf of its customers.

Notes to the consolidated financial statements

31 Net foreign exchange gain

	2014 AED'000	2013 AED'000
Trading and retranslation gain on foreign exchange and related derivatives[1]	**(105,120)**	136,747
Dealings with customers	**301,205**	253,128
	196,085	389,875

[1] Due to effective hedging strategies, the offsetting impact of hedging instruments is reflected in the net gains from sale of non-trading investments *(note 32)*.

32 Net gain on investments and derivatives

	2014 AED'000	2013 AED'000
Net realised and unrealised gains on investments at fair value through profit or loss and derivatives[1]	**(78,806)**	22,168
Net gain from sale of non-trading investments	**835,852**	283,895
Dividend income	**7,356**	4,959
	764,402	311,022

Interest income on debt instruments classified as investments at fair value through profit or loss as well as debt instruments classified as non-trading investments is presented within interest income.

[1] *Includes credit value adjustment of AED 72 million.*

33 Other operating income

	2014 AED'000	2013 AED'000
Gain on buy back of issued subordinated notes	**-**	268,955
Gain on sale of investment properties	**56,353**	-
Others	**69,267**	66,309
	125,620	335,264

34 General, administration and other operating expenses

	2014 AED'000	2013 AED'000
Staff costs	**2,532,726**	2,187,719
Other general and administration expenses	**907,387**	808,601
Depreciation	**223,024**	206,265
Donations and charity	**32,896**	27,803
	3,696,033	3,230,388

Notes to the consolidated financial statements

35 Net impairment charge

	2014 AED'000	2013 AED'000
Collective provision for loans and advances	**574,433**	547,305
Specific provision for loans and advances	**1,152,484**	1,289,775
Write back of provisions for loans and advances	**(411,158)**	(349,366)
Recovery of loan loss provisions	**(473,901)**	(320,847)
Write-off of impaired financial assets	**43,635**	30,743
Recovery of loans previously written off	**(6,627)**	(5,641)
Other recoveries	**-**	(405)
(Write back) / impairment of		
- other financial assets	**3,603**	-
- non financial assets	**(14,342)**	14,342
	868,127	1,205,906

36 Overseas income tax expense

In addition to adjustments relating to deferred taxation, the charge for the year is calculated based upon the adjusted net profit for the year at rates of tax applicable in respective overseas locations.

The charge to the consolidated statement of profit or loss for the year was as follows:

	2014 AED'000	2013 AED'000
Charge for the year	**271,109**	215,166
Adjustments relating to deferred taxation	**579**	2,973
	271,688	218,139

Reconciliation of Group's tax on profit based on accounting and profit as per the tax laws is as follows:

	2014 AED'000	2013 AED'000
Profit before taxation[1]	**1,016,862**	789,738
Tax calculated at domestic tax rates applicable to profits in the respective countries	**245,925**	195,999
Tax effects of:		
- Income not subject to tax	**(6,951)**	(22,688)
- Expenses not deductible for tax purpose	**27,888**	46,240
- Utilisation of previously unrecognised tax losses	**(1,338)**	-
- Effect of tax offsets not recognised as deferred tax assets	**(2,804)**	(2,717)
- Deductible temporary difference now recognised as deferred tax assets	**(2,556)**	(5,438)
- Adjustment pertaining to prior years	**11,524**	6,743
Total tax charge	**271,688**	218,139

[1] *Profit before taxation amount consists of only those entities that are under taxable jurisdictions.*

37 Cash and cash equivalents

Cash and cash equivalents included in the consolidated statement of cash flows comprise the following amounts maturing within three months of the date of the acquisition / placement:

	2014 AED'000	2013 AED'000
Cash and balances with central banks	**51,166,206**	29,912,204
Due from banks and financial institutions	**2,960,720**	6,573,919
Cash and cash equivalents	**54,126,926**	36,486,123

38 Commitments and contingencies

	2014 AED'000	2013 AED'000
Letters of credit	**56,212,240**	31,470,088
Letters of guarantee	**64,839,308**	50,947,669
Undrawn commitments to extend credit	**22,100,064**	24,636,477
Financial guarantees	**1,031,799**	4,785,514
	144,183,411	111,839,748

Credit risk characteristics of these unfunded facilities closely resemble the funded facilities as described in note 4.

Capital and operating lease commitments at the reporting date is shown below:

	2014 AED'000	2013 AED'000
Commitments for future capital expenditure	**159,799**	48,836
Commitments for future operating lease payments for premises	**114,117**	151,918
	273,916	200,754
Total commitments and contingencies	**144,457,327**	112,040,502

38 Commitments and contingencies *(continued)*

Letters of credit and guarantee commit the Group to make payments on behalf of customers contingent upon the production of documents or the failure of the customer to perform under the terms of the contract.

Commitments to extend credit represent contractual commitments to extend loans and revolving credits. Commitments generally have fixed expiration dates or other termination clauses and may require a payment of a fee. Since commitments may expire without being drawn upon, the total contracted amounts do not necessarily represent future cash requirements.

Commitments for operating lease payments are payable as follows:

	2014 AED'000	2013 AED'000
Less than one year	**37,454**	53,355
Between one and five year	**61,566**	77,570
More than five year	**15,097**	20,993
Total commitments	**114,117**	151,918

Financial guarantee contracts includes credit default agreements entered with banks and financial institutions amounting to AED 606 million *(2013: AED 4,665 million)* which are primarily denominated in US Dollars.

Concentration by industry:

Financial guarantee contracts mainly pertain to the banks and financial institutions.

Concentration by location:

	Undrawn loan Commitments		**Financial guarantees**	
	2014 AED'000	2013 AED'000	**2014 AED'000**	2013 AED'000
UAE	**12,352,565**	18,189,528	**-**	-
Europe	**1,845,477**	804,083	**606,045**	202,015
Arab countries	**2,962,213**	1,449,932	**2,199**	43,541
Americas	**2,353,289**	3,079,356	**423,555**	240,266
Asia	**2,124,435**	1,113,578	**-**	2,830,492
Others	**462,085**	-	**-**	1,469,200
	22,100,064	24,636,477	**1,031,799**	4,785,514

39 Derivative financial instruments

In the ordinary course of business the Group enters into various types of transactions that involve derivative financial instruments. Derivatives are financial instruments that derive their value from the price of underlying items such as equities, bonds, interest rates, foreign exchange, credit spreads, commodities and equity or other indices. Derivatives enable users to increase, reduce or alter exposure to credit or market risks. Derivative financial instruments include forwards, futures, swaps and options. These transactions are primarily entered with Banks and financial institutions.

Forwards and futures
Currency forwards represent commitments to purchase foreign and/or domestic currencies, including non-deliverable spot transactions (i.e. the transaction is net settled). Forward rate agreements are individually negotiated interest rate futures that call for a cash settlement at a future date for the difference between a contracted rate of interest and the current market rate, based on a notional principal amount. Foreign currency and interest rate futures are contractual obligations to receive or pay a net amount based on changes in currency rates or interest rates, or to buy or sell foreign currency or a financial instrument on a future date at a specified price, established in an organised financial market. The credit risk for futures contracts is negligible, as they are collateralised by cash or marketable securities, and changes in the futures' contract value are settled daily with the exchange.

Swaps
Currency and interest rate swaps are commitments to exchange one set of cash flows for another. Swaps result in an economic exchange of currencies or interest rates (for example, fixed rate for floating rate) or a combination of all these (i.e., cross - currency interest rate swaps). No exchange of principal takes place, except for certain cross currency swaps. The Group's credit risk represents the potential loss if counterparties fail to fulfil their obligation. This risk is monitored on an ongoing basis with reference to the current fair value, notional amount of the contracts and the liquidity of the market. To control the level of credit risk taken, the Group assesses counterparties using the same techniques as for its lending activities.

Options
Options are contractual agreements under which the seller (writer) grants the purchaser (holder) the right, but not the obligation, either to buy (a call option) or sell (a put option) at or by a set date or during a set period, a specific amount of a financial instrument at a predetermined price. The seller receives a premium from the purchaser in consideration for the assumption of risk. Options may be either exchange - traded or negotiated between the Bank and a customer over the counter (OTC).

Derivatives are measured at fair value by reference to published price quotations in an active market. Where there is no active market for an instrument, fair value is derived from prices for the derivative's components using appropriate pricing or valuation models like counterparty prices or valuation techniques such as discounted cash flows, market prices, yield curves and other reference market data.

The table below shows the positive and negative fair values of derivative financial instruments, which are equivalent to their fair values, together with the notional amounts analysed by the term to maturity. The notional amount is the amount of a derivative's underlying, reference rate or index and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at year end and are neither indicative of the market risk nor credit risk.

Notes to the consolidated financial statements

39 Derivative financial instruments *(continued)*

31 December 2014

	Positive market value	Negative market value	Notional amount	Notional amounts by term to maturity: Less than three months	From three months to one year	From one year to three years	From three years to five years	Over five years
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Held for trading:								
Interest rate derivatives								
Swaps	**4,083,652**	**3,618,413**	**492,193,642**	46,689,605	122,982,587	124,502,492	112,422,485	85,596,473
Forwards & Futures	**14,148**	**7,178**	**45,397,661**	-	45,397,661	-	-	-
Options & Swaptions	**228,215**	**235,093**	**199,324,256**	161,251,128	7,568,951	6,996,723	4,417,348	19,090,106
Foreign exchange derivatives								
Forwards	**2,253,794**	**2,390,280**	**261,772,444**	147,620,304	92,573,183	20,454,029	1,124,928	-
Options	**231,895**	**187,576**	**43,924,361**	7,121,106	15,373,524	19,222,732	1,242,976	964,023
Other derivatives contracts	**370,824**	**361,248**	**2,702,980**	594,307	1,079,996	818,752	209,925	-
	7,182,528	**6,799,788**	**1,045,315,344**	**363,276,450**	**284,975,902**	**171,994,728**	**119,417,662**	**105,650,602**
Held as fair value hedges:								
Interest rate derivatives								
Swaps	**237,833**	**4,151,288**	**54,625,157**	3,410,218	5,959,527	31,198,306	1,403,677	12,653,429
	237,833	**4,151,288**	**54,625,157**	**3,410,218**	**5,959,527**	**31,198,306**	**1,403,677**	**12,653,429**
Held as cash flow hedges								
Interest rate derivatives								
Forwards	**2,467**	**2,048**	**2,499,033**	2,499,033	-	-	-	-
	2,467	**2,048**	**2,499,033**	**2,499,033**	**-**	**-**	**-**	**-**
Total	**7,422,828**	**10,953,124**	**1,102,439,534**	**369,185,701**	**290,935,429**	**203,193,034**	**120,821,339**	**118,304,031**

Notes to the consolidated financial statements

39 Derivative financial instruments *(continued)*

31 December 2013				Notional amounts by term to maturity				
	Positive market value	Negative market value	Notional amount	Less than three months	From three months to one year	From one year to three years	From three years to five years	Over five years
	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000	AED'000
Held for trading:								
Interest rate derivatives								
Swaps	4,140,108	2,811,469	413,332,300	62,481,971	99,606,886	133,815,365	60,036,301	57,391,777
Forwards & Futures	17,866	15,189	180,128,175	5,656,420	112,361,784	62,109,971	-	-
Options & Swaptions	145,307	134,545	81,607,486	15,059,300	41,590,791	4,996,405	3,314,952	16,646,038
Foreign exchange derivatives								
Forwards	1,362,812	1,413,680	189,421,730	119,753,860	60,172,442	8,073,591	1,421,837	-
Options	45,770	45,770	5,186,561	1,327,350	3,717,360	141,851	-	-
Other derivatives contracts	39,089	42,500	2,267,565	765,432	849,002	492,331	160,800	-
	5,750,952	**4,463,153**	**871,943,817**	**205,044,333**	**318,298,265**	**209,629,514**	**64,933,890**	**74,037,815**
Held as fair value hedges:								
Interest rate derivatives								
Swaps	372,571	2,822,204	48,818,379	1,752,810	6,142,491	4,578,404	10,405,136	25,939,538
	372,571	**2,822,204**	**48,818,379**	**1,752,810**	**6,142,491**	**4,578,404**	**10,405,136**	**25,939,538**
Held as cash flow hedges								
Interest rate derivatives								
Forwards	22,483	168,659	10,378,603	5,908,694	4,469,909	-	-	-
	22,483	**168,659**	**10,378,603**	**5,908,694**	**4,469,909**	**-**	**-**	**-**
Total	**6,146,006**	**7,454,016**	**931,140,799**	**212,705,837**	**328,910,665**	**214,207,918**	**75,339,026**	**99,977,353**

39 Derivative financial instruments *(continued)*

The positive / negative fair value in respect of derivatives represents the gain / loss respectively, arising on fair valuation of the trading and hedging instrument. These amounts are not indicative of any current or future losses, as a similar positive / negative amount has been adjusted to the carrying value of the hedged loans and advances, non-trading investments, term borrowings and subordinated notes.

As at December 31, 2014, the Group received cash collateral of AED 661,805 thousand *(2013: AED 411,380 thousand)* against positive fair value of derivative assets from certain counterparties. Correspondingly, the Group placed cash collateral of AED 7,160,295 thousand *(2013: AED 3,490,049 thousand* against the negative fair value of derivative liabilities.

Derivative related credit risk:

This is limited to the positive fair value of instruments that are favourable to the Group. These transactions are primarily entered with banks and financial institutions.

Derivatives held for trading
The Group uses derivatives, not designated in a qualifying hedge relationship, to manage its exposure to foreign currency, interest rate and credit risks or initiates positions with the expectation of profiting from favourable movement in prices, rates or indices. The instruments used mainly include interest rate and currency swaps and forward contracts. The fair values of those derivatives are shown in the table above.

Derivatives held as fair value hedge
The Group uses derivative financial instruments for hedging purposes as part of its asset and liability management strategy by taking offsetting positions in order to reduce its own exposure to fluctuations in exchange and interest rates. The Group uses interest rate swaps, to hedge against the changes in fair value arising from specifically identified interest bearing assets such as loans and advances, non-trading investments, term borrowings and subordinate notes. The Group uses forward foreign exchange contracts and currency swaps to hedge against specifically identified currency risks.

Derivatives held as cash flow hedge
The Group uses forward contracts to hedge the foreign currency risk arising from its financial instruments. The Group has substantially matched the critical terms of the derivatives to have an effective hedge relationship.

40 Related parties

Identity of related parties
Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions. Related parties comprise major shareholders, directors and key management personnel of the Group. Key management personnel comprise of those executive committee members "EXCO" of the Group who are involved in the strategic planning and decision making of the Group. The terms of these transactions with related parties are approved by the Group's management and are made on terms agreed by the Board of Directors or management.

Parent and ultimate controlling party
Pursuant to the provisions of Law No. 16 of 2006, Abu Dhabi Investment Council (the "Council") was established which holds 69.96% *(2013: 70.18%)* of the issued share capital of the Bank.

During the year, a coupon payment election of AED 187.5 million *(2013: AED 240 million)* was made by the Bank in relation to the AED 4,000 million *(2013: AED 4,000 million)* Government of Abu Dhabi Tier 1 capital notes.

40 Related parties *(continued)*

Compensation of directors and key management personnel

	2014 AED'000	2013 AED'000
Key management compensation		
Short term employment benefits	**79,875**	78,408
Post employment benefits	**2,010**	1,734
Termination benefits	**1,524**	1,492
Share based payments	**8,224**	24,012
Directors' remuneration	**7,917**	7,520

Terms and conditions

Loans and deposits are granted and accepted in various currency denominations and for various time periods. Interest rates earned on such loans and advances extended to related parties during the year have ranged from 0.05% to 10.75% per annum *(2013: 0.05% to 10.75% per annum)* and interest rates incurred on customers' deposits placed by related parties during the year have ranged from nil to 3.80% per annum *(2013: nil to 3.80% per annum)*.

Fees and commissions earned on transactions with related parties during the year have ranged from 0.125% to 2.00% *(2013: 0.20% to 1.00%)*.

Collaterals against lending to related parties range from being nil to fully secure.

	Directors and key management AED'000	Major shareholder AED'000	Others AED'000	2014 Total AED'000	2013 Total AED'000
Balances with related parties at the reporting date are shown below:					
Financial assets	**1,020,730**	**3,292,223**	**68,366,923**	**72,679,876**	80,392,433
Financial liabilities	**298,639**	**2,835,699**	**86,999,239**	**90,133,577**	66,831,350
Contingent liabilities	**368,446**	**3,859,157**	**39,312,828**	**43,540,431**	42,009,286
Transactions carried out during the year with related parties are shown below:					
Interest income	**26,913**	**306,788**	**1,864,208**	**2,197,909**	2,334,605
Interest expense	**210**	**168,134**	**252,706**	**421,050**	380,386
Fee and commission income	**4,310**	**1,753**	**69,344**	**75,407**	72,314

Others comprise Government of Abu Dhabi entities.

No allowances for impairment have been recognised against loans and advances extended to related parties or contingent liabilities issued in favour of related parties during the year *(2013: AED nil)*.

41 Segmental information

The new operating structure adopted mid last year has been developed consisting of three key Business segments across Geographic segments that are driving the business strategy, customer value propositions, products and channel development and customer relationships in addition to supporting the delivery of the Group's financial performance. The structure is simplified and is coherent with its mission of being core to its chosen customers.

Business segments

- ***Global Wholesale***
  Global Wholesale comprises of Global Banking and Global Markets. The business provides corporate, wholesale and investment clients with strategic advice and bespoke innovative solutions catering for their different needs. Global Banking Division offers an array of financial services ranging from relationship lending and financing, syndication, corporate finance, specialised financing, structured finance, leasing, securities services, transactional banking, merchant banking, debt capital market services and special asset advisory. Global Markets Division covers lines of business in relation to institutional and corporate coverage, risk solutions, repos management and investments, commodities, E-commerce and foreign exchange trading.

- ***Global Wealth***
  Global Wealth enfolds high net worth individuals and other clients with sophisticated investment needs. The business furnishes variety of products related to private banking, assets management including local and global funds as well as discretionary portfolios management, custody, brokerage, business development and tailored wealth solutions (such as trust & estate planning, financial planning, segregated mandates, structured lending, real estate and private equity investments).

- ***Global Retail and Commercial***
  The Global Retail and Commercial (''GRC'') targets the retail and commercial customer segments together with their associated operations and administration. The GRC is structured on the basis of the differing needs of the Group's broad customer base covering Mass, affluent, commercial and Islamic Banking.

- ***Head Office***
  The Group provides centralized human resources, information technology, finance, investor relations, risk management, corporate communications, property, legal, internal audit, compliance, procurement, treasury operations and administrative support to all of its businesses units.

Notes to the consolidated financial statements

41 Segmental information *(continued)*

Geographic segments

The Group will be managing its various business segments through a network of branches, subsidiaries and representative offices within the three defined geographic segments which are UAE, Gulf and International.

- ***UAE***
  NBAD local network is currently available in all the seven emirates constituting the United Arab Emirates.

- ***Gulf***
  NBAD presence in the Gulf region is run through its branches in Bahrain, Kuwait and Oman; the segment is extended to include Jordan.

- ***International***
  NBAD international network is carried out via its operational presence in Brazil, China, Egypt, France, Hong Kong, Lebanon, Libya, Malaysia, Sudan, Switzerland, the United Kingdom and the United States of America.

  The accounting policies of the reportable segments are the same as described in notes 2 and 3. Transactions between segments, and between branches within a segment, are conducted at estimated market rates or rates agreed by management. Interest is charged or credited to branches and business segments either at contracted or pool rates, both of which approximate the replacement cost of funds.

  Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit before taxation, as included in the internal management reports that are reviewed by the Group's Chief Executive. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

Notes to the consolidated financial statements

41 Segmental information *(continued)*

	Business Segment					Geographic Segment			
	Global Wholesale AED'000	Global Wealth AED'000	Global Retail and Commercial AED'000	Head Office AED'000	Total AED'000	UAE AED'000	Gulf AED'000	International AED'000	Total AED'000
As at and for the year ended 31 December 2014									
Net Interest income	3,339,902	679,249	2,200,734	798,133	**7,018,018**	5,761,008	209,922	1,047,088	**7,018,018**
Net Non-interest income	1,618,840	383,670	1,143,105	251,084	**3,396,699**	2,794,631	79,527	522,541	**3,396,699**
Operating income	4,958,742	1,062,919	3,343,839	1,049,217	**10,414,717**	8,555,639	289,449	1,569,629	**10,414,717**
General administration and other operating expenses	1,060,461	330,653	1,737,593	567,326	**3,696,033**	3,031,279	133,070	531,684	**3,696,033**
Net impairment charge	431,767	24,399	337,268	74,693	**868,127**	661,214	56,773	150,140	**868,127**
Profit before taxation	3,466,514	707,867	1,268,978	407,198	**5,850,557**	4,863,146	99,606	887,805	**5,850,557**
Overseas taxation	141,196	81,916	48,576	-	**271,688**	(2,600)	13,848	260,440	**271,688**
Net profit for the year	3,325,318	625,951	1,220,402	407,198	**5,578,869**	4,865,746	85,758	627,365	**5,578,869**
Segment total assets	261,296,810	32,970,181	89,274,399	47,425,533	**430,966,923**	306,428,311	9,557,187	80,198,525	**396,184,023**
Inter segment balances					**(54,868,211)**				**(20,085,311)**
Total assets					**376,098,712**				**376,098,712**
Segment total liabilities	255,606,075	31,809,342	85,680,449	19,907,675	**393,003,541**	272,185,956	8,239,621	77,795,064	**358,220,641**
Inter segment balance					**(54,868,211)**				**(20,085,311)**
Total liability					**338,135,330**				**338,135,330**

Notes to the consolidated financial statements

41 Segmental information *(continued)*

	Business Segment					Geographic Segment			
	Global Wholesale AED'000	Global Wealth AED'000	Global Retail and Commercial AED'000	Head Office AED'000	Total AED'000	UAE AED'000	Gulf AED'000	International AED'000	Total AED'000
As at and for the year ended 31 December 2013									
Net Interest income	3,175,844	442,479	2,231,765	659,569	**6,509,657**	5,505,896	168,364	835,397	**6,509,657**
Net Non-interest income	1,370,013	216,369	863,038	438,911	**2,888,331**	2,401,390	55,890	431,051	**2,888,331**
Operating income	4,545,857	658,848	3,094,803	1,098,480	**9,397,988**	7,907,286	224,254	1,266,448	**9,397,988**
General administration and other operating expenses	847,600	266,229	1,536,427	580,132	**3,230,388**	2,634,947	125,883	469,558	**3,230,388**
Net impairment charge	762,655	15,171	397,045	31,035	**1,205,906**	968,734	22,107	215,065	**1,205,906**
Profit before taxation	2,935,602	377,448	1,161,331	487,313	**4,961,694**	4,303,605	76,264	581,825	**4,961,694**
Overseas taxation	107,413	45,877	64,849	-	**218,139**	-	12,538	205,601	**218,139**
Net profit for the year	2,828,189	331,571	1,096,482	487,313	**4,743,555**	4,303,605	63,726	376,224	**4,743,555**
Segment total assets	231,403,160	28,169,942	85,408,361	50,786,523	**395,767,986**	256,508,915	7,961,645	76,499,179	**340,969,739**
Inter segment balances					**(70,706,330)**				**(15,908,083)**
Total assets					**325,061,656**				**325,061,656**
Segment total liabilities	219,034,101	26,957,642	88,724,557	26,380,295	**361,096,595**	225,766,985	6,663,181	73,868,182	**306,298,348**
Inter segment balance					**(70,706,330)**				**(15,908,083)**
Total liability					**290,390,265**				**290,390,265**

Notes to the consolidated financial statements

42 Earnings per share

Earnings per share is calculated by dividing the net profit for the year after deduction of Tier 1 capital notes payment by the weighted average number of ordinary shares in issue during the year as set out below:

	2014	2013
Basic earnings per share:		
Net profit for the year (AED'000)	**5,578,869**	4,743,555
Less: payment on Tier 1capital notes (AED'000)	**(187,495)**	(240,000)
Net profit after payment of Tier 1 capital notes (AED'000)	**5,391,374**	4,503,555
Weighted average number of ordinary shares:		
Ordinary shares as at 1 January of the year ('000)	**4,280,470**	3,874,558
Effect of bonus shares issued during 2014 ('000)	**428,212**	428,212
Effect of bonus shares issued during 2013 ('000)	**-**	388,430
Weighted average number of shares exercised under the share options scheme ('000)	**8,173**	11,462
Weighted average number of ordinary shares ('000)	**4,716,855**	4,702,662
Basic earnings per share (AED)	**1.14**	0.96
Diluted earnings per share:		
Net profit after payment of Tier 1 capital notes (AED'000)	**5,391,374**	4,503,555
Add: interest on convertible notes (AED'000)	**44,547**	26,592
Net profit for the year for calculating diluted earnings per share (AED'000)	**5,435,921**	4,530,147
Weighted average number of ordinary shares ('000)	**4,716,855**	4,702,662
Effect of dilutive potential ordinary shares issued ('000)	**117,655**	75,843
Weighted average number of dilutive shares under share options scheme ('000)	**11,244**	7,940
Weighted average number of ordinary shares in issue for diluted earnings per share ('000)	**4,845,754**	4,786,445
Diluted earnings per share (AED)	**1.12**	0.95

Notes to the consolidated financial statements

43 Fiduciary activities

The Group held assets under management in trust or in a fiduciary capacity for its customers at 31 December 2014 amounting to AED 10,274 million *(2013: AED 7,906 million)*. Furthermore, the Group provides custodian services for some of its customers.

The underlying assets held in a custodial or fiduciary capacity are excluded from these consolidated financial statements of the Group.

44 Special Purpose Entities

The Group has created Special Purpose Entities (SPEs) with defined objectives to carry on fund management and investment activities on behalf of customers. The equity and investments managed by the SPEs are not controlled by the Group and the Group does not obtain benefits from the SPEs' operations, apart from commissions and fee income. In addition, the Group does not provide any guarantees or assume any liabilities of these entities. Consequently, the SPEs' assets, liabilities and results of operations are not included in these consolidated financial statements of the Group. The SPEs are as follows:

Legal name	Activities	Country of incorporation	Holding 2014
NBAD Nominees Limited*	Shares registration	England	-
NBAD Fund Managers (Guernsey) Limited*	Equity / Asset Management	Bailiwick of Guernsey	-
NBAD Global Growth Fund PCC Limited*	Equity / Asset Management	Bailiwick of Guernsey	-
One share PLC	Investment Company	Republic of Ireland	100%
NBAD Private Equity 1	Fund Management	Cayman Island	58%
NBAD (Cayman) Limited	Fund Management	Cayman Island	100%
NBAD Global Multi-Strategy Fund	Fund Management	Cayman Island	100%

** Liquidated during the period*

45 Comparative figures

Certain comparative figures have been reclassified where appropriate to conform to the presentation and accounting policy changes adopted in these consolidated financial statements. The significant account policy changes made during the year are stated below:

During the year, the Group has changed its accounting policy for Zakat and Directors' remuneration. Based on the previous accounting policy, Zakat was charged to the consolidated statement of profit or loss as an expense which as per the new accounting policy will now form part of the consolidated statement of changes in equity as transactions with the owners of the Group. As a result, net profit increased by AED 18.07 million *(2013: AED 17.6 million)*. There is no other impact of this change on these consolidated financial statements.

Conversely, based on the previous accounting policy, directors' remuneration was a part of consolidated statement of other comprehensive income which as per the new accounting policy will form part of the consolidated statement of profit or loss as an expense. There is no impact on the current year net profit *(2013: AED 7.15 million)* as a result of this policy change. However, both the closing and opening retained earnings and other liabilities balance of 2013 have been restated as shown in consolidated statement of changes in equity and consolidated statement of financial position respectively.

بنك أبوظبي الوطني
NBAD



Corporate Governance Report 2014

Introduction

The National Bank of Abu Dhabi and its Group companies (together "NBAD") recognise their responsibility to demonstrate ethical and sustainable business practices in the United Arab Emirates and abroad. A comprehensive corporate governance framework plays a key role in NBAD's culture, business practices and regulatory compliance.

NBAD believes that the benefits arising from a commitment to corporate governance are attributable to both documentary and behavioural elements. Hence, the Board has approved a framework which incorporates a broad range of policies for guidance and control, in addition to approving general principles of behaviour and personal conduct for which all Directors and staff are accountable as individuals and as a collective entity.

The corporate governance culture of NBAD is driven by:

- The responsibility of the Board to direct the Group's affairs and set its objectives;
- The selection of productive strategies and management of risk;
- The appropriate delegation and monitoring of power and accountability to management;
- Satisfying the interests of stakeholders through relevant and material disclosures;
- Ensuring compliance with all regulatory obligations; and
- Engaging with the community.

NBAD Guiding Principles of Corporate Governance

1. Strong Corporate Governance Standards
2. Leadership
3. Accountability
4. Transparency

The scope and sophistication of the corporate governance framework is proportionate to NBAD's nature, size and complexity. The Board also recognises that NBAD is operating in an evolving global environment of diverse expectations, constant regulatory change, and increasing focus on stakeholder engagement and accountability. NBAD continually seeks to develop and improve its corporate governance framework to enable the Board and management to discharge their duties effectively.

Recognition and Achievements

In 2014, NBAD won the "Ethical Boardroom Corporate Governance Awards" for the "Best Corporate Governance – Financial Services in the Middle East.

For the fifth consecutive year, NBAD rose in the S&P Hawkamah ESG Pan Arab Index, reaching second place. The index provides a measure of total organisational performance by linking stock market success to Environmental, Social and Governance indicators. NBAD values this measure highly and has integrated continued positioning on the index into senior management performance measures.

The Corporate Governance Framework

The Board of NBAD has overall responsibility for directing the Group's affairs, to create and preserve value through the Group's operations, and to consider the shareholders and other stakeholder interests. It has documented its roles and responsibilities in a Board Charter and associated policies.

The Board has established a number of Committees, each of which remain an integral part of the Board and whose members are Directors of the Board. The remit of these Committees is to consider topics in more detail, to manage conflicts of interest, to satisfy regulatory rules, and other relevant activities as necessary to ensure the proper governance of the Group.

The Committees were reviewed during 2014, to more closely align with the changing structure of the Group. All Committee Charters have been updated to reflect their duties and accountabilities.

The Board is responsible for making delegations to the management, including the definition, scope, frequency, and nature of powers. Aside from certain authorities and powers reserved by the Board for its own decision-making, the Group Chief Executive is delegated full responsibility for the management, operations and compliance of NBAD. To satisfy its oversight role, the Board has defined a clear control structure which monitors the management's activities, in addition to creating supporting controls and reporting structures both internal and external to the firm. The delegation and control structure is also subject to compliance with, and oversight by, regulators and third parties, including the Central Bank of the UAE, and The Securities & Commodities Authority of the UAE and regulators in jurisdictions where NBAD operates.

The Board has mandated Codes of Conduct which apply to Directors, employees and agents of NBAD. The codes encourage appropriate behaviour; define inappropriate behaviour; and the process and outcome for the identification and reporting of such behaviour.

Consistent with NBAD's approach to employ high standards for transparency and disclosure for the benefit of shareholders and other stakeholders, NBAD publishes a wide range of reports containing financial and non-financial data, in addition to disclosures required for regulatory purposes.

NBAD has established a number of functions committed to engagement and communication with external stakeholders. These include Investor Relations, Sustainability, Company Secretariat and Corporate Communications. In addition, internal transparency and disclosure is considered from operational, ethical and regulatory perspectives, ensuring that staff are aware of NBAD developments, strategies, risks and their personal responsibilities and duties, whilst protecting customer and personal data confidentiality, sensitive information, and commercial secrets.

Shareholder rights and interests include reserved powers in the UAE Commercial Companies Law and NBAD Articles of Association, and are supported by the duty of the Board to act in the interest of the Company. NBAD acknowledges that there are diverse interests within the shareholder base, and that the Board considers such interests when determining the objectives and strategies for the Group.

Regulatory Compliance

NBAD is regulated by the Central Bank of the UAE and is therefore required to comply with the Central Bank regulations, circulars and notices issued from time to time. In addition, NBAD is required to comply with all applicable laws and regulations of the UAE and those of the jurisdictions in which it operates, including, without limitation, the UAE Commercial Companies Law, rules and standards established by the Securities and Commodities Authority (SCA) of the UAE, and the NBAD Articles of Association.

NBAD is committed to complying with good corporate governance practices, and so has regard to the provisions of Ministerial Resolution 518 of 2009 Concerning Governance Rules and Corporate Discipline Standards ("MR518"), although this is not a mandatory requirement for Banks in the UAE.

Senior management has the responsibility to ensure compliance with applicable laws and regulations, and report on such matters to the Board. The Board provides guidance and oversight in terms of risk appetite, significant compliance and risk strategies, and dealing with compliance and risk outcomes. The Board has established the Audit and Risk Management Committees with delegated authorities, as noted below, and has also mandated the other Committees to suitably consider compliance and risk in terms of their Charters.

Board of Directors

Board Composition in 2014

Six of the 11 Directors, including the Chairman of the Board, are nominees of the Abu Dhabi Government, and five Directors were elected by the minority shareholders during the Annual General Meeting in 2012. Board Election is taking place at the Annual General Meeting that is scheduled to be held on the 10th of March 2015.

All Directors are Non-Executive and two of those elected by minority shareholders are considered to be independent according to criteria set out by SCA.

The composition of the Board satisfies the generally acceptable corporate governance practice relating to the separation of Chairman and Group Chief Executive and the majority membership of Non-Executive Directors.

H.E. Nasser Ahmed Alsowaidi - Chairman



- Non-Executive Member since 19/05/2003
- Appointee of the Abu Dhabi Government

NBAD Committee Membership

- Risk Management Committee – Chairman

H.E. Nasser Ahmed Alsowaidi is the Chairman of the Energy Authority, Abu Dhabi Securities Exchange (ADX) and Etihad Rail. H.E. is also a Board Member of International Petroleum Investment Company (IPIC) and Mubadala Development Company (Mubadala) and a Member of Abu Dhabi's Executive Council at the apex of the Abu Dhabi Government Over the last 20 years, H.E. has held senior roles in a number of Government organizations, including Department of Economic Development, the Abu Dhabi Investment Authority (ADIA) and the Abu Dhabi National Oil Company.

H.E. holds a degree in Economics from the California State Polytechnic University, USA.

External appointments

- Chairman – Energy Authority - Abu Dhabi
- Chairman – Abu Dhabi Securities Exchange (ADX)
- Chairman – Etihad Rail
- Board Member – Mubadala Development Company
- Board Member – International Petroleum Investment Comp
- Member – Executive Council of Abu Dhabi Government

H.E. Dr. Al Taher Musabah Al Kindi Al Marar - Deputy Chairman



- Non-Executive Member since 11/08/2013
- Appointee of the Abu Dhabi Government

NBAD Committee Membership

- Risk Management Committee
- Corporate Governance & Nominations Committee
- Human Resources Committee

Dr. Al Taher Musabah Al Kindi Al Marar was appointed to the NBAD Board in 2013. Dr. Al Kindi has more than 25 years of experience serving various companies and organisations in Abu Dhabi and is the founder of the National Investor Company. He started his career as a manager in Abu Dhabi National Oil Company (ADNOC), where he directed several departments, and has been on the Board of several leading companies in the UAE.
Dr. Al Kindi holds a Bachelor's Degree in Economics and Human Resources from California University in the United States of America, a Master's Degree and Doctorate from Newcastle University in the United Kingdom.

External appointments

- Vice Chairman – Abu Dhabi Chamber of Commerce and Industry
- Honouree - Western Region Municipality
- Board Member – Abu Dhabi Exhibition Center

Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan - Director



- Non-Executive Member since 19/03/2006
- Elected by the Minority shareholders

NBAD Committee Membership

- Risk Management Committee
- Human Resources Committee – Chairman
- Strategy & Transformation Committee – Chairman

Sheikh Mohammed Al Nahyan is the Vice Chairman of the Abu Dhabi National Insurance Company (ADNIC) which is a leading and prominent insurance provider in the region. Sheikh Mohammed also holds the role of the Chairman of its Compensation and Remuneration Committee as well as its Investment Committee. In addition, Sheikh Mohammed is also the Chairman of the Abu Dhabi Marine Investment Company and the Vice Chairman of the Abu Dhabi International Marine Sports Club (ADIMSC).
Sheikh Mohammed holds a degree in International Economics and History from the American University of Paris, France.

External appointments

- Chairman – Abu Dhabi Marine Investment Company
- Vice Chairman – Abu Dhabi National Insurance Company
- Vice Chairman – Abu Dhabi Marine Sports Club

Sheikh Ahmed Bin Sultan Al Dhaheri - Director



- Non-Executive Member since 01/05/1994
- Elected by the Minority shareholders

NBAD Committee Membership

- Risk Management Committee

Sheikh Ahmed Al Dhaheri is currently the Chairman of Bin Srour for Engineering. Prior to this, Sheikh Ahmed has been the Undersecretary of the Department of Social Services and Commerce Building (DSSCB) from 1996 until 2009.
Sheikh Ahmed holds a Bachelor Degree in Civil Engineering Science.

External appointments

- Member of Abu Dhabi National Consultative Council
- Board Member – Etisalat
- Deputy Chairman - National Hotels Company
- Deputy Chairman - Abu Dhabi Aviation

H.E. Dr. Mohammed Omar Abdulla - Director



- Non-Executive Member since 19/05/2003
- Appointee of the Abu Dhabi Government

NBAD Committee Membership

- Corporate Governance & Nominations Committee – Chairman
- Human Resources Committee
- Strategy & Transformation Committee

H.E. Dr. Mohammed Omar Abdulla joined the Department of Economic Development (DED) as Undersecretary in March 2007. Before joining DED, H.E. assumed the position of Director General of the Abu Dhabi Chamber of Commerce and Industry from May 1997 to March 2007.
H.E. is a recognized specialist and expert in the field of Law, Banking and Economic Development. In 2013 he was awarded his Doctor of Philosophy from The University of Northampton, UK

External appointments

- Board member - Abu Dhabi National Exhibition Company
- Board Member - Sheikh Khalifa Fund
- Board Member – Abu Dhabi Pension Fund

H.E. Sultan Bin Rashid Al Dhaheri - Director



- Non-Executive Member since 02/05/1973
- Elected by the Minority shareholders

NBAD Committee Membership

- Risk Management Committee

H.E. Sultan Bin Rashid Al Dhaheri is a Member of the Federal National Council. H.E. is one of the most recognised and respected businessman in the UAE and plays an essential role in the economy of the UAE through participation in different industries such as real estate, projects, portfolio management or by owning and acting as a partner in leading commercial and industrial companies.
In addition, H.E. is well recognised for his role with charitable activities both regionally and internationally.

External appointments

- Member – Federal National Council of the UAE
- Board Member – Abu Dhabi National Insurance Company

Mr. Khalifa Sultan Al Suwaidi - Director



- Non-Executive Member since 19/03/2006
- Appointee of the Abu Dhabi Government

NBAD Committee Membership

- Audit Committee
- Corporate Governance & Nominations Committee
- Human Resources Committee
- Strategy & Transformation Committee

Mr. Khalifa Al Suwaidi is an Executive Director of the Direct Investment Department at the Abu Dhabi Investment Council. Prior to this, he was the Deputy Director of the External Funds (Americas) Department at the Abu Dhabi Investment Authority.
Mr. Al Suwaidi holds a degree in Business Administration (Finance) and MSC in Finance from Seattle University, USA and is a Chartered Financial Analyst.

External appointments

- Board Member – Abu Dhabi Securities Exchange
- Board Member – Union National Bank
- Board Member – Abu Dhabi National Insurance Company
- Board Member – Abu Dhabi Investment Company (Invest AD)

Mr. Hashim Fawwaz Al Kudsi - Director



- Non-Executive Member since 11/03/2009
- Appointee of the Abu Dhabi Government

NBAD Committee Membership

- Risk Management Committee

Mr. Hashim Al Kudsi has been an Executive Director, Active Investment Strategies, at the Abu Dhabi Investment Council since April 2007 with a long term investment management background and experience in banking and finance.
He has a degree in Business Administration from American University, USA and is also a Chartered Financial Analyst.

External appointments

- Board Member – Abu Dhabi Investment Company (Invest AD)
- Board Member – Al Wathba Company for Central Services

Mr. Matar Hamdan Al Ameri - Director



- Independent Non-Executive Member since 11/03/2010
- Elected by the Minority shareholders

NBAD Committee Membership

- Audit Committee – Chairman
- Corporate Governance & Nominations Committee

Mr. Matar Al Ameri has more than 25 years of experience in various roles in Abu Dhabi National Oil Company (ADNOC)where he started his career and has been involved in various senior finance roles including a secondment to Arthur Andersen for two and half years and on assignments across UAE, Australia, UK and USA.
Mr. Al Ameri is currently responsible for the oversight of the ADNOC Group Finance where he also represents as Member or Chairman the ADNOC Group on the Finance Board Advisory and Audit Committees of various companies such as ADCO, ADMA, ZADCO, GASCO, ADGAS, NDC, ESNAAD, FERTIL, BOROUGE, DNATCO, NGCSO and ADNOC Distribution.
An advocate of developing and maximizing opportunities for UAE Nationals towards building future leaders and he is also active in the Al Ain Sports Club sitting as a Board Member. Mr. Al Ameri holds a Bachelor's Degree in Accounting and Information System from UAE University.

External appointments

- Board Member – National Drilling Company
- Board Member – Abu Dhabi National Tanker Company
- Board Member - NGSCO
- Board Member – Excel London – Subsidiary of Abu Dhabi National Exhibition Co. (ADNEC)
- Finance Director – Abu Dhabi National Oil Company (ADNOC)

Mr. David Beau - Director



- Independent Non-Executive Member since 11/03/2009
- Elected by the Minority shareholders

NBAD Committee Membership

- Audit Committee
- Human Resources Committee

Mr. David Beau has been working for the Abu Dhabi Government since November 2003. Currently, he is the Chief Investment Officer of the Direct Investment Department at the Abu Dhabi Investment Council. Prior to this, he was a Fund Manager at the Abu Dhabi Investment Authority. Mr. Beau is a CFA Charter holder and holds NASD Series 3, 7 and 24.

Mr. Beau grew up and went to university in Strasbourg, France and started his career in finance in New York as a stockbroker before joining Everest Capital in London. He subsequently moved to Bermuda and Dublin where he was a fund manager for Berco Ltd., a family office with substantial assets under management.

External appointments

- Investment Committee Member - Abu Dhabi National Insurance Company

Mr. Michael H. Tomalin - Director



- Executive Member since 13/3/2012
- Non-Executive Member since 1 July 2013
- Appointee of the Abu Dhabi Government

NBAD Committee Membership

- Audit Committee

Mr. Michael Tomalin was appointed to the National Bank of Abu Dhabi (NBAD) Board of Directors on 13 March 2012. He was Group Chief Executive of NBAD from June 1999 to June 30, 2013. From March 2012 until he retired as Group Chief Executive in June 2013, Mr. Tomalin served as an Executive Director.
A senior international wholesale and private banker with hands on executive experience in UK, Japan, the Middle East, New Zealand, the Caribbean and the Far East, Mr. Tomalin trained as an investment manager at Rothschilds and broadened into general management at Barclays before his nomination to chief executive of Abu Dhabi's largest bank.

Awards

- Awarded O.B.E. (Officer of the Order of the British Empire) 1991
- Honorary doctorate in banking, Institute of Financial Studies, London
- Appointment as a Companion of the Order of St Michael and St George in 2014.

External appointments

- Director of Morant Wright Japan Fund
- Adviser to the Chairman, Abdul Lateef Jameel Group.

Independent Directors

NBAD's Independent Directors are elected by the minority shareholders during the Annual General Meeting. The Independent Directors are obliged to immediately inform the Board of any circumstance which may impact upon their independent status.

The Corporate Governance and Nominations Committee is charged with nominating suitable candidates for the shareholders to consider for election, and monitoring the independence of Directors according to agreed criteria. The SCA has mandated that nomination by a Government does not by itself exclude Directors from being considered Independent in the event that they would otherwise satisfy the conditions. Whilst the Government nominated Directors are not included in the number of Independent Directors stipulated by the Articles, the Board may potentially consider the attributes of Government nominees to determine whether Independent Directors constitute one-third of the total Board.

Director Nomination

All Directors serve a maximum term of three years, and there is no restriction on retiring Directors, if considered appropriate, being re-nominated for election at Annual General Meeting or re-appointed by the Abu Dhabi Government. As the Articles of Association fixes the number of Board Directors, the Board may also appoint new Directors to fill vacancies arising during the year, and any Director so appointed must seek re-election at the next Annual General Meeting.

Terms regarding nomination and election of Directors are stipulated in the NBAD Articles of Association to include certain representation, including a proportional number of Directors to the ownership by the Abu Dhabi Government, and a minimum number of Independent Directors. The nomination of minority elected Directors are subject to a formal nomination process including the public call for nominations, review of appropriate skills and experience, categorisation as Independent if suitable, and inclusion of the nominations received in the Notice of Meeting for voting by shareholders. Election by minority shareholders of the Directors is subject to secret ballot and shareholders may demand a cumulative voting system.

a. Board Responsibility and Practices

In order to conduct its business and discharge its duties to a high standard of corporate governance protocols and policies, the Board has committed to several key documents which define the roles, responsibilities, functions, protocols and other matters relevant to the Board and its Members:

- Corporate Governance Policy & Principles, which establishes the overarching approach of NBAD.
- Charter of the Board of Directors and of each Committee.
- Directors Code of Conduct.
- Other NBAD policies referred to in the above.

During 2014 pursuant to an initiative of the Corporate Governance and Nomination Committee, the Company Secretariat performed a full review of the corporate governance policies, and the revised documents were approved by the Committee and the Board. The same review will be completed in 2015 to ensure continuing alignment with best practice.

Role of the Board and its Members

The Board is responsible for directing the National Bank of Abu Dhabi and its subsidiaries towards the achievement of NBAD's vision. To this end, the Board ensures NBAD's strategic leadership, financial soundness, governance, management supervision and control.

The Board has delegated certain authorities and powers to committees and individuals including the Group Chief Executive. However, the Board reserves the authority to deal with specific matters. These are detailed with the Board Charter which is available on the Bank's website www.nbad.com.

Role of Chairman of the Board

It is the responsibility of the Chairman to lead the Board, ensure that the Board is aware of material information and developments pertaining to NBAD, and encourage all Directors to work in the best interests of NBAD. The role is defined clearly in the Board Charter:

- Facilitates the work of the Board and approves the annual rolling agenda for the Board as well as the agenda for each meeting;
- Ensures that new Directors are properly inducted and introduced to the business of NBAD;
- Ensures that Directors receive in good time all information which is necessary for the proper performance of their duties, this information to be accurate, relevant and timely;
- Ensures that there is sufficient time for consultation and decision-making by the Board;
- Liaises regularly with the Group Chief Executive to ensure adequate contact between the Board and Senior Management;
- Oversees the orderly and efficient conduct of the General Meeting;
- Ensures effective communication with shareholders and other stakeholders and communicates any concern to the Board.

The Deputy-Chairman shall replace the Chairman in his absence or whenever the Chairman is unable to perform his duties. The role of the Committee Chairmen is substantially similar to that of the Chairman of the Board.

Role of Directors

Directors are expected to exercise due care and skill in the performance of their duties, and in particular to:

- Provide constructive challenge;
- Contribute strategic thought, and utilise their skills and experience;
- Ensure business performance conforms to strategic direction and NBAD values and ethics;
- Ensuring satisfactory dialogue with shareholders and stakeholders.

Independent Directors have a particular obligation to:

- Conduct themselves and participate in Board matters with an independent mind;
- Give priority to NBAD upon any conflict of interest;
- Have particular regard to the protection of the interests of the minority shareholders.

Role of Group Chief Executive and Senior Management

The Group Chief Executive has delegated responsibility from, and a job description which is clearly defined by, the Board of Directors to ensure that the Company is operated in accordance with its mandate. Senior Management must ensure that the Board and Committees receive sufficient complete information on a timely basis.

b. Board Conduct

The Board has approved, and each Director commits, to particular codes and standards of conduct, which are to be considered in terms of their 'spirit' as well as the strict wording. The Directors Codes of Conduct and Board Charter notes the personal duties that Directors owe to the Company, and standards attached to:

1. Conflicts of Interest
2. Provision of Banking Facilities
3. Employment of Family
4. Gifts, Benefits & Business Courtesy
5. Bribery and Corruption
6. Confidentiality
7. Insider Trading
8. Fair, Accurate and Timely Reporting and Disclosures
9. Ethical Behaviour and Whistleblowing
10. Directors and Officers Insurance

c. Board meetings and attendance

The Board commits to meet at least six times per year, with additional meetings as required to conduct special business. During 2014 the Board met 7 times. The Board may make unanimous written resolutions by circulation. This was made twice in 2014 merely for timing purposes, as the matter could not be held over to the next scheduled meeting. The Board voted unanimously in favour of the resolutions and there were no breaches.

Quorum for meetings is set at a simple majority of Directors, and voting during meetings is a simple majority of attendees.

The Chairman may make a casting vote. Directors must disclose potential conflicts of interest as soon as they are aware of the situation, and recuse themselves from further discussion and voting on the matter.

Attendance during 2014 was as follows:

2014 Board Meeting Attendance	21/01/2014	28/1/2014	28/04/2014	13/05/2014	22/07/2014	28/10/2014	15/12/2014
H. E. Nasser Ahmed Alsowaidi - *Chairman*	-[?]	✓	✓	✓	✓	-	✓
H.E. Dr. Al Taher Musabah Al Kindi Al Marar- *Deputy Chairman*	✓	✓	✓	✓	✓	✓	✓
Sheikh Mohammed Bin Saif Bin Mohammed Al Nahyan	✓	✓	-	-	✓	✓	✓
Sheikh Ahmed Mohammed Sultan Al Dhaheri	✓	✓	-	-	✓	✓	-
H.E. Dr. Mohammed Omar Abdulla	✓	✓	✓	✓	✓	-	✓
H.E. Sultan Bin Rashed Al Dhaheri	-	-	✓	-	✓	✓	✓
Mr. Khalifa Sultan Al Suwaidi	✓	✓	✓	✓	✓	✓	✓
Mr. Hashim Fawwaz Al Kudsi	✓	✓	-	✓	-	✓	✓
Mr. David Beau	✓	✓	✓	✓	✓	✓	✓
Mr. Matar Hamdan Al Ameri	✓	✓	✓	-	✓	✓	✓
Mr. Michael Tomalin	-	✓	✓	-	✓	✓	✓

d. Delegation and Accountability

The Board retains specific powers in accordance with the NBAD Articles of Association and the Matters Reserved for the Board included in the Board Charter, and delegates other responsibilities to its Board Committees. Unless otherwise stated, all responsibility for day to day operation of the business is delegated to the Group Chief Executive and senior management.

Certain specific powers which are subject to special controls are appropriately recorded in the Board Resolutions and Minutes. The Board monitors further delegations and devolution of power through NBAD via management reporting frameworks, independent reviews and verifications by audit, compliance and legal departments and external advisors. NBAD continues to review its delegations of authority pursuant to the evolution of risk strategies, prudential requirements, changes in the business environment and operational effectiveness.

e. Induction, Development, Evaluation and Succession

The Board, Committees and management require an appropriate balance of skills, experience, independence and knowledge having regard to the nature and complexity of the business, its commercial environment, and the interests of stakeholders. The procedures for nomination of Non-Executive Directors for shareholder election and the selection of Directors for Subsidiaries are reviewed by the Corporate Governance and Nomination Committee, which takes these factors into account. New Non-Executive Directors receive formal induction, and all Directors commit to continually refresh their skills and knowledge.

To refresh their skills and knowledge, Hawkamah, made a presentation to the Board Members on Corporate Governance Best Practices in November 2014.

Board evaluation

Performance evaluation of the NBAD Board and its committees takes place on an annual basis, forming a key component of the Bank's Corporate Governance Framework.

In furtherance of the Board's commitment to benchmark and enhance its processes, in January 2014, a comprehensive assessment for the 2013 year was designed and conducted by an external advisor, Capital Advantage Consultants, the Directors were requested to complete a questionnaire covering a range of performance measures and indicators on matters such as Board roles and responsibilities, performance with respect to corporate objectives and risks, Board and Committee structure and skills, meetings and preparation, decision-making, Committee scope and performance, and the interaction between the Board and Senior Management.

The results from the evaluation were considered by the Corporate Governance and Nominations Committee, and presented to the Board together with recommendations for future development and potential topics and options for expanded evaluation in following years. The Board Secretary developed a plan to begin the implementation of the recommendations which has already started in 2014.

f. Remuneration of the Board and Executives

It is a policy of NBAD to offer a competitive compensation framework to attract, retain and motivate qualified and talented Directors and staff, whilst having regard to appropriate risk, accountability and the interests of shareholders to build value.

Remuneration for the Non-Executive Directors is based on the time commitment, skills, and responsibility borne by the Directors whilst undertaking their duties for the Board and Committees. The total remuneration allocation for the Non-Executive Directors is approved at the Annual General Meeting based on the recommendation of the Corporate Governance and Nominations Committee and the Board, and subject to regulatory limits. The compensation is allocated to Directors based on their membership and additional roles performed in the Board, including Chairmanship of the Board or Committee and attendance at Committee meetings.

Title	Annual Fee (AED)	Committee attendance (AED/Meeting)
Chairman	1,000,000.00	5,000.00
Deputy Chairman	750,000.00	4,000.00
Director	600,000.00	4,000.00

The Group Chief Executive and Senior Management's remuneration is structured to link reward with corporate and individual performance. As noted below, the Corporate Governance and Nominations Committee is tasked with determining appropriate remuneration frameworks for the Board while the Human Resources Committee reviews Senior Management performance and determines appropriate remuneration frameworks for the Group, taking account of incentivisation measures, risk, seniority, responsibility and industry benchmarks.

In accordance with the NBAD Articles of Association, Executive Directors and Senior Management may participate in the Staff Share Option Scheme, under which allocations of rights are monitored and approved by the Board of Directors.

Board Committees

a. Committee Mandates

The Board has established five Committees in order to focus on key initiatives and controls of NBAD and to assist in the efficiency and effectiveness of the Board. Each Committee Charter is approved by the Board and outlines authority, responsibilities, meeting frequency and practices, reporting, and self-evaluation. The Committees are required to meet as frequently as deemed necessary to fulfil their objectives and to allow sufficient time for discussions, presentations, deliberation, and decisions or recommendations to be clearly formulated.

The composition and Chairmanship of each Committee is approved by the Board after recommendation by the Corporate Governance and Nomination Committee, and reviewed on an annual basis. Quorum is a simple majority, and voting is a simple majority of those in attendance with the Committee Chairman having a casting vote in the case of tied voting. The Committee Chairman shall escalate to the Chairman of the Board and Company Secretary any significant matters arising from the Committee.

Only Directors may be appointed to Committees, however each Committee shall have the authority to obtain advice and assistance from outside legal, accounting and other advisors as it deems necessary to carry out its duties. The Committee may also request management and any other internal or external advisors to attend meetings and/or conduct any investigations, reviews or studies of any matter within the scope of the Committee's duties and responsibilities. In connection with any such investigation, the Committee shall have unrestricted access to NBAD's personnel and documents.

b. Committee Scope and Composition

This table summarises membership as at 31 December 2014. 'C' denotes the current Chairman of the Committees.

	Risk Management	Audit	Corporate Governance & Nominations	Human Resources	Strategy & Transformation
H.E. Nasser Ahmed Alsowaidi - Chairman	C				
H.E. Dr. Al Taher Musabah Al Kindi Al Marar - Deputy Chairman					
Sh. Mohammed Bin Saif Bin Mohd Al Nahyan				C	C
Sh. Ahmed Mohammed Sultan Al Dhaheri					
H.E. Mohammed Omar Abdullah			C		
H.E. Sultan Bin Rashed Al Dhaheri					
Mr. Khalifa Sultan Al Suwaidi					
Mr. Hashim Fawwaz Al Kudsi					
Mr. Matar Hamdan Al Ameri - Independent		C			
Mr. David Beau - Independent					
Mr. Michael H. Tomalin					

Audit Committee - Members: Minimum 3, including 1 Independent

Oversight and review of:

- Integrity of financial statements, accounting policies, adjustments & financial reporting.
- Adequacy of internal control, IT security & risk management systems.
- Compliance with laws & regulations, whistleblowing & fraud.
- Investigations into integrity, conflicts of interest & adherence to standards of conduct of Senior Management.
- Examination reports from regulatory authorities.
- Internal audit function, plans, independence, resourcing and effectiveness.
- Appointment, remuneration & removal of Group Chief Audit Officer.
- External audit function, including recommendations to the Board & Shareholders on appointment, remuneration, non-audit fees, independence, audit plans, audit recommendations & removal.
- Compliance with Codes of Conduct.

Risk Management Committee - Membership: Minimum 5

The Risk Management Committee plays a key role in evaluating the risk appetite and policies of the Group. This is an extremely active Committee with delegated decision-making authority on material credit approvals, in addition to the strategic risk issues. Certain matters may be decided, and later ratified by the Board, in case of extreme urgency when the Committee cannot meet.

Oversight and review of:

- Risk appetite & tolerance taking into account the Group's strategies & operating environment.
- Group's risk methodology, KPIs and tolerances, including stress testing.
- Trading, investment, liquidity, funding & interest rate risk, including transfer pricing.
- Risks of strategic acquisitions or disposals.
- Adequacy & allocation of capital.
- Management proposals, material risk transactions & seeking Central Bank approval if required.
- Alignment of remuneration to risk.
- Risk disclosures & reports.
- Compliance with regulatory requirements.
- Overall risk management framework, including adequacy of company procedures, material findings of regulators, independence & resourcing of the risk function, & assurance from internal audit on risk controls.
- Chief Risk Officer Role.

Corporate Governance & Nominations Committee Membership: Minimum 3, including 1 Independent

Oversight and review of:

- Corporate Governance Charters, policies, practices, & organizational structure.
- Size and composition of the Board & its Committees relative to the responsibilities of each.
- Director independence.
- Allocation of responsibilities to the Committees, Directors & Company Secretary.
- Board membership & management of subsidiaries.
- Board remuneration.
- Outside directorships, director lending, share trading and conflicts of interest of Directors & Senior Management.
- Compliance with Charters & policies.

Human Resources Committee - Membership: Minimum 3, including 1 Independent

Oversight and review of:

- Strategic human resources.
- Remuneration & performance related pay schemes, policies & framework for NBAD.
- Appointment, promotion, remuneration, retirement & dismissal of Senior Management.

- Development & implementation of Emiratisation strategies & targets.
- Terms of reference and reporting of the Management Remuneration Committee.
- Training strategy for NBAD.
- High level succession planning.
- Review of Senior Management performance against KPIs.
- Headcount budgets.
- HR related expenditure above delegated authorities.

Strategy and Transformation Committee - Membership: Minimum 3

Oversight and review of:

- Review and evaluate major unbudgeted expenditure, external developments and factors.
- Issues related to senior staff.
- Structure, size and composition of the STC, determined by Chairman.
- Assisting the NBAD Board in fulfilling its strategic plan.
- Assist the Board in relation to the implementation of the Bank's strategy and related transformation: implementation plan, expansion, acquisition strategy and potential acquisitions.

Risk and Control Framework

The Board of Directors has approved and implemented an extensive internal control system, which includes:

- Control environment and codes of conduct for the Board and staff.
- Risk management.
- Control functions.
- Management Information systems
- Monitoring, security and prevention systems.

The significant functions which form the control system include Internal Audit, Risk, Legal and Compliance, and Company Secretariat. Control functions within NBAD functionally report to the Board or designated Committees, and administratively report to the Group Chief Executive.

Control functions are comprised of skilled and experienced staff with internationally recognized qualifications, and are provided with unfettered and independent powers to investigate the affairs and internal controls of the Corporation. Where necessary, the controls function may also be outsourced to reputable third parties who are qualified to provide specialist expertise.

In particular, the evolution of risk perspectives and policies in the international and local regulatory environment will continue to mandate or influence NBAD's approach to, and appetite for, risk. As risk is an integral part of both the operational and control framework, the Board will continue to monitor the appropriate delegation of risk, the continued nature of its risk appetite and strategies, and the authorities provided to the Risk Committee.

The External Auditors are paid on a fixed annual fee basis. The auditors' fee is recommended by the Board of Directors for shareholders' approval in the Annual General Meeting. Non-audit work or audit work not within the scope of the annual review will be reviewed by the Audit Committee on a case by case basis, although procurement

policies may exclude tendering by auditors to avoid any perceived or potential conflict of interest. The external audit fees are disclosed in the NBAD Annual Audited Accounts.

As required by the Central Bank of the UAE and as desirable for international banks of NBAD's stature, NBAD has implemented a comprehensive set of policies for the prevention and detection of fraud, corruption, bribery, money laundering and other criminal and civil offences. These are monitored by a number of control functions, which ultimately report to the Committees and Board on matters of significant breach, local and international updates, monitoring programs, trends and risks. Whilst NBAD has instituted a sophisticated set of systems and controls to segregate duties, establish limits and approval processes, and monitor and audit employee and stakeholder interactions, it is recognised that systems are not failsafe. Hence, NBAD has an over-arching Whistleblowing Policy which incorporates independent reporting channels, confidentiality and sensitivity, investigation powers, escalations, reporting, re-integration of findings into the operational and control framework, and regulatory co-operation.

Transactions of Directors and Employees in Securities

By virtue of NBAD's status as a listed company on the Abu Dhabi Stock Exchange, Directors and staff are subject to certain trading restrictions on NBAD securities, including Close Periods. All Directors and a wide class of Senior Management are classified by NBAD as "Insiders" with respect to trading rules set by the SCA, which imposes internal and public disclosure requirements. The 'Insider List' is reviewed and updated quarterly.

Also, due to the nature of NBAD's business, Directors and staff may come into possession of material non-market information which may impact the prices of listed securities (including equities, bonds, ETFs, etc.) on many global exchanges. The legal prohibition of Insider Trading is incorporated within the NBAD's Codes of Conduct, which specifies that trading with inside knowledge on any security (including but not limited to NBAD securities) is strictly forbidden and may expose the individual and NBAD to serious negative outcomes. All Directors and staff are made aware of their legal obligations, the consequences for non-compliance, and the need for timely, relevant disclosure in relation to reporting on these issues.

Other Policies

Dividends

Provided that no adverse conditions exist regarding domestic and/or global economic circumstances, and after making transfers to the mandatory reserves and ensuring that the Bank's capital adequacy ratio remains at the targeted level, and subject to approval by shareholders, NBAD's policy is to recommend for the approval of shareholders in the Annual General Meeting a cash dividend which is covered at least three times by the distributable profit.

Corporate Sustainability

NBAD has a proud history of being a UAE leader in disclosure through the publication of annual Corporate Responsibility and Sustainability Reports, employing the Global Reporting Initiative's (GRI's) international reporting standard and the supporting Financial Sector Supplement.

All historical reports and current reports are available on the NBAD website in the Governance section, demonstrating NBAD's commitment to full disclosure, of both current achievements and historical context, and continuous improvement.

Share Registry Services

NBAD is a significant provider of share registry services to other public joint stock companies in the UAE and is recognised by the market for providing integrated and support services for the conduct of shareholder actions. The Securities and Funds Administration Services Department is subject to an extremely high standard of duty and care with regard to issues such as regulatory compliance, confidentiality, audit and regulatory co-operation.

Investor Transparency and Disclosure

A dedicated Investor Relations site is included on the Corporation's website (www.nbad.ae), where investors are provided with current information relating to the Corporation such as:

- Annual reports
- Financial reports
- Corporate Governance documentation
- Credit profiles
- Analyst coverage
- Press releases
- Securities information
- Presentations
- Feedback facility

Risk Management & Basel II-Pillar III Disclosures

National Bank of Abu Dhabi (NBAD) and its subsidiaries, collectively known as the "Group", assesses its capital adequacy based on the Capital Adequacy Standards of the Central Bank of UAE (CBUAE) published in November 2009 for Standardized Approach. The document is adopted from BIS Revised Framework – 'International Convergence of Capital Measurement and Capital Standards'. The framework is structured around three Pillars: Pillar I - Minimum Capital Requirements; Pillar II – the Supervisory Review Process and the Internal Capital Adequacy Assessment Process (ICAAP); and Pillar III - Market Discipline.

Pillar I deals with the computation of Regulatory Capital ratio. It involves criteria based assessment of risk for various asset classes and calculation of Risk Weighted Assets (RWAs) for credit, market and operational risk to derive the required regulatory capital. All UAE banks are subject to a minimum capital adequacy ratio of 12%, which is significantly higher than the global required minimum of 8%. Capital adequacy for the Group as at 31st December 2014 was 16.39% - substantially higher than the regulatory minimum.

The Group calculates RWA as per CBUAE guidelines for credit, market and operational risks as presented below:

Method of calculating RWA	
Credit risk	The Group uses the Standardised approach to calculate RWA for credit risk. It uses risk weights to convert exposures into RWA as per CBUAE guidelines for Basel II which can range between 0% for certain sovereign exposures to 150% for high risk exposures. The risk assessment is driven by ratings published by External Credit Assessment Institutions approved by CBUAE.
Market risk	The Group uses the Standardised Approach of measurement as per CBUAE guidelines to calculate RWA for specific risk. In calculating RWA for market risk, the Group distinguishes between general and specific risk and between holdings in the trading book and holdings outside the trading book.
Operational risk	The Group uses the Basic Indicator Approach as per CBUAE guidelines for Basel II to calculate RWA for operational risk. The calculation is based on a single indicator: income. RWA are calculated as 15% percentage of the average income in the past three years.

Future steps: The Group plans to migrate to the advanced approaches of Basel II accord and is working internally on strengthening its policies, processes and tools. The Group has voluntarily applied to CBUAE with a request to initiate the accreditation process which would allow the Group to progress towards the Foundation – Internal Rating Based (F-IRB) approach; this would allow the Group to use its internal credit risk rating models to calculate and report credit risk regulatory capital.

Pillar II deals with (a) Supervisory Review of Bank's risk management framework and taking a view on whether additional capital needs to be held for risks not covered under Pillar I and (b) Internal Capital Adequacy Assessment Process (ICAAP), which is the Bank's own framework to assess its solvency (Capital and Liquidity) requirements over the next business cycle.

The Group will be submitting its ICAAP document for **2014** to CBUAE in **April 2015**. The ICAAP document:

- Defines risk appetite of the Bank in terms of KPIs (financial and operational)
- Introspects into business strategies under various adverse scenarios (e.g. Severe Recession, Liquidity Crisis, etc.) to estimate additional solvency requirements (Stress Test) to operate within the Group's risk appetite.
- Quantifies additional capital requirements for quantifiable (e.g. Concentration risk, Interest Rate Risk in the Banking Book) and qualitative risks (e.g. Reputational Risk) over and above the Pillar I requirements.

As per current internal estimates, the Group's current level of capital adequacy is deemed more than sufficient to deal with all these additional risks and under appropriate stressed scenarios.

Pillar III relates to market discipline and requires the Bank to disclose detailed qualitative and quantitative information of its risk management and capital adequacy policies and processes.

Pillar III Qualitative & Quantitative Disclosures

Disclosures under Pillar III follow the guidelines and formats of the Capital Adequacy Standards (Standardized Approach) of CBUAE. All subsidiaries are consolidated (also consistent with IFRS guidelines) and significant investments are deducted as per the Basel II guidelines.

Table 1: Subsidiaries and Significant Investments

As of 31 December 2014	Country of Incorporation	% Ownership	Description2	Accounting Treatment
Subsidiaries:				
Abu Dhabi Americas N.V. (formerly Abu Dhabi International Bank N.V.)	Curacao	100%	Banking	Fully Consolidated
NBAD Securities LLC	United Arab Emirates	100%	Shares & Securities	Fully Consolidated
Abu Dhabi National Leasing LLC	United Arab Emirates	100%	Leasing	Fully Consolidated
Abu Dhabi National Properties PrJC	United Arab Emirates	100%	Property Management	Fully Consolidated
NBAD Trust Company (Jersey) Limited	Channel Islands	100%	Fund Management	Fully Consolidated
NBAD Private Bank (Suisse) SA	Switzerland	100%	Private Banking	Fully Consolidated
Abu Dhabi National Islamic Finance Pvt.JSC	United Arab Emirates	100%	Islamic Finance	Fully Consolidated

As of 31 December 2014	Country of Incorporation	% Ownership	Description2	Accounting Treatment
Ample China Holdings Limited	Hong Kong	100%	Leasing	Fully Consolidated
Abu Dhabi Brokerage Egypt	Egypt	96%	Brokerage	Fully Consolidated
National Bank of Abu Dhabi Malaysia Berhad	Malaysia	100%	Banking	Fully Consolidated
NBAD Investment Management (DIFC) Limited (under liquidation)	United Arab Emirates	100%	Fund Management	Fully Consolidated
NBAD Employee Share Options Limited	United Arab Emirates	100%	Shares & Securites	Fully Consolidated
SAS 10 Magellan	France	100%	Leasing	Fully Consolidated
National Bank of Abu Dhabi Representações Ltda	Brazil	100%	Representative office	Fully Consolidated
NBAD Financial Markets (Cayman) Limited	Cayman Islands	100%	Banking	Fully Consolidated
Significant Investments:				
NBAD Special Purpose Entities				
NBAD Nominees Limited	England	0%	Shares Registration	Not Included
NBAD Fund Managers (Guernsey) Limited	Bailiwick of Guernsey	0%	Equity/Asset Management	Not Included
NBAD Global Growth Fund PCC Limited	Bailiwick of Guernsey	0%	Equity/Asset Management	Not Included
One Share PLC	Republic of Ireland	100%	Investment Company	Not Included
NBAD Private Equity 1	Cayman Islands	58%	Fund Management	Not Included
NBAD (Cayman) Limited	Cayman Islands	100%	Fund Management	Not Included
NBAD Global Multi-Strategy Fund	Cayman Islands	100%	Fund Management	Not Included
Others				
National Takaful PJSC	Abu Dhabi, United Arab Emirates	16%	Insurance	Deducted from Capital
Misr Iran Office & Touristic Buildings Co	Egypt	20%	Leasing	Deducted from Capital

The consolidated eligible capital for capital adequacy computation as at December 2014 as per the said guidelines is presented below:

Table 2: Consolidated Capital Structure as at 31st December 2014

(AED 000)

As at 31st December 2014	Amount
Tier 1 Capital	
1. Paid up share capital/common stock	4,968,645
2. Reserves	
a. Statutory reserve	2,368,056
b. Special reserve	2,368,056
c. General reserve	17,321,881
d. Retained Earnings	6,611,812
e. Others	-
3. Minority interests in the equity of subsidiaries	-
4. Innovative capital instruments	4,000,000
5. Other capital instruments	-
6. Surplus capital from insurance companies	-
Sub-total	37,638,450
Less: Deductions for regulatory calculation	
Less: Deductions from Tier 1 capital	(17,647)
i. Tier 1 Capital - Subtotal	37,620,803
ii. Tier 2 capital	3,415,843
iii. Other deductions from capital	(17,647)
iv. Total eligible capital after deductions	41,018,999

As at 31st December 2014, the capital adequacy ratio of the Group is:

Table 3: Capital Adequacy as at 31st December 2014

(AED 000)

Quantitative Disclosures	Capital Charge	Capital Ratio (%)
Capital Requirements		
1. Credit Risk		
a. Standardized Approach	25,159,833	
b. Foundation IRB	-	
c. Advanced IRB	-	
2. Market Risk		
a. Standardized Approach	2,833,354	
b. Models Approach	-	
3. Operational Risk		
a. Basic Indicator Approach	2,032,408	
b. Standardized Approach	-	
c. Advanced Measurement Approach	-	
Total Capital requirements	30,025,595	
Capital Ratio		
a. Total for Top consolidated Group		16.39%
b. Tier 1 ratio only for top consolidated Group		15.04%
c. Total for each significant bank subsidiary		-

Basel III

During 2011, Basel Committee on Banking Supervision (BCBS) officially announced the final set of regulatory capital rules (Basel III), which are being phased in across the world. The final detailed guidelines from CBUAE concerning the same are still awaited; however the Group is generally in a strong position to comply with the expected Basel III rules (including phasing-in period).

First, banks will be required to increase the minimum Common Equity Ratio from existing 2% to 4.5% and in addition, they will also be required to hold a capital conservation buffer of 2.5% leading to new regulatory minimum at 7%. Second, the banks are progressively required to increase the minimum Tier I Capital to 6% by the end of 2018. Third, BCBS has suggested a minimum Leverage Ratio of 3% which may be changed before the full implementation. In this context, the respective ratios for the Group as at 31st December 2014 are as below.

Table 4: Basel III Ratio as at 31st December 2014

As at 31st December 2014	Ratio
Common Equity ratio	13.44%
Tier I ratio	15.04%
Leverage ratio	8.10%

Group Risk Governance Structure

Realignment of Group strategy

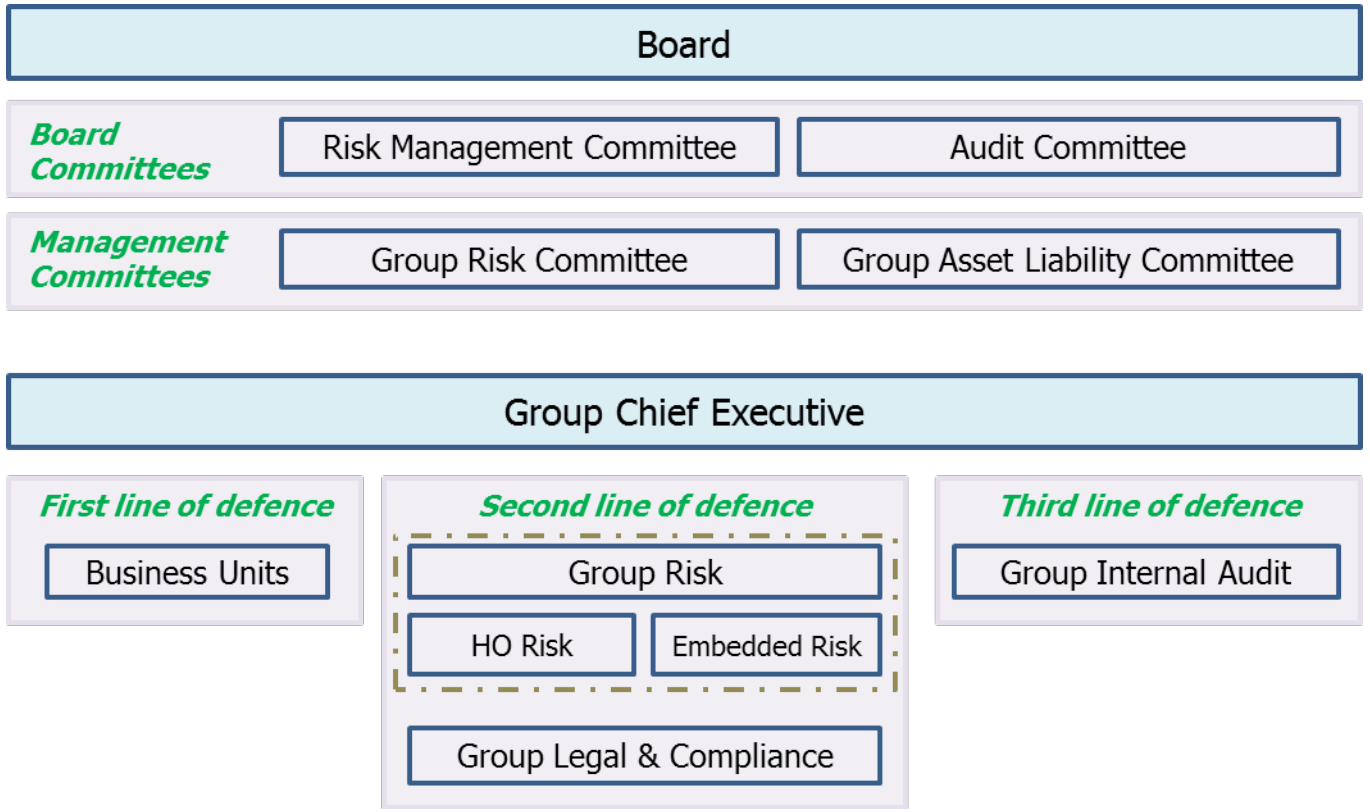
In 2013 the Group went through significant changes in its overall strategy, the way business was being conducted, risk and control strategies and increasing customer focus. One of the key changes was introduction of coverage/distribution model whereby product development and ownership was segregated from relationship management. This structure intends to allow coverage team to solely focus on relationship management and offer single point of contact to offer variety of products. The products teams would ensure to enhance and develop existing and new products as per customer expectations and in line with Group risk appetite.

Structure and Organization of the Risk Management Function vis-à-vis Group strategy

The Board of Directors (the "Board") has overall responsibility for the establishment and oversight of the Group's risk management framework and they are assisted by two board committees (Risk Management Committee and Audit Committee), and two management committees [Group Risk Committee ("GRC") and (Group Assets and Liabilities Committee ("G-ALCO")].

The Group manages risk using three lines of defence comprising business units, control units and Internal Audit. Business units, as the first line of defence, identify and manage risk in their day-to-day activities by ensuring that activities are within the Group's risk appetite and are in compliance with all relevant internal policies and processes. Risk Group (comprising head office risk and risk functions embedded in business divisions) and Legal & Compliance division, as the second line of defence, establish risk controls comprising policies, frameworks, processes and analytical tools while also providing oversight and

independent challenge to the first line. Internal Audit, as the third line of defence, provides assurance to management and the Board of the effectiveness of risk management practices employed by the first two lines of defence.



Board Committee

Risk Management Committee (RMC), comprises members from the Board, and is responsible for recommending and setting the Group's risk strategy and policy guidelines, and subsequently monitoring adherence. RMC takes credit decisions above management's discretionary powers, defines risk limits within which the Group's management operates and also monitors the overall risks for the Group.

Management Committees

The management committees are responsible for implementing the risk management framework. The major functions of the two management committees are given below:

Management level Risk Committees	
Group Risk Committee (GRC)	The primary function of the committee is to review and recommend to the Board risk appetite & risk limits and approve risk policies & analytical models to ensure effective management of credit, market, operational risk, business continuity and reputational risk.
Group Assets and Liabilities Committee (G-ALCO)	The primary function of the committee is to review and be accountable to the Board for the balance sheet structure & quality and the funding plan. The committee manages liquidity & funding gap risk including approval of the contingency funding plan and funds transfer pricing as well as the relevant policies and risk limits.

A separate Risk Group, reporting to the RMC and Group Chief Executive (G-CE), assists in carrying out the oversight responsibility of the Board. There are two main independent functions of the Risk Group, which are:

Functions within Risk Group	
Head Office Risk	**Credit Adjudication** ▪ Credit underwriting within defined authorities and recommending credits to higher approval levels ▪ Management of problem credits ▪ Oversight of embedded risk units within business units **Group Integrated Risk Management** ▪ Responsible for defining risk appetite, policies, frameworks and the risk architecture of the Group as well as the overall management of portfolio credit risk, market risk, operational risk, and business continuity management ▪ Risk Measurement Methodologies, i.e. models and associated assumptions, stress testing framework and risk regulatory compliance ▪ Responsible for oversight of Group Treasury with regards to liquidity, funding, and interest rate risk management in the banking group
Embedded Risk Units	▪ Approval of individual credits within defined authorities and recommending credits to higher approval levels ▪ Monitoring attainment of RAROC hurdle rates and profitability targets as part of their review and approval process ▪ Monitoring Market risk and implementation of ORM and BCM tools

Risk Appetite

The Group has established a risk appetite framework, which defines the amount and the type of risk acceptable to the Bank while pursuing its strategic/business objectives. The Bank's current risk appetite framework primarily reflects its capacity to take risk, defined in terms of Risk Appetite Parameters (RAPs) which are circumscribed by self-imposed constraints and tolerance levels around them. These constraints are limits and triggers to avoid adverse outcomes which would be out of line with internal and external expectations, and may lead to unexpected losses of a scale that would be detrimental to the stability of the relevant business units or of the Group as a whole.

The Group's risk appetite statement is governed by seven broad metrics:

- Credit rating
- Capital adequacy
- Risk adjusted return and earnings volatility
- Credit risk, which includes asset quality and provision coverage
- Liquidity risk
- Market risk
- Operational risk

These metrics are converted to measurable risk assessment parameters and tolerance levels at Group level as well as business unit level. The Group level statement outlines the key risk parameters, their current levels and medium term targets. At business unit level, along with risk parameters, the risk appetite provides specific guidance in terms of 'what is encouraged' and 'what is discouraged' as well as overarching key risk messages.

In addition to the risk appetite, Bank has also formulated comprehensive asset underwriting standard for its wholesale and retail business. The underwriting standard, within the premise of Group credit policy, lays down following principles –

- Borrower and transaction level lending principles
- Prohibited and restricted credits
- Covenants and key ratios
- Concentration limits
- Dos and Don'ts

Credit Risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and causes the Group to incur a financial loss. It arises principally from the Group's loans and advances, due from banks and financial institutions including reverse repo, off balance sheet contingent liabilities and non-trading debt investments and certain other assets.

Management of Credit Risk

The Group's Credit Risk Management framework includes policies & procedures to monitor and manage these risks. The Group Risk Management function ensures centralized oversight for credit risk management including:

- Establishment of authorization structure and limits for the approval and renewal of credit facilities;
- Reviewing and assessing credit exposures in accordance with authorization structure and limits, prior to facilities being committed to customers. Review and renewal of facilities are subject to the same process;
- Diversification of lending and investment activities;
- Limiting concentrations of exposure to industry sectors, geographic locations and counterparties; and
- Reviewing compliance, on an ongoing basis, with agreed exposure limits relating to counterparties and monitoring of the concentration by industries and countries in accordance with risk management strategy and market trends.

The Group uses an internal risk rating system to assess the credit quality of borrowers and counterparties. Each counterparty is assigned a rating, including classified accounts that are either Watch list or non-performing. The risk rating system has 11 grades, further segregated into 24 notches. Grades 1-7 are performing, Grade 8 is Watch-list and Grades 9 - 11 are non–performing, each with a rating description.

- For Corporate, SMEs, and High Net-Worth Individuals these are mapped to an Internal Rating Based (IRB) expert system.
- Each grade in the rating system is linked to a Probability of Default (PD).

The internal risk rating system plays a significant role in efficient use of credit risk measurement and management including:

- Risk based pricing and determination of Risk Adjusted Return on Capital (RAROC) ;
- Risk based monitoring (Frequency and intensity of monitoring);
- Determining risk based delegation of powers at various sanction authority levels;
- Estimation of collective provisioning; and
- Internal estimation of capital as per Basel II F-IRB.

The rating system is subject to a regular validation process. During 2011, the rating models were validated by an external third party and a roadmap created for building new models for specific portfolio segments and to perform validation and enhancement, as required, of existing models. New models for specific portfolios of the Group were introduced in 2012 and 2013, while selected existing models were enhanced; key credit models were validated in 2014 based on historical information collected and certain recommended enhancements will be incorporated during 2015.

The Group currently uses rating models based on statistical analysis but supplements them with expert judgment. As data availability (both qualitative and quantitative) improves, the rating system would tend more towards statistical models, but would retain expert judgment to ensure that models are suitable for the Bank's portfolio and in line with the Bank's policies and culture.

Retail lending business is governed by product programs vetted by the Risk Group and employs credit scoring technique to process small scale, large volume credit decisions. The scores are combined with management judgment to ensure effective ongoing process of approval, review and enhancement. The majority of the retail credit origination process has been automated which significantly reduces operational risk arising out of the credit approval and monitoring process.

The Group is currently working on the project to implement retail scorecards for program lending products and upgrade overall retail lending processes. The scorecards would be used to automate retail credit underwriting based on pre-approved criteria which are expected to result in significant reduction in loss rates and turnaround time. In parallel to enhancing retail credit analysis and approval process, the Group has planned to implement program lending for its commercial portfolio as well, which is under the design phase. These projects are expected to complete by 2015.

Sovereign and bank exposures are governed by the ratings from external credit rating agencies.

The Group has implemented Global Limits & Collateral Management System (GLCMS), as a limit and exposure aggregator over all transaction systems in U.A.E. Using GLCMS, counterparty and group exposure can be aggregated and reported across portfolios in U.A.E. The system enables various Credit Administration Units to monitor security document compliance and follow up on collateral valuations. The Group is working to enhance GLCMS with the capability to monitor limit utilization in real time including online limit authorization. The project is expected to be completed in phases with first phase to be completed in 2015.

The project is also underway to replace existing credit application workflow system with a new system, which will provide enhanced integration with other surrounding systems such as credit analysis and related rating systems to increase process efficiency and improved limit monitoring.

The Group completed the implementation of an enterprise data warehouse for UAE and 8 international locations with a business intelligence layer on top. The implementation provides capability for on demand reporting as well as download of consolidated global data for analysis. The Group is in the process of extending the data warehouse project in 2015 to include remaining source systems.

In 2013, the Group also completed interfacing all UAE risk systems (Rating, Credit Approval and Limit Aggregator) with single customer creation capability. It is now possible to define a common unique identifier across these systems. In 2014, the Group created a web based application so that this application can also be used by non UAE branches so that all customers have a unique identifier across the Group.

Credit Risk Monitoring

- Monitoring of risk quality (Obligor level): The Group has a process of periodic review of credit based on the internal rating grades. More frequent reviews are made for the weaker credits and less frequent reviews for the superior credits. The Group has a process of defining and reporting all the potential problem accounts. Consumer banking portfolio[1] is monitored based on delinquency buckets, which are calculated based on the number of instalments due from the customer.

- Monitoring of risk quality (Portfolio Level): The Group monitors the existing portfolio based on the economic sectors, industry, geography, ratings and business lines. These portfolio reports are prepared periodically and the senior management is informed on the same.

- Monitoring of past dues on principal and interest: All the past dues on principal and interest on loans and advances portfolio of the Group are reported periodically to the senior management. Measures to realize such past dues are initiated with stringent follow up thereafter.

- Monitoring of excess over limits: Group has a policy for monitoring of all excesses over limits. The monitoring reports are submitted to the senior management and processes are initiated to realize and regularize such excesses.

- Monitoring of potential loss accounts (Watch-list): This category comprises accounts where either contractual principal or interest are past due or when the accounts show weakness in the borrower's financial position and creditworthiness and requires more than normal attention. Such weakness is specifically monitored to ensure that the quality of the asset does not further deteriorate.

- Traded credit risk: The Group has internally designed and implemented the methodology to estimate the potential future exposure (PFE) associated with FX, interest rate and commodity OTC derivatives. The PFEs are used by the Group to set the risk limit as well as to monitor counterparty exposure on daily basis.

- Collateral management: The Group has adopted a rigorous system of controls, reviews and approvals to ensure effective collateral management. This includes minimum loan to value (LTV) requirement for each facility, specific collateral requirement for lending against shares and real estate portfolio, margin calls for treasury products and ensuring legal enforceability of contracts including perfection of security interests.

[1] Consumer banking portfolio consists of facilities categorized under Programmed Lending or Discretionary Lending, which pertain to credit exposures to individuals either for personal consumption, purchase of vehicle or real estate property or availing credit card facility.

Concentration Risk

Credit concentration risk refers to the level of exposure to any individual or related group of customers, specific industry or sector, country or geographical locations. The first level of monitoring against concentration risk is periodic review of country and industry exposures by the Risk Management Committee and Group Risk Committee to ensure these are within Group's risk appetite and in accordance with market trends. Credit exposures to individual customers or customer groups is controlled through a risk based Discretionary Powers (DP) matrix with borrower's Risk Rating and collateral forming the inputs to the DP matrix.

Single Name Concentration:

Single name concentration is monitored on an individual basis with the top exposures being reported to the GRC on a quarterly basis. The Group abides by single obligor limits set by CBUAE requiring the banks to seek CBUAE approval for any planned exposure to a single counterparty or groups of connected counterparties exceeding the limit applicable to that counterparty.

Sector Concentration:

The Group has consciously adopted measures to diversify the exposures to various sectors. Real Estate exposure remains within the limits prescribed by CBUAE, with sufficient collateral coverage. The Group ensures portfolio diversification and employs stringent lending guidelines in conjunction with close portfolio monitoring for vulnerable portfolios prone to systematic downturns.

Geographic Concentration:

Although the Group's operations are mainly concentrated within the UAE, it has presence in North America, South America, Europe, Middle East, Africa and Asia. This exposes the Group to legal, transfer and sovereign risk. Exposures to various geographies are monitored periodically.

Credit Risk Policy

Credit risk policies are an integral part of the Group's risk management framework. Policies govern all activities related to credit appraisal and underwriting such as product risk review and approval, stress testing, risk limits, risk approval authorities and model risk management. Business segments specific policies and procedures are established to manage the risks that are unique to their operations.

The Group rolled out its revised Group Credit Policy Manual (GCPM) in 2014. GCPM governs the credit risk activities of the Bank and is realigned to the Group's new business model and strategy. The key policies are as below:

- Group level credit policies are the high-level or overarching policies for all the entities within the Group, domestic as well as international. These policies cover the general credit policies and requirements such as risk appetite, credit portfolio planning, risk budgeting, credit risk governance, fundamental credit principles and credit criteria, credit risk rating and pricing, credit risk mitigation and remedial management.

- Business segment credit policies articulate the policies specific to individual business segments within the Bank that originate or take on credit exposures. These policies govern the stages of credit approval life cycle, viz. origination, assessment and measurement, pricing, approval, commitment, high-level principles of credit administration and credit operations, monitoring, reporting and remedial management.

- Policies governing (a) credit products and (b) specialized lending categories details product specific policies for all permissible generic credit products that may be offered by one or more business segments as well as traded credit products. Programmed lending in consumer banking which is covered by individual products programmes serve as an extension of these policies. Specialized lending categories cover areas such as syndicated credit, project financing, contractor financing, real estate financing, share financing and asset backed lending. These policies also cover the process and authority for introduction and approval of new credit products.

- Portfolio management policies articulate the policies on credit risk adjudication review, credit risk quality assurance and portfolio management including credit risk limits and stress testing.

To facilitate Bank-wide usage, GCPM is rolled out on a web-based platform with advanced search functionalities to enhance ease of use.

Geographic, Sectoral, Tenor classification of Gross Credit Exposures

The geographic distribution of Gross Credit Exposures (funded and non-funded) as at 31st December 2014 is as follows:

Table 5: Gross Credit Exposures by Geography as at 31st December 2014

(AED 000)

Geographic Distribution	Loans	Non-trading Investments	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
United Arab Emirates	117,589,832	17,160,578	134,750,410	12,352,566	121,180,320	73,046,254	206,579,140	341,329,550
GCC excluding UAE	11,756,932	7,854,815	19,611,747	2,746,259	70,141,012	5,653,387	78,540,658	98,152,405
Arab League (excluding GCC)	5,721,863	4,650,168	10,372,031	215,954	3,429,500	2,044,737	5,690,191	16,062,222
Asia	17,123,565	8,509,619	25,633,184	2,124,435	4,600,120	5,529,002	12,253,557	37,886,741
Africa	884,697	-	884,697	15,827	273,900	355,032	644,759	1,529,456
North America	4,515,124	14,456,268	18,971,392	2,353,289	177,726,423	11,075,508	191,155,220	210,126,612
South America	6,258,684	19,468	6,278,152	-	388,526	4,296,299	4,684,825	10,962,977
Caribbean	204,836	36,786	241,622	-	156,537	107	156,644	398,266
Europe	37,545,083	14,482,857	52,027,940	1,845,477	346,832,903	21,805,492	370,483,872	422,511,812
Australia	-	322,563	322,563	446,257	2,778,757	152,276	3,377,290	3,699,853
Others	471,709	-	471,709	-	-	2,413	2,413	474,122
Total	**202,072,325**	**67,493,122**	**269,565,447**	**22,100,064**	**727,507,998**	**123,960,506**	**873,568,569**	**1,143,134,016**

Classification of Gross Credit Exposures (funded and non-funded) by Industry Segments as at 31st December 2014 is as follows:

Table 6: Gross Credit Exposure by Industry Segment as at 31st December 2014

(AED 000)

Industry Segment	Loans	Non-trading Investments	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Agriculture, Fishing & related activities	177,690	-	177,690	243,878	15,669	228,313	487,860	665,550
Crude Oil, Gas, Mining & Quarrying	7,907,237	7,935,587	15,842,824	2,868,455	1,295,860	3,009,675	7,173,990	23,016,815
Manufacturing	14,008,892	229,161	14,238,053	3,691,127	4,474,851	26,958,217	35,124,195	49,362,248
Electricity & Water	8,551,278	3,134,990	11,686,268	826,871	4,146,803	1,150,071	6,123,745	17,810,013
Construction	10,185,285	102,129	10,287,414	1,854,454	2,421,216	12,095,376	16,371,046	26,658,460
Real Estate	35,291,197	-	35,291,197	4,740,885	10,127,056	72,465	14,940,406	50,231,603
Trade	9,078,453	-	9,078,453	1,322,361	3,991,524	4,372,623	9,686,508	18,764,961
Transport, Storage & Communication	15,677,618	2,512,211	18,189,829	1,176,451	7,314,324	2,466,885	10,957,660	29,147,489
Financial Institutions	38,563,303	27,300,943	65,864,246	2,533,873	685,320,517	25,298,853	713,153,243	779,017,489
Services	6,875,163	22,884	6,898,047	2,336,002	6,082,542	3,133,461	11,552,005	18,450,051
Government	23,435,214	26,255,217	49,690,431	17,200	1,372,369	43,673,158	45,062,727	94,753,158
Retail / Consumer Banking	32,224,683	-	32,224,683	319,048	685,133	316,290	1,320,471	33,545,154
All Others	96,312	-	96,312	169,459	260,134	1,185,120	1,614,713	1,711,025
Total	**202,072,325**	**67,493,122**	**269,565,447**	**22,100,064**	**727,507,998**	**123,960,506**	**873,568,569**	**1,143,134,016**

Gross Credit Exposure (funded and non-funded) breakup by currency as at 31st December 2014 is as follows:

Table 7: Gross Credit Exposures by Type as at 31 December 2014

(AED 000)

Currency	Loans	Non-trading Investments	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Foreign Currency	118,428,042	66,905,884	185,333,926	14,354,628	623,252,175	86,736,189	724,342,992	909,676,918
AED	83,644,283	587,238	84,231,521	7,745,436	104,255,823	37,224,318	149,225,577	233,457,098
Total	**202,072,325**	**67,493,122**	**269,565,447**	**22,100,064**	**727,507,998**	**123,960,507**	**873,568,569**	**1,143,134,016**

Tenor classification by Contractual Maturity of the Gross Credit Gross Credit Exposures (funded and non-funded) as at 31st December 2014 is as follows:

Table 8: Gross Credit Exposures by Residual Contractual Maturity as at 31st December 2014

(AED 000)

Residual Contractual Maturity	Loans	Non-trading Investments	Total Funded	Commitments	OTC Derivatives	Other Off-Balance Sheet	Total Non-Funded	Total
Less than 3 months	52,337,147	2,893,227	55,230,374	2,380,350	149,941,066	25,152,204	177,473,620	232,703,994
3 months to one year	18,756,573	4,871,748	23,628,321	4,719,403	109,510,540	15,301,891	129,531,834	153,160,155
One to five years	72,005,909	25,433,913	97,439,822	10,363,983	334,090,606	59,710,820	404,165,409	501,605,231
Over five years	58,972,696	34,294,234	93,266,930	4,636,328	133,965,786	23,795,592	162,397,706	255,664,636
Total	**202,072,325**	**67,493,122**	**269,565,447**	**22,100,064**	**727,507,998**	**123,960,507**	**873,568,569**	**1,143,134,016**

Classification and Provisioning Policy

Past Due but not Impaired:

Past due but not impaired are accounts where either contractual principal or interest are past due and when the accounts show weakness in the borrower's financial position and creditworthiness, and requires more than normal attention. Such weakness is specifically monitored to ensure that the quality of the asset does not further deteriorate. On this class of asset the Group believes that specific impairment is not appropriate at the current condition.

Loans with renegotiated terms:

Loans with renegotiated terms are loans that have been restructured due to deterioration in the borrower's financial position and where the Group has made material concessions that it would not otherwise consider. Once a loan is restructured, it remains in this category for a minimum period of twelve months, in order to establish satisfactory track record of performance under the restructuring agreement. The Bank determines the twelve-month period to commence from the date of signing of the agreement for restructuring.

Allowances for impairment:

The Group establishes an allowance for impairment losses on assets carried at amortised cost that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loss allowance.

Collective Provisioning:

The Group establishes an allowance for impairment losses on assets carried at amortised cost that represents its estimate of incurred losses in its loan portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loss allowance. In assessing the collective loss allowance, the Group uses the higher of 1.5% of credit risk weighted assets computed as per the central bank guidelines or incurred but not identified model, established for groups of homogeneous assets with similar risk characteristics that are indicative of the debtor's ability to pay amounts due according to the contractual terms on the basis of a credit risk evaluation or grading process that considers asset type, industry, geographical location, collateral type, past due status and other relevant factors. Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of historical loss experience for assets with credit risk characteristics similar to those in the group. The Group holds collective provisions of AED 3.545 billion as at 31st December 2014, which is 1.72% of net CRWA.

Individually Impaired accounts:

Individually assessed loans are required to be classified as impaired as soon as there is objective evidence that an impairment loss has been incurred. Objective evidence of impairment includes observable data such as when contractual payment of principal or interest is overdue or there is known difficulties in the cash flows of counterparties, credit rating downgrades or original terms of the contractual repayment are unable to be met.

The classification and impairment policy currently implemented by the Group classifies delinquent borrowers as Substandard, Doubtful or Loss in line with the guidelines laid down in CBUAE circular 28/2010. To ensure strict compliance, the Group had implemented an automated solution in UAE and most of the international locations. It classifies delinquent accounts with exposure below a set threshold. The classification into Substandard, Doubtful or Loss is carried out daily for these accounts based on delinquency ('days past due'). For accounts with exposure greater than the threshold value, classification as Substandard, Doubtful or Loss is based on a thorough assessment of the account by means of a detailed credit risk assessment.

Accounts once classified, are automatically provided by system based on specified criteria stated below except to certain cases where management believes that higher provision is required based on available information and recovery prospects. Moreover, for international locations where systems lack automatic classification and provisioning functionality, accounts are classified and provided manually as stated above. Classified portfolio is centrally monitored by Group Risk Management Division to ensure strict compliance to CBUAE regulations. For international units, the Group assesses both home and host regulations and applies the stricter one.

The following classification and provisioning criteria is adopted by the group in line with CBUAE guidelines:

Wholesale and Commercial Portfolio

Classification	Grade	Criteria	Provision
Normal	1 through 7	normal banking risk for repayment as agreed	Collective provisioning
Watch-list	8	some weakness in financial condition	Collective provisioning
Sub-standard loans	9	Arrears greater than 90 days and shows some loss due to adverse factors that hinder repayment	Specific provision - 25% of the exposure amount net of discounted value of collateral held
Doubtful loans	10	Based on available information, full recovery seems doubtful, leading to a loss on portion of these loans	Specific provision - 50% of the exposure amount net of discounted value of collateral held
Loss loans	11	Probability of no recovery after all available courses of action are exhausted	Specific provision - 100% of the exposure amount net of discounted value of collateral held

Retail portfolio

Past Due Bucket	Classification	Provisioning*
0-90 days	Normal	Collective provision
90-120 days	Sub-standard loans	Specific provision - 25%
121-180	Doubtful loans	Specific provision - 50%
181+	Loss loans	Specific provision - 100%

Write-off Policy:

The Group currently has a policy to write-off historical accounts based on the time elapsed since the account was fully provided for as per the provisioning and classification policy of the Group taking into account the possibility of recovery through legal measures. Exposures are written off using one or more of the criteria defined in the Group Credit Policy Manual. However, write-off may be deferred in specific cases based on the discretion of the Management. Write-off of interest and/or principal requires approval from authorities, as defined in the credit policy of the Group, depending on the amount including any exposure previously provided for.

Geographic and sectoral distribution of overdue loans and Provisions thereon as at 31st December 2014 is in tables below:

Table 9: Geographic Distribution of Overdue Loans and Provisions as at 31st December 2014

(AED 000)

Geographic Distribution	Overdue			Provisions		
	Past Due but not impaired	Individually impaired	Total	Int. in Suspense	Specific	General
United Arab Emirates	1,583,062	6,415,254	7,998,316	1,006,289	2,679,769	1,874,299
GCC excluding UAE	40,019	558,083	598,102	72,843	266,363	241,711
Arab League (excluding GCC)	20,522	265,646	286,168	44,362	149,011	270,817
Asia		-	-	-	-	280,506
Africa		-	-	-	-	15,923
North America	360	359	719	42	74	167,662
South America		-	-	-	-	38,178
Caribbean		-	-	-	-	28
Europe		46,013	46,013	1,353	27,553	640,785
Australia		-	-	-	-	15,249
Others		-	-	-	-	156
Total	**1,643,964**	**7,285,355**	**8,929,318**	**1,124,889**	**3,122,770**	**3,545,314**

Table 10: Sectoral Distribution of Overdue Loans and Provisions as at 31st December 2014

(AED 000)

Industry Segment	Overdue			Provisions		
	Past Due but not impaired	Individually impaired	Total	Int. in Suspense	Specific	General
Agriculture, Fishing & related activities	13,105	11	13,116	11	4	3,256
Crude Oil, Gas, Mining & Quarrying	9,129	32,039	41,168	2,578	31,397	173,524
Manufacturing	119,974	132,376	252,350	27,621	92,949	421,921
Electricity & Water	17,666	-	17,666	-	-	77,159
Construction	27,222	239,612	266,834	47,810	125,763	256,515
Real Estate	371,466	2,667,103	3,038,569	389,977	959,007	589,356
Trade	60,052	411,212	471,264	29,980	241,142	208,166
Transport, Storage & Communication	3,987	203,863	207,850	25,449	143,697	269,462
Financial Institutions	3	566,188	566,191	33,065	206,545	861,046
Services	222,385	206,305	428,690	31,445	117,244	111,867
Government	10,575	16,801	27,376	19	16,740	192,590
Loans to Individuals for Business & Consumption Purpose	787,027	2,808,425	3,595,452	536,752	1,187,603	378,888
All Others	1,372	1,420	2,792	183	680	1,564
Total	1,643,963	7,285,355	8,929,318	1,124,890	3,122,771	3,545,314

Movement in the provision for impaired loans for the period January-December 2014 is shown below:

Table 11: Reconciliation of Changes in Provision for Loans for the Period Jan-Dec 2014

(AED 000)

	Description	Amount
	Opening Balance of Provisions for Loans	**6,327,026**
Add:	Charge for the year	
	• Specific provision	1,152,484
	• General provision	574,433
Add:	Write-off of impaired loans to income statement	-
Less:	Recovery of loan loss provision	(473,901)
Less:	Recovery of loans previously written-off	-
Less:	Write-back of provision for loans	(411,158)
	Adjustments of loan loss provision	(500,800)
	Closing Balance of Provisions for Loans	**6,668,084**

Adoption of F-IRB Approach

The Group has voluntarily decided to prepare for migration to the F-IRB approach for credit risk. As part of the preparations, the Group has completed independent third party validation of its rating systems and presented the results to CBUAE. As part of the preparations for migration to F-IRB, the Group had established a roadmap in 2011 to achieve best-in-class practices by improving its rating models and associated systems. Key steps in the roadmap are:

- Improvement in rating models: In addition to the existing models, portfolio segments were identified for which specific models have been built. Further, validation exercises are conducted for rating models periodically and incremental refinements made to optimize model performance whenever necessary.

- Increase in IRB coverage: The fraction of the portfolio covered by IRB models is being increased (which is already in excess of the minimum required by CBUAE) by ensuring all borrowers covered by existing models are rated and models developed for specific uncovered portfolio segments. The Group has rolled out a number of new rating models which cover specific portfolio segments.

- Capital computation: The automation of the capital calculation process would be initiated after completion of ongoing projects to streamline the data integrity, storage, controls and reporting capabilities of the Group's IT infrastructure.

The Group continues to make parallel Basel-II submissions to CBUAE under the F-IRB framework on quarterly basis based on the internal ratings. The distribution of performing loans and advances as at December 2014 is as below.

Table 12: Rating Distribution of Performing Loan Portfolio as at 31st December 2014

Rating grade	% of total performing loans and advances
1 – 4	64.9%
5 – 6	12.3%
7	12.6%
8	0.8%
Retail programme lending	9.4%

The Group conducts full reviews and renewals of all performing credits at least annually, however, regular monitoring frequency is linked with its risk rating. Obligors with lower risk profile are monitored at lower frequency by business units, unless otherwise required, to evaluate the potential changes in credit worthiness and related impact on risk rating based on latest available financial and other relevant information. More frequent and focused monitoring for lower rated borrowers ensures early identification of potential impairments, if any. The monitoring frequency is as below:

Risk Rating	Frequency
Risk Rating between 1+ to 4	12 months or lower
Risk Rating between 4- to 6	6 months or lower
Risk Rating between 6- to 8	3 months or lower
Classified Accounts	To be monitored by Special Asset Management (SAM) teams for Wholesale & Commercial and Collection and Recovery unit for retail

Use of ratings by External Credit Assessment Institutions (ECAIs):

For banks and sovereign exposures, the risk ratings given by leading External Credit Assessment Institutions – Moody's, Standard and Poor's and Fitch are considered. For PSEs and corporate exposures, issuer ratings are used, if available. Wherever multiple ratings are available, mapping provided in the guidelines by the supervisor is used for arriving at the required risk weighting under Standardized Approach.

Basel II Reporting of Credit Risk Exposures

Credit risk exposures reported under Basel II differ in a number of respects from those reported in the consolidated financial statements.

- As per CBUAE Basel II framework, off balance sheet exposures are converted, by applying a credit conversion factor (CCF), into direct credit exposure equivalents.
- Under the comprehensive Credit Risk Mitigation approach under standardised approach of Basel II capital adequacy framework (adopted by Bank), eligible collateral is applied to reduce exposure.

Credit Risk Mitigation (CRM) & Collateral Valuation

While extending credit facilities, the Group primarily relies on the borrower's ability to pay. Security is the means by which, in the last resort, the Group should be able to obtain the repayment of outstanding amount owing to it by a customer. It may take many forms, but any item of security should possess the following attributes:

- It should be of a determinable value;
- It should have a stable value;
- It should be of a value in excess of the amount it is intended to be securing so as to provide a margin of safety;
- It should be readily realizable, i.e. an asset such as a property, should be capable of being readily sold;
- It should be enforceable, preferably without needing recourse to the Courts or the involvement of other legal processes; and
- It should have an effective maturity (or validity) equal to or longer than that of the credit facility.

Security with such attributes could be described as being of good quality. Acceptable forms of collateral are defined within the Group risk framework and conservative valuation parameters applied and frequently reviewed to reflect any changes in market conditions. Security structures and legal covenants are also subject to regular review.

Broad types of collateral taken by the Bank are cash, land and buildings (real estate), mortgages, debentures, stocks and shares, merchandise, goods etc.

Gross Credit Risk Exposures subject to Credit Risk Mitigation (CRM)

Under the Standardised Approach of Basel II, banks may choose between two options when calculating credit risk mitigation capital relief. These are the Simple Approach which substitutes the risk weight of the collateral from that of the exposure and the Comprehensive Approach where the exposure is adjusted by the actual value ascribed to the collateral, the latter being more robust as a methodology.

The Group uses the comprehensive method, where eligible collateral is in form of financial securities (e.g. cash, high quality debt securities, equities in main index). In addition, on-balance sheet netting, guarantees by specific protection providers and credit derivatives are also allowed as Credit Risk Mitigants (CRM). The Group follows the Basel II guidelines specifying minimum operating and documentation criteria that need to be satisfied for eligibility as Basel II collateral.

Following table below provides on and off-Balance Sheet exposures for the Group along with the effect of Credit Risk Mitigation in each Basel II asset class.

Table 13: Loan Portfolio as per Standardized Approach as at 31st December 2014

(AED 000)

Asset Class	On Balance Sheet	Off Balance Sheet	Credit Risk Mitigation (CRM)			Risk Weighted Assets
	Gross Outstanding	Net Exposure After Credit Conversion Factors (CCF)	Exposure Before CRM	CRM	After CRM	
Claims on sovereigns	103,811,033	10,206,321	114,017,354	-	114,017,354	10,060,108
Claims on non-commercial public centre enterprises	12,053,623	461,737	12,515,361	-	12,515,361	-
Claims on multi-lateral development banks	237,073	5,816	242,889	-	242,889	-
Claims on banks	61,770,102	18,381,204	80,151,306	15,922,761	64,228,545	31,093,845
Claims on securities firms	9,714,104	2,717,242	12,431,346	4,047,557	8,383,789	4,543,665
Claims on corporates & Government Related Enterprises (GRE)	100,753,074	41,253,842	**141,757,984**	12,029,636	129,728,348	112,026,621
Claims included in the regulatory retail portfolio	20,730,554	-	20,694,242	2,662,147	18,032,095	14,137,523
Claims secured by residential property	3,909,217	-	3,909,217	11,221	3,897,996	2,065,580
Claims secured by commercial real estate	26,440,424	-	26,440,424	131,403	26,309,021	26,309,021
Past due loans	7,285,355	-	3,209,276	607,099	2,602,177	2,806,007
Other assets	22,402,776	1,818	22,404,593	-	22,404,593	5,311,566
Claims on securitized assets	5,596,319	-	5,596,319	-	5,596,319	1,311,336
Total Claims	**374,703,654**	**73,027,980**	**443,370,311**	**35,411,824**	**407,958,487**	**209,665,272**

The following table shows the rated[2] and unrated exposures in each Basel II asset class for the Group:

Table 14: Loan Portfolio as per Standardised Approach as at 31st December 2014

(AED 000)

Asset Class	Rated	Unrated	Total
Claims on Sovereigns	113,521,010	496,344	114,017,354
Claims on non-commercial Public Sector Entities	12,434,110	81,250	12,515,360
Claims on Multilateral development banks	237,073	5,816	242,889
Claims on Banks	78,421,556	1,729,750	80,151,306
Claims on securities firms	11,381,699	1,049,647	12,431,346
Claims on Corporate and Government related Enterprises	33,942,549	108,064,367	142,006,916
Claims included in Regulatory retail portfolio	-	20,730,554	20,730,554
Claims secured by residential property	-	3,909,217	3,909,217
Claims secured by Commercial Real Estate	-	26,440,424	26,440,424
Past due Loans	26,345	7,259,010	7,285,355
Other assets	14,779,749	7,624,845	22,404,594
Securitization exposure	5,586,556	9,763	5,596,319
Total	**270,330,647**	**177,400,987**	**447,731,634**

[2] Externally rated by a rating agency (e.g. S&P, Moody's or Fitch)

The following table shows the effect by Basel II CRM type on Exposures:

Table 15: Credit Risk Mitigation: Disclosures for Standardized Approach as at 31st December 2014

(AED 000)

	Description	Exposures	Risk Weighted Assets
	Gross Exposure prior to Credit Risk Mitigation	443,370,311	233,732,026
Less:	Exposure covered by on-balance sheet netting	6,829,853	4,073,574
Less:	Exposures covered by Eligible Financial Collateral	22,020,415	13,484,049
Less:	Exposures covered by Guarantees	6,561,556	6,509,131
Less:	Exposures covered by Credit Derivatives	-	-
	Net Exposures after Credit Risk Mitigation	**407,958,487**	**209,665,272**

Market Risk

Market risk for the Group is the risk that the Group's income and/or value of its financial instruments will fluctuate adversely because of changes in market factors such as interest rates, foreign exchange rates, and equity, commodity and option prices.

The Group segregates market risk into two sources: trading and non-trading portfolios. Trading portfolios are held by the Wholesale – Global Markets Division, while the non-traded market risk resides primarily in the investment portfolios, interest rate gaps in the Banking Book and the Group overall FX positions. The Group market risk management objectives are to:

- Measure and control market risk by robust analytical framework, limit setting, reporting and oversight; and
- Facilitate business growth within a controlled and transparent risk management framework.

Exposure to Market Risk – Trading Portfolios

Market risk for the Group's trading portfolio arises primarily from client facilitation in wholesale markets. The principal analytical tool used to measure and control market risk exposure within the Group's trading portfolios is Value at Risk ("VaR"). The VaR of a trading portfolio is the estimated loss that will arise on the portfolio over a specified period of time (holding period) from an adverse market movement with a specified probability (confidence level). The VaR model uses historical simulation based on a 99% confidence level and assumes a 1-day holding period. Using market data from the previous two years, and observed relationships between different markets and prices, the model generates a wide range of plausible future scenarios for market price movements.

The Group uses VaR limits for foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to trading portfolios.

Although VaR is an important tool, it is further supplemented with other position and sensitivity limit structures, including limits to address potential concentration risks within each trading portfolio. Moreover the trading activity at Group and desk level is subject to Management Action Triggers ("MAT") that are limits on maximum losses that trigger actions from management.

Equity and Commodities risks are not currently captured in the VaR model. These are under regular monitoring by the Risk Group through a set of market risk sensitivities, notional limits, and management action triggers.. Nonetheless, these are subject to regular monitoring by the Risk Group.

The Trading VaR at 31 December 2014 was as follows:

	As at	Average	Minimum	Maximum
	AED'000	AED'000	AED'000	AED'000
VaR – Trading Book	8,315	12,115	5,332	25,123
Foreign exchange	1,809	2,388	247	7,174
Interest Rate	7,560	9,749	4,656	18,856
Credit	4,191	5,346	1,430	14,719
Diversification benefit	5,244	5,368	1,000	15,626

Exposure to Market Risk – Non Trading Portfolios

Exposure to market risk in the non-trading portfolio arises primarily from the investment portfolios, interest rate gaps in the Banking Book, and the Group's overall FX positions.

- Investment Risk: The principal analytical tool used to measure and control the investment risk exposure within the Group is Value at Risk ("VaR"). The VaR model is the same as the one used for the trading portfolios. The Group uses VaR limits for controlling the overall investment risk, including foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to different Investment portfolios.

- Interest rate risk: The Group Banking Book operations generate non traded market risk primarily through interest rate risk arising from the sensitivity of the value of financial instruments and the net interest margin to changes in interest rates. The Group manages this risk principally through monitoring interest rate gaps and by matching the re-pricing profile of assets and liabilities.

- Foreign exchange risk: Foreign exchange risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates and arises from financial instruments denominated in a foreign currency. The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits.

The Non Trading VaR at 31 December 2014 was as follows:

	As at	Average	Minimum	Maximum
	AED'000	AED'000	AED'000	AED'000
VaR – Non Trading Book	81,943	89,736	72,958	117,435
Foreign exchange	1,455	2,812	1,058	6,953
Interest Rate	27,779	18,540	10,896	41,853
Credit	82,012	93,639	79,998	118,004
Diversification benefit	29,303	25,256	18,995	49,375

Market Risk Appetite

The RMC reviews and approves the market risk appetite recommended by the GRC. GRC, under delegated authority from RMC, sets limit framework within the context of the approved market risk appetite. The limits are segregated between the trading book and non-trading book positions as follows:

- VaR, sensitivity and Management Action Triggers (MAT) limits have been set at both aggregate and portfolio level
- Net Interest Income and gap analysis is used for management of Interest Rate Risk in the Banking Book
- Foreign Exchange risk in the trading book is controlled by VaR and position limits, defined separately for pegged and floating currencies

- Equity and options price risks are controlled by MAT and sensitivity limits defined around trading positions
- Commodity risk, limited to exchange traded products, is managed via limits on term, option sensitivities, gross and net open positions

The risk positions against the limits and all major limit breaches are regularly reported to Senior Management and GRC.

Organization and Structure

The "Group Market Risk Policy Framework" approved by GRC provides specific guidelines on the governance, market risk appetite, limit structure and roles and responsibilities of units responsible for management of market risk. It specifies the way market risk is identified, measured, monitored, controlled and reported. As a policy the Group takes exposure to only those financial instruments/products for which the Group has appetite and which are approved by GRC. For any new product, approval has to be obtained via the New Product Approval process which ensures necessary infrastructure is there to support the business.

Market Risk within the Group is managed by Risk Group, which delegates roles and responsibilities to Group Integrated Risk Management, embedded risk unit within Global Markets Division and Group Treasury, and the Middle Office.

a) Group Market & Liquidity Risk

Group Market Risk ("GMR") is independent of risk taking units and reports to the GCRO. GMR oversees aggregated Market Risks from Group Treasury, Global Markets Division and overseas units. The primary responsibilities of the unit include:

- Define market risk policy for the Group and set key limits and sensitivities
- Develop quantitative methodologies and analytical tools such as VaR, stress tests, scenario analyses ,etc., to measure market risk
- Perform model validation and manage market data
- Implement new systems related to market risk

b) Market Risk Oversight

Market Risk Oversight oversees market risk within Group Treasury, Global Markets Division and overseas units. The primary responsibilities of the unit include:

- Identify, assess, measure and monitor market risks by conducting regular and 'ad hoc' risk analyses
- Oversee the day-to-day effectiveness of the Bank's market risk management and internal controls
- Ensure market risk exposures are within approved risk limits and escalate breaches as appropriate

c) Middle Office

The Middle Office (MO) of the Group has two functions:

- Product control function is responsible for book keeping of trades in the Global Market and Group Treasury (GT) portfolios. The product control function is responsible for performing daily valuations, performance attribution (P&L and fees), IFRS calculations and adjustments, reconciliation between trading system and general ledger, hedging strategies and effectiveness.

- Risk control function is responsible for trade/position monitoring, risk limit monitoring, escalation of limit breaches, risk reporting, collateral valuation, margin call validation and market data maintenance & validation.

Middle Office supports the Market Risk function by monitoring market data, trades, limits and escalating breaches. Middle Office utilizes Comprehensive Trading and Market Risk (CTMR) to generate Market Risk reports on the Global Markets and Group Treasury portfolios on a daily basis.

Management of Market Risk

Market Risk at the Group is overseen as per the "Group Market Risk Policy Framework" approved by the GRC as per the defined risk appetite. The framework provides specific guidelines on roles and responsibilities of Market Risk, its Governance Structure, Market Risk appetite statement and the limit structure. It specifies the way market risk is identified, measured, monitored, controlled and reported. The limits are segregated between the trading book and non-trading book positions.

Market Risk in the Trading Book

The Market Risk in the trading book is managed by monitoring and managing the following limits:

- Value at Risk (VaR)
- Level measures
- Net Present Value Basis Point (PVBP)
- Credit Spread Sensitivity (CS01)
- FX Net Open Position (NoP)
- MAT (Management Action Triggers)

Market Risk in the Non Trading Book

The Market Risk in the non-trading book is driven primarily by:

- Investment risk: This is the risk generated by the Bank's investment in Securities both for revenue generation and for maintaining a "liquidity cushion" of High Quality liquid Assets (HQLA). The principal analytical tool used to measure and control the investment risk exposure within the Group is Value at Risk ("VaR"). The Group uses VaR limits for controlling the overall investment risk, including foreign exchange, interest rate and credit spread. The overall structure of VaR limits is subject to review and approval by the GRC. VaR limits are allocated to different Investment portfolios.

- Foreign exchange risk: The Group's functional currency is the UAE Dirham. The Board of Directors has set limits on positions (NoP) by currency. Positions are closely monitored and hedging strategies are used to ensure positions are maintained within established limits.

The above risk limits are approved by the RMC and are closely monitored by Group Risk. The risk positions against the limits and all major limit breaches are regularly reported to Senior Management and the GRC.

Management of Interest Rate Risk in the Banking Book

A dedicated Group Treasury function was established in 2012. Group Treasury responsibilities include management of the Group's liquidity and capital, debt issuance platform, internal funds transfer pricing mechanism as well as Asset and Liability Management (ALM) / Interest Rate Risk in Banking Book (IRRBB).

The Group's Board of Directors has delegated the responsibility for oversight and management of the Group's Interest Rate Risk in the Banking Book to RMC (Board level committee). The authority to set specific limits, guidelines and controlling interest rate risk is delegated by RMC to G-ALCO (Management level committee). G-ALCO has delegated the day-to-day management of Interest Rate Risk in the Banking Book to the Group Treasurer who is authorized to operate within the parameters and limits as defined by G-ALCO.

By the nature of its business, the Group is exposed to interest rate risk. Interest rate risk arises from interest bearing financial instruments and reflects the possibility that changes in interest rates will adversely affect the value of the financial instruments and the related income. The Group is exposed to this risk both in its Trading book and Banking book. Interest rate risk exposures are measured and managed via the VaR model and additionally through Interest Rate Sensitivity metrics which capture the contractual re-pricing of various assets and liabilities. MO publishes reports that incorporate all the rate sensitive and non-sensitive assets and liabilities of the Group. The GT, under delegated authority for G-ALCO, conducts assessment of the interest rate risk exposure to evaluate the impact of yield curve shifts on its Net Interest Income.

The Group manages this risk principally through analyzing these metrics on a consolidated basis across and the Group and by incorporating the expected interest rate outlook. The overall interest rate risk positions are managed by creating floating rate assets against floating rate liabilities and fixed rate assets against fixed rate liabilities. The Group uses derivative instruments to manage interest rate risk arising from the Group's financial instruments which are rate sensitive in nature.
The Interest Rate sensitivity metrics would highlight the impact of interest rate movements to the Net Interest Income (NII) although this is not viewed as material given that a substantial portion of the Group's assets and liabilities are re-priced within one year.

The Group Market risk team additionally conducts assessment of the interest rate risk exposure by measuring the impact of reasonable possible change in interest rate movements. Note 4(c) of the Financial Statements computes the impact on Equity and Net Profit owing to a "reasonable" change in interest rates as per IFRS.

Table 16: Interest Rate Risk in the Banking Book as at 31st December 2014*

(AED 000)

Shift in Yield Curves	Net Interest Income	Regulatory Capital
±200 basis point	±863,048	±317,736

***** *The interest rate sensitivities set out are illustrative only and employ simplified scenarios.*

Management of Liquidity Risk and Funding Profile

Liquidity risk arises from cash flows generated by assets and liabilities, including derivatives and other off-balance sheet commitments, not being matched in currency, size, and term, thereby creating financing needs which potentially cannot be met without incurring substantially higher costs or at any cost at all. Liquidity risk is therefore defined as the risk that the Group is unable to meet its financial obligations as and when they fall due or that it can only do so at an excessive cost.

The primary objective of liquidity management at the Group level is to ensure that the Group always has adequate liquidity to meet all obligations as and when they fall due and to comply with UAE regulatory requirements on liquidity risk. It is also a primary objective to ensure that the Groups liquidity management is in accordance with best International practice and has a forward looking approach in terms of upcoming regulatory reforms, e.g. Basel III on LCR and NSFR.

The Group's Board of Directors has delegated the responsibility for oversight and management of the Group's liquidity risk to RMC (Board level committee). The authority to set specific limits, guidelines and controlling liquidity is delegated by RMC to G-ALCO (Management level

committee). G-ALCO has delegated the day-to-day liquidity management responsibility to the Group Treasurer who is authorized to operate within the parameters and limits as defined by G-ALCO. In establishing these parameters and monitoring liquidity, G-ALCO is provided with various reports, scenarios and recommendations from the Group Treasurer which incorporates a reflection of the international and domestic market conditions plus the macro-economic and political environment in which the Group operates. Based upon this input, G-ALCO determines the internal liquidity parameters and strategic liquidity objectives for the Group.

The management of liquidity at the Group level is in accordance with CBUAE requirements and the G-ALCO approved Group Liquidity Management Policy (GLMP). The objective of the GLMP is to provide guidance in measuring, monitoring, managing and reporting liquidity risk.

On a day-to-day basis, the Group manages liquidity in a decentralized manner by assigning to the domestic and international Treasury units certain liquidity limits so that they have the responsibility for their own liquidity management, including full compliance with any local regulatory guidelines where they are domiciled. Day to day liquidity needs/excesses from the branches and subsidiaries are met through loans/deposits with Head Office with any structural longer term requirements also being provided as and when needed.

Group Treasury also compiles a Funding Gap analysis on an ongoing basis which looks to identify potential Funding Gap issues at a very early stage thus allowing the Group to be pre-emptive in closing these potential issues. As part of this analysis an extreme stress event is considered whereby the Group would not have access to wholesale funding for a period of 12 months.

Group Treasury also looks to diversify the funding base with an appropriate liability maturity profile. Group Treasury has a well-documented Global Debt platform which gives the Group access to many different debt markets as and when required. The Group also maintains a strong level of high quality unencumbered liquid assets to meet both internal and future external regulatory requirements such as Basel III LCR.

The liquidity management process includes but is not restricted to the following:

- Preparing the maturity gap reports on residual maturity basis for the local currency equivalent exposure. This provides a view on the funding structure as it evolves with the balance-sheet growth. The Group has liquidity gap limits in place through which it monitors its actual liquidity position.
- Maintaining a targeted liquidity level by monitoring the Liquidity ratios which have been defined internally both from the regulatory and prudential perspective.
- While constantly striving for the diversification of the funding sources, monitor the concentration risk for the counterparties/depositors.
- In order to have the ability to provide funds at all times and to honour cash outflow obligations the Banks conducts the stress tests and scenario analysis.
- Maintaining a contingency funding plan to enable normal functioning in a stressed liquidity situation.

To manage the Group's liquidity in a contingent crisis situation the Group has in place a Contingency Funding Plan (CFP) approved by G-ALCO. The CFP operates under the supervision of the Liquidity Contingency Management Committee (LCMC) which monitors decisions support indicators emanating from the CFP to take necessary corrective actions.

The Group measures its liquidity in terms of regulatory and prudential requirements. This is both for the domestic and overseas operations of the group. As per the regulatory requirement, the G-ALCO monitors:

- Loans to Stable Resources Ratio
- Liquid Assets Ratio
- Liquidity Coverage Ratio
- Net Stable Funding Ratio

Prudential requirement includes monitoring:

- Structural Liquidity Mismatch Report
- Core Gap Ratio
- S/T Wholesale Ratio
- Capital Markets Ratio
- Eligible Liquid Asset Ratio
- Depositor concentration

In total the Group has defined 12 Liquidity metrics at the Group level which need to be consistently adhered to, which include UAE CB Regulatory requirements as well as Basel III liquidity ratios. The Group monitors the liquidity risk limits of its overseas units as well. The structural liquidity gap limits are closely monitored for time buckets up to 3 months. In case of a breach of limits, Group Treasury will recommend to G-ALCO a corrective measure of action.

The Group's overseas units report their liquidity position to the regional ALCO, and Group Treasury who consolidate to produce Group level reports to G-ALCO. The reports and ratios as mentioned above are continuously monitored by the G-ALCO. The maturity analysis statement of the assets and liabilities of the Group as at 31 December 2014 is shown in note 4(b) of the consolidated Financial Statements.

Management of Equity Price Risk

Equity price risk arises from the changes in fair values of equity investments. The Group manages this risk through diversification of investments in terms of geographical distribution and industry concentration.

As at 31 December 2014, the Bank's total equity investment portfolio (Including collective investment schemes) in the banking book amounted to AED 623 million, 98% of which represents quoted investments. For details of the accounting policies and valuation methodology, please refer to Note 6 (a) to the consolidated Financial Statements.

Equity Position in the Banking Book as at 31st December 2014

Table 17: Quantitative Details of Equity Position as at 31st December 2014

(AED 000)

Type	Current Year			Previous Year		
	Publicly Traded	Privately Held	Total	Publicly Traded	Privately Held	Total
Equities	22,188	13,687	35,875	146,918	14,107	161,025
Collective investment schemes	586,882	184	587,066	10,505	331	10,836
Any other investment	-	-	-			
Total	**609,070**	**13,871**	**622,941**	157,423	14,438	171,861

Table 18: Realized, Unrealized and Latent Revaluation Gains (Losses) for the year ended 31st December 2014

(AED 000)

Type	Amount
Gains (Losses)	-
*Realized gains (losses) from sales and liquidations	88,790
**Unrealized gains (losses) recognized in the balance sheet but not through profit and loss account	(5,219)
Latent revaluation gains (losses) for investment recorded at cost but not recognized in balance sheet or profit and loss account	-
Total	**83,571**

Table 19: Tier I and Tier II Capital Included In * and ** above are as follows

(AED 000)

Tier Capital	Amount
Amount included in Tier I capital	88,790
Amount included in Tier II capital	(5,219)
Total	**83,571**

Table 20: Capital Requirements by Equity Groupings as at 31st December 2014

(AED 000's)

Grouping	Amount
Strategic investments	1,227
Available for sale	70,462
Held for trading	-
Total capital requirement	**71,689**

International Branches

Larger overseas entities/subsidiaries of the Group have independent risk management functions responsible for controlling and mitigating market risks. The respective risk management/reporting unit sends market risk reports to Market Risk Oversight. Market Risk Oversight reviews these reports before they are submitted to GRC for any specific issues/deliberations.

Market risk reports covering compliance on liquidity risk limits along with local ALCO minutes are distributed to Group Treasury which is responsible for escalating any concerns to the G-ALCO. Market Risk Oversight monitors lending by Group Treasury to overseas entities/subsidiaries and vice-versa on a daily basis.

Table 21: Total Capital Requirement for Market Risk under Standardised Approach as at 31st December 2014

(AED 000)

Market Risk	Amount
Interest rate risk	1,533,710
Equity position risk	345,795
Foreign exchange risk	225,333
Commodity risk	1,628
Option Risk	726,888
Total Capital Requirement	**2,833,354**

Capital Management

The Group is governed by CBUAE guidelines on regulatory capital requirements for the Group and the overseas branches and subsidiaries are directly supervised by their local regulators. The capital management process for the Group is linked to the overall business strategy to ensure that capital is adequate to the level of inherent risk in the business. The Group conducts capital planning in conjunction with the financial budgeting exercise.

The Group has a rolling five year long-term strategic plan, which is updated annually. A short-term business plan for the next year is developed, based on the long term plan, which provides the foundation for financial and risk budgeting process. Capital requirement for each business unit is assessed and then consolidated at a Group-wide level.

The Group develops both bottom up plan based on the projections from individual business units as well as a top down strategic plan envisaged by the Board and top management. The top down plan consists of a high level multi-year financial statement based on long term planning and strategic objectives to be achieved. The aggregate numbers in this plan are based on long term plans and strategic initiatives/decisions that the Group plans to undertake/implement in the future. The bottom up plan is based on the budgeting process is conducted at a business unit level, which is consolidated for each business division and finally, for the entire Group. Business units, within each division, develop forecasted balance sheet and P&L statements for the next year, by considering the following key parameters:

- the short term (one year) goals
- risk appetite & strategy
- target growth rates
- target returns

The Group's capital management policies aim to ensure that it has sufficient capital to cover the risks associated with its activities. The assessment of the various risks across the Group and their likely impact is carried out in conjunction with ICAAP undertaken annually. As part of the ICAAP process, GRMD identifies the various risks the Group is exposed to as part of its day-to-day operations. Next the Group sets in place policies and procedures, frameworks and methodologies, contingency plans and other processes to measure, manage and mitigate the impact of such risks. Finally the Group determines the risks which would be covered by capital.

The key objectives of the Group's capital management process are:

- Maintain sufficient capital to meet minimum capital requirement set by CBUAE as well as to ensure transition to Basel III in terms of capital ratios
- Maintain sufficient capital to support Group's Risk Appetite and strategic objectives as per long-term strategic plan
- Maintain adequate capital to withstand stress scenarios including increased capital requirements determined through ICAAP
- To support the Group's credit rating

The Group conducts a multi-year stress test exercise in which the Balance Sheet and Profit & Loss statements are determined for base case and stress scenarios. The risk factors are impacted by the assumptions made for the base and stress scenarios and the corresponding impact on the capital adequacy is determined. The Group uses macroeconomic stress tests in order to project capital need and capital levels under various unfavourable scenarios. The tests are perceived as an important tool in internal capital planning. The stress test result during 2014 shows that the Group has adequate capital in the event of adverse scenarios during next 3-year period.

Operational Risk

Operational risk is defined as the risk of losses resulting from inadequate or failed processes, people & systems or from external events, this includes legal and technology risk and excludes strategic and reputation risk.

Operational risks arise across all businesses in the Group. The primary responsibility to ensure that risks are managed and monitored resides with the businesses within the Group. Group's businesses are supported by Embedded risk functions and Group Operational Risk Management as 'second line of defence' to ensure robust risk management.
Further, there are reviews conducted by Group Internal Audit as the 'third line of defence'. The results of internal audit reviews are discussed with the management of the division and summaries submitted to the Audit Committee.

The Group has an established Operational Risk framework consisting of policies and procedures to assess risks i.e. to identify, assess, monitor, control, report and to manage incidents i.e. to notify, identify and rectify incidents. The Operational Risk framework also provides the interrelation with other risk categories. Where appropriate, risk is mitigated by way of insurance.

Typically, Operational Risk events are classified as:

- Internal fraud: Risk of unauthorized activity and fraud perpetrated by employees
- External fraud: Risk of fraud or breach of system security by an external party
- Employee practices & workplace safety: Risk of failures in employee relations, diversity and discrimination, and health and safety risks across the Group
- Damage to physical assets: Risk of impact to the Group due to natural disasters
- Clients, Products & Business Practices: Risk of failing in assessing client suitability, fiduciary responsibilities, improper business practices, flawed products and advisory activities.
- Business Disruption & System failures: Risk of not planning and testing business continuity and disaster recovery for systems
- Execution delivery and process management: Risk of failed transaction execution, customer intake and documentation, vendor management and monitoring and reporting.

The Board has oversight responsibilities for operational risk management across the Group. These responsibilities are delegated and exercised through the Group Risk Committee, which is the senior management forum responsible for the oversight of Operational Risk.

Key responsibilities of Group Risk Committee with regards to Operational risk include ensuring:

- Approval of the Group Operational Risk Management Framework and oversight over its implementation

- Approve large incidents as per the Operational Risk management approval matrix

- Approve the strategy and direction for Operational Risk across the group

Business Continuity Management

Business Continuity Management (BCM) is a management process that identifies potential impacts that threaten an organization and provides a framework for building resilience and the capability for an effective response which safeguards its reputation along with the interests of its key stake holders and customers. BCM is responsible for assuring operational resilience to the Group's key business processes under adverse circumstances.

Governance

Group Risk Committee is responsible for providing oversight and strategy for Business Continuity Management and Disaster Recovery Management at the Group. The committee gathers inputs from business and enablement functions from within the Group to aid in decision making and setting priorities to ensure success of business continuity in the Group.

Framework and Processes

The Group has in place a BCM framework; the key steps are:

- Identify key processes (and their dependencies) essential to ensure the delivery of the Group's services;
- Identify and define time frames for the recovery of those key processes;
- Establish cost effective strategies and solutions to achieve the recovery time frames of the key processes; and
- Validate the selected solutions.

All business units perform an annual business impact analysis to identify their critical business processes and recovery time objectives. Continuity plans are developed at departmental levels throughout the group and tested through two testing programmes i.e. at business level and location / entity level. The types of testing undertaken for business continuity includes call tree, desktop walkthrough, business unit testing and integration. For disaster recovery NBAD conducts a programme of tests which range from component to fail over.

In UAE, NBAD has a dedicated local contingency site to ensure that operations are not interrupted. International branches/subsidiaries have their own arrangements internally or through outsourcing with external suppliers.

Incident and Crisis Management

A comprehensive incident and crisis management plan has been developed for the Group. Regular trainings on crisis management are conducted wherein different scenarios are used to further develop the capabilities of the crisis response team, which includes senior management.

Reputational Risk

Reputational risk is defined as the damage to the Group's reputation due to one or more events such as negative publicity on Group's practices, conduct or financial conditions. The primary responsibility to safeguard Group's reputation resides with the businesses, and to ensure that it is considered and effectively managed in all its transactions and dealings with internal and external parties. The Group has clearly identified key business areas as sources of reputational events such as (i) compliance with regulatory and legal obligations (ii) business practices followed, (iii) standard of product and service quality, (iv) information technology security and data integrity, (v) association with customers, suppliers and partners, (vi) crisis management, (vii) external communication, (viii) achievement of financial targets etc. The Group pro-actively manages these identified business areas that might lead to reputational risk.

www.nbad.com

